Republic of the Philippines
COMMISSION ON AUDIT
Commonwealth Avenue, Quezon City

Manual on the Financial Management of Barangays



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CIRCULAR

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TO : Provincial Governors, City/Municipal Mayors; Accountants, Cashiers, Local Treasurers, and Budget Officers; COA Assistant Commissioners, Directors and Auditors; and All Others Concerned

SUBJECT : Prescribing the Use of the Manual on Financial Management for Barangays

The Commission on Audit pursuant to the constitutional mandate to promulgate accounting and auditing rules and regulations pertaining to the funds and property of the Government prepared the Manual on Financial Management for Barangays.

In line with the foregoing, this Commission hereby promulgates and prescribes the use of the Manual on Financial Management for Barangays (MFMB).The Manual adopted the Philippine Public Sector Accounting Standards (PPSAS) prescribed under COA Resolution No. 2014-003 dated January 4, 2014.

The Manual provides for the following:

- new accounts;
- recognition; measurement; and presentation of accounts in accordance with the PPSAS;
- other financial procedures providing guidelines in the exercise of the duties and responsibilities of the barangay officials as provided in the Code and other laws; and
- reporting requirements for barangay accounts compliant with the standards.

This supersedes the previous issuances on the presentation and accounting of barangay financial transactions.

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MANUAL

ON THE

FINANCIAL MANAGEMENT OF

BARANGAYS

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ACKNOWLEDGEMENT

The Manual on the Financial Management of Barangays provides the guide in the recognition and reporting of the barangay financial transactions. Upon the initiative of then Assistant Commissioner Gloria S. Cornejo, the LGS prepared this Manual and was completed under the guidance and supervision of Assistant Commissioner Divinia M. Alagon. Their efforts were duly supported with the following members of the Committee reconstituted under COA Office Order No. 2014-648 dated October 27, 2014:

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MANUAL ON THE FINANCIAL MANAGEMENT OF BARANGAYS

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MANUAL ON THE FINANCIAL MANAGEMENT OF BARANGAYS

Chapter I
General Accounting Instructions

Article IX-D Section 2(2) of the 1987 Philippine Constitution gives the Commission on Audit the authority to promulgate accounting rules and regulations.

Section 334(c) of RA 7160, otherwise known as the Local Government Code of the Philippines, states that: "The financial records of the barangay shall be kept in the office of the city or municipal accountant in simplified manner as prescribed by the Commission on Audit". (underscoring supplied)

COA Resolution No. 2014-003 dated January 24, 2014 requires the adoption of Philippine Public Sector Accounting Standards (PPSAS) by all government agencies, hence, the need for the alignment of the barangay accounting to the said standards.

1.1 Fundamental Principles

The financial transactions and operations of the barangays shall be governed by the following fundamental principles:

1.1.1. No money shall be paid out of the local treasury except in pursuance of an appropriations ordinance or law.

1.1.2. Local government funds and monies shall be spent solely for public purposes.

1.1.3. No public money or property shall be appropriated or applied for religious or private purposes.

1.1.4. Disbursements or disposition of government funds or property shall invariably bear the approval of the proper officials.

1.1.5. All claims against government funds shall be supported with complete documentation.

1.1.6. Local revenues are generated only from sources expressly authorized by law or ordinance and collections thereof shall at all times be acknowledged properly.

1.1.7. All monies officially received by a local government officer in any capacity or on any occasion shall be accounted for as local funds, unless otherwise provided by law.

1.1.8. All collections shall be deposited intact with government depository bank or other authorized depository bank for the account of the barangay, except those collections to be remitted to the City/Municipal (C/M) Treasurer.

1.1.9. Trust funds in the local treasury shall be paid out only for the purpose for which the trust was created or the funds received.

1.1.10. Fiscal responsibility shall be shared by all those exercising authority over the financial affairs, transactions, and operations of the barangays.

1.1.11. Every officer of the barangay whose duties permit or require the possession or custody of local funds shall be bonded, and such officer shall be accountable and responsible for the said funds and for the safekeeping thereof in conformity with the provisions of the law.

1.2 General Accounting Policies

The following general policies shall be observed in accounting for barangay funds and property:

1.2.1. For accounting purposes, the fiscal year for the barangay shall start on January 1st and end on December 31st of each year

1.2.2. Barangay accounts shall be kept under a double-entry bookkeeping system.

1.2.3. The barangay financial transactions shall be recorded using the Chart of Accounts prescribed by the Commission on Audit.

1.2.4. Barangay books of accounts shall consist of a Journal of Cash Transactions (JCT) – Annex 1, General Journal (GJ) – Annex 2, General Ledger (GL) – Annex 3 and Subsidiary Ledger (SL) –Annex 4 which shall be maintained by the City/Municipal (C/M) Accountant.

1.2.5. Cash transactions shall be recorded in the JCT and non-cash transactions shall be recorded in the GJ through a Journal Voucher (JV) – Annex 5.

1.2.6. Funds granted to barangays for specific purpose shall be recognized as Special Trust Fund (STF).

1.2.7. Subsidies and grants for specific purpose shall be accounted for as Trust Liability. Once conditions are met, the portion of the grant corresponding to the expenditure incurred shall be recognized as income, and the expenditure as expense or asset as the case may be.

1.2.8. Unspent Local Disaster Risk Reduction and Management Fund (LDRRMF) shall be recorded as STF.

1.2.9. Registry of Special Trust Fund (RSTF) as presented in Annex 33 shall be maintained for each STF.

1.2.10. Appropriations and Obligations shall be recorded, monitored and controlled using the Record of Appropriations and Obligations (RAO) – Annex 6

1.2.11. A Cashbook (Annex 8) shall be maintained and updated daily.

1.2.12. Revenues shall be classified as exchange and non-exchange.

1.2.13. Revenue from non-exchange transactions:

a. Taxes –revenue shall be recognized when the taxable event occurs and the asset recognition criteria are met.

b. Transfers –

1. Transfers without conditions are recognized as revenue.

2. Transfers with conditions are recognized as liability and the corresponding liability is reduced when the conditions are satisfied.

1.2.14. Revenue from exchange transactions shall be recognized upon receipt of assets or services, or extinguishment of liability, and directly gives/renders service of approximately equal value.

1.2.15. All collections of the barangay shall accrue to the General Fund unless otherwise provided by law.

1.2.16. Payment in kind shall be recognized at fair value.

1.2.17. Expenses shall be recognized when incurred.

1.2.18. All lawful expenditures and obligations incurred during a fiscal year shall be taken up in the accounts of that year.

1.2.19. Liabilities shall be recognized at the time goods and services are accepted or rendered.

1.2.20. Inventories shall be reassessed to lower of cost and net realizable value or replacement cost if held for distribution/consumption at every reporting date.

1.2.21. Supplies and materials including drugs and medicines shall be recorded in the appropriate Inventory account. The cost of the inventory items shall be assigned using the weighted average method.

1.2.22. When inventories are sold or utilized, the carrying amount of those inventories shall be recognized as expense. Any write-down of inventories shall be recognized as an expense in the period the write-down occurs.

1.2.23. Biological Asset shall be recognized and revalued to its fair value less cost to sell at acquisition and every reporting date.

1.2.24. Property, plant and equipment (PPE) shall be recognized as assets if it is probable that the future economic benefits or service potential associated with the PPE will flow to the entity, and the cost or fair value of the item can be measured reliably.

1.2.25. PPE shall be recorded when actually received.

1.2.26. Property (land and building) held to earn rentals or for capital appreciation or both shall be classified as Investment Property and measured at cost.

1.2.27. PPE used in barangay operation shall be subject to depreciation using the straight line method after deducting a residual value equivalent to 5 per cent of the cost of the property and equipment.

1.2.28. Depreciation of an asset begins when it becomes available for use (when it is in the location and condition necessary for it to be capable of operating in the manner intended by management).

1.2.29. All public infrastructures shall be recognized as asset in the books of accounts and shall be provided with depreciation in the same manner as PPE.

1.2.30. Impairment for all assets shall be recognized whenever the carrying value is more than the recoverable amount.

1.2.31. All borrowings and secured loans shall be recorded in the barangay books using the appropriate liability accounts. It shall be measured at amortized cost.

1.2.32. A monthly Bank Reconciliation Statement shall be prepared by the C/M Accountant upon receipt of the bank statement.

Chapter II
Barangay Accounting Plan

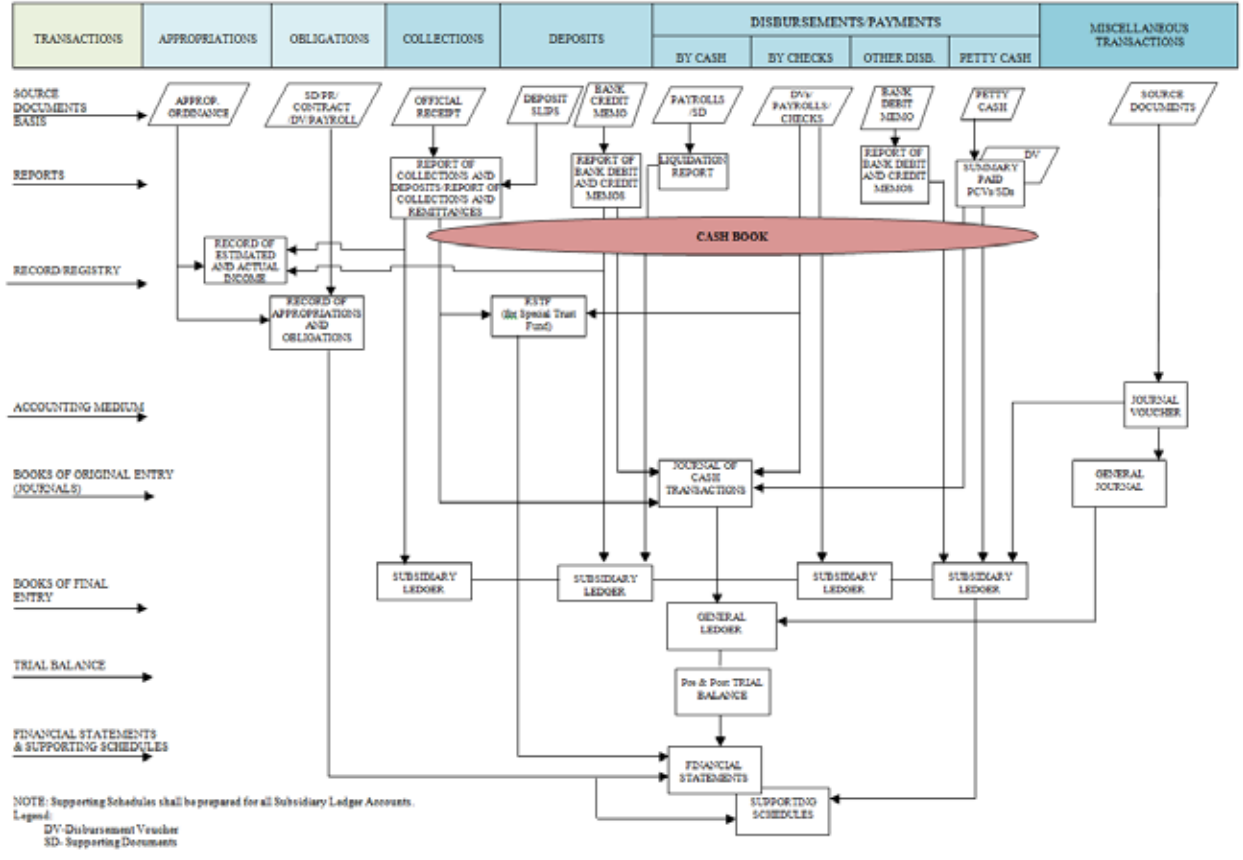
The barangay accounting plan shows the accounting work flow of barangay transactions from the approved budget to incurrence of obligations/expenditures; collection of monies; payment of obligations/disbursements; recording of transactions in the books of accounts; and preparation of the financial statements and reports. Initially, the source documents shall be the basis for preparing reports by the Barangay Treasurer (BT). These reports together with the source documents are the basis of recording the transactions in the books of original entry. These are the JCT and the GJ. Journal entries based on reports and the JV are recorded in the JCT or GJ and posted to the GLs and SLs. Based on the GL, Trial Balances and the financial statements are prepared. All of these accounting processes are undertaken by the Office of the C/M Accountant.

The Accounting Plan presents the following types of transactions:

a. Appropriations and Obligations
b. Collections and Deposits
c. Disbursements
d. Miscellaneous Transactions

The Financial Statements include Statement of Financial Position, Statement of Financial Performance, Statement of Net Assets/Equity, Statement of Cash Flows, Statement of Comparison of Budget and Actual Amounts, and Notes to Financial Statements.

BARANGAY ACCOUNTING PLAN



Chapter III
Appropriations and Obligations

The budget of the barangay as authorized by the Sangguniang Barangay (SB) through an appropriation ordinance serves as the authorization for the barangay to incur obligations. The Chairman of the Committee on Appropriations (CCA) shall be responsible for the proper monitoring and control of the barangay budget.

The specific policies and procedures related to barangay appropriations and obligations are:

3.1. Specific Policies and Procedures

3.1.1 Expenditures/Obligations shall in no case exceed available appropriations.

3.1.2 The duly approved barangay appropriation ordinance shall be recorded in the Record of Appropriation and Obligations (RAO) as shown in **Annex 6** that shall be maintained by the CCA. Separate RAO shall be maintained for the following: a) 10% percent share of the Sangguniang Kabataan; b) 5% Local Disaster Risk Reduction Management Fund (LDRRMF); c) 20% Development Fund; and d) continuing appropriations.

3.1.3 The RAO shall show the annual and supplemental appropriations and the obligations charged against the said appropriations. It shall be used to monitor the availability of appropriations to cover proposed expenditures/obligations.

3.1.4 Charges against the appropriations shall be based on the obligations made as shown in Contracts or Purchase Orders (POs) and in the Disbursement Voucher (DV), and Payrolls.

3.1.5 Based on the RAO, the CCA shall certify as to the existence of appropriation on the Contracts or POs, DV or Payrolls. As such, the CCA shall regularly update the RAOs by posting all certified obligations to determine available balance of the appropriations.

3.1.6 The CCA shall report the charges and balances of appropriations to the Punong Barangay (PB) and the SB monthly through the Statement of Appropriations, Obligations and Balances (SAOB) **(Annex 7)**. It shall be certified correct by the CCA.

3.1.7 The PB and SB shall use the SAOB in the evaluation of the status of barangay expenditures.

3.1.8 The estimated and actual income during the year shall be recorded in the Record of Estimated and Actual Income (REAI) as shown in **Annex 41**. This Record shall be maintained and updated monthly by the Barangay Treasurer and submitted to the City/Municipal Accountant at year end as basis for the preparation of the Statement of Comparison of Budget and Actual Amounts.

3.1.9 A Statement of Comparison of Budget and Actual Amounts shall be prepared by the City/Municipal Accountant based on the REAI and SAOB prepared and submitted by the Barangay Treasurer and CCA, respectively, at year end.

Chapter IV
Collections and Deposits/Remittances

The BT shall be responsible for the proper handling of the funds of the barangay.

Barangay collections include, but are not limited to, the following:

1. Share from the National and Local Taxes/Revenues
    a. Internal Revenue Allotment
    b. Utilization of national wealth, such as: lands of public domain, water, mineral, coal, petroleum, mining, oil, gas, oil deposits, etc.
    c. Real Property Tax including interest and penalties imposed thereon
    d. Tax imposed on sand, gravel and other quarry resources
    e. Community Tax, if collections are made by the barangay

2. Barangay Fees and Taxes
    a. Fees imposed on:
        i. Peddlers
        ii. Breeding of fighting cocks
        iii. Use of barangay roads, waterways, bridges and parks
        iv. Use of barangay properties/facilities
        v. Parking
        vi. Clearance/Certification
        vii. Other fees imposed by the barangays
    b. Taxes imposed on stores/retailers within the barangay
    c. Penalties for violation of barangay ordinance
3. Other Fees and Charges
    a. Operation of cockpits, places of recreation, etc.
    b. Fund raising activities
    c. Charges on billboards, signboards and other outdoor advertisements
    d. Use of barangay-operated public markets, slaughterhouses and waterworks
    e. Operation of other barangay economic enterprise
4. Other Receipts
    a. Subsidies/Financial assistance from:

i. National Government
ii. Provinces/Cities/Municipalities

b. Grants and donations received
c. Dividend/Interest from investments
d. Proceeds from:
    i. Loans and other indebtedness
    ii. Sale of Plant, Property and Equipment
e. Receipt of:
    i. Performance/Bidders/Bail Bonds
    ii. Refund of Payroll Fund/Advances to Officers and Employees
    iii. Funds intended for specific purpose
    iv. Payment for lost properties
    v. Payment due to overpayment of claims
    vi. Other receipts

The BT shall observe the following policies and procedures in the management of collections and deposits/remittances:

4.1 Specific Policies

4.1.1 The BT and all accountable officers shall be bonded in accordance with Section 305 (f) of R.A. 7160 and DILG Memorandum Circular No. 99-186 dated October 11, 1999. The corresponding premium shall be paid out of barangay funds.

4.1.2 All collections, either in cash or in checks, shall be acknowledged through the issuance of an Official Receipt (OR) – Accountable Form No. 51 or other specific purpose receipts like Real Property Tax Receipt (RPTR) –Accountable Form No. 56, Community Tax Certificate (CTC) or pre-numbered cash tickets.

4.1.3 The prescribed officially numbered receipts shall be issued in strict numerical sequence. Strictly, erasures and alterations are not allowed in preparing the OR.

4.1.4 All particulars in the OR shall be filled out. Duplicate and triplicate copies of the OR shall be the exact carbon copy of the original.

4.1.5 Temporary or provisional receipts shall not be issued to acknowledge collections.

4.1.6 The OR shall be subject to proper custody, accountability and audit.

4.1.7 The BT shall be the custodian of all accountable forms. A complete record of the receipts, issuances and transfers of accountable forms shall be maintained. He shall also be responsible for the pre-numbering and control of cash tickets.

4.1.8 There shall be no transfer of accountable forms among/between Deputized Barangay Collectors (DBC).

4.1.9 The BT and DBC shall render their Report of Accountability for Accountable Forms (RAAF) – **Annex 18**.

4.1.10 Only checks in the name of the barangay shall be accepted as payment of obligation to the barangay and issued the corresponding OR. The OR number and date of issue including the payor's control details shall be indicated at the back of the check for reference purposes. The details of the check shall be indicated in the space provided in the OR.

4.1.11 Collections shall not be used to encash checks or pay barangay obligations/liabilities.

4.1.12 Collections accruing to the barangay shall be deposited intact daily. Where travel time to the depository bank is more than one day, deposit shall be made at least once a week or as soon as the collections reach ₱5,000.00.

4.1.13 Collections received by the BT as deputized collector of the city/municipality shall be remitted intact to the treasurer of the city/municipality concerned daily or once the collections reach ₱5,000.00.

4.1.14 DBC maybe authorized/designated to receive collections like market fees, parking fees. Collections received by the DBC shall be reported in the Report of Collections and Remittances **(Annex 9.1)** and turned over daily to the BT. The amount turned over shall form part of the daily collections of the BT for recording in the Cashbook and Report of Collections and Deposits (RCD) **(Annex 9)**.

4.1.15 The barangay shall maintain only one depository account with Authorized Government Depository Bank (AGDB) in the name of the barangay. The selection of a depository bank other than the AGDB, duly authorized by the Bangko Sentral ng Pilipinas to accept government funds, shall be covered by a Resolution of the SB and approved by the PB. In case there are idle funds, cash which can be freely invested after considering provisions for recurring expenses and programmed disbursements for capital outlay, within the context of the cash operating cycle of the barangay, the barangay may maintain a time deposit account with prior authority of the SB and approval of the PB.

4.1.16 The PB shall authorize the AGDB or depository bank other than AGDB to furnish the C/M Accountant and the Auditor a copy of the monthly bank statement. It shall be the duty of the BT to see that copies of monthly bank statements are furnished said officials. The PB shall furnish the Auditor a copy of said authorization.

4.2 Specific Procedures

4.2.1 For collections made for the Barangay, the BT shall:

a. Upon receipt of cash/check payment, issue an OR to acknowledge the amount received. The OR shall be issued strictly in numerical sequence and it shall be prepared in three copies to be distributed as follows:

Original	- Payee
Duplicate copy	- Attached to the RCD for submission to the C/M Accountant; then forwarded to the Auditor
Triplicate copy	- BT file

b. At the end of the day, deposit the collections by preparing three copies of deposit slips for bank's validation.

Original	- Bank
Duplicate copy	- Attached to the RCD for submission to the C/M Accountant; then forwarded to the Auditor
Triplicate copy	- BT file

c. Prepare the RCD to summarize daily transactions of the BT.

d. Record daily in the cashbook the total collections and deposits made during the day based on the RCD.

e. Forward two copies of the RCD to the C/M Accountant, together with the supporting ORs and validated DS on or before the 5th day of the following month for recording in the JCT.

4.2.2 For collections received by the BT as deputized collector of the C/M Treasurer, the BT shall:

a. Upon receipt of cash/check, issue OR provided by the C/M Treasurer, to acknowledge the amount received.

b. Fill up the OR in triplicate copies to be distributed as follows:

Original	- Payor
Duplicate copy	- Attached to original RCD and submitted to the C/M Treasurer upon remittance

Triplicate copy - Attached to duplicate copy of RCD for BT file

c. Prepare three copies of RCD based on the duplicate ORs.

Original and
Duplicate copy - C/M Treasurer
Triplicate copy - BT

d. Remit daily the collections or once the collections reach P5,000.00 to the C/M Treasurer, together with two copies of RCD, and the duplicate ORs.

e. Upon receipt of the collections, the C/M Treasurer shall fill out and sign the acknowledgement portion of the RCD to signify receipt thereof from the BT.

4.2.3 For collections made by the Deputized Barangay Collectors:

a. Collections shall be remitted daily to the BT
b. Prepare Report of Collections and Remittances (RCR) as shown in **Annex 9.2** summarizing daily collections
c. The BT shall acknowledge receipt of collections by signing on the receipt portion of the RCR
d. DBC remittances shall be reported in the RCD of the BT

4.2.4 All remittances shall be supported with RCR.

4.2.5 Collections and deposits for the barangay shall be recorded in the Cashbook (**Annex 8**) maintained by the BT based on the RCD.

4.2.6 The C/M Accountant shall summarize all CMs including Debit Memos (DMs) received from the Bank with the Bank Statement of the Barangay in the Report of Bank Debit and Credit Memos (RBDCM) – **Annex 10** and furnish the BT copy of the RBDCM as basis in posting collections. The RBDCM shall

likewise be the basis of recording the transactions in the JCT.

4.2.7 Collections received through the bank or directly credited to the depository account of the barangay shall be recorded in the Cashbook based on the RBDCM.

4.2.8 Upon receipt of the Bank Statement, the C/M Accountant shall prepare a monthly Bank Reconciliation Statement **(Annex 11).**

4.2.9 Requisitions for new accountable forms for regular collections of the barangay shall be made from the C/M Treasurer.

4.2.10 Requisitions and issuances of accountable forms shall be reported in the monthly RAAF.

4.3 Illustrative Accounting Entries

The RCD and RBDCM shall be the bases in recording collections and deposits of the barangay. The following are the pro-forma entries for collections and deposits:

4.3.1 Collections in cash/check

Account	Dr	Cr
Cash – In Local Treasury	xx	
Income account		xx
Liability account		xx
Asset account		xx
To record collections based on Report of Collections and Deposits		

4.3.2 Deposit of collections with AGDB

Account	Dr	Cr
Cash in Bank – LCCA	xx	
Cash – In Local Treasury		xx

Account	Dr	Cr
To record deposit of collections based on RCD		

4.3.3 Collections received through the bank thru bank Credit Memo

Account	Dr	Cr
Cash in Bank – LCCA	xx	
Internal Revenue Collections		xx
Real Property Tax		xx
Income Accounts		xx
To record collections through the bank based on RBDCM		

Chapter V
Disbursements

The BT shall also observe the following specific policies and procedures on disbursements of the barangay funds pursuant to laws, rules and regulations:

5.1 Specific Policies

5.1.1 Disbursements or disposition of government funds or property shall invariably bear the approval of the proper officials.

5.1.2 All claims against government funds shall be supported with complete documentation.

5.1.3 Disbursements shall be made only on duly certified and approved Disbursement Voucher (DV) – **Annex 12**, Petty Cash Voucher (PCV) – **Annex 13** and Payroll – **Annex 14**.

5.1.4 Disbursements shall generally be made by checks drawn against the depository account of the barangay.

5.1.5 All check disbursements shall be supported with Punong Barangay Certification.

5.1.6 Disbursements in cash shall be made only from the cash advances granted for the purpose (e.g. to pay salaries and wages, honorarium, etc.) and petty cash, observing the following basic guidelines, to wit:

a. Only permanently appointed officials shall be designated as disbursing officers. Elected officials may be granted a cash advance only for their official travelling expenses.

b. Only duly appointed or designated disbursing officers may perform disbursing functions. Officers and employees who are given cash advances for official travel need not be designated as Disbursing Officers.

c. Transfer of cash advance from one Accountable Officer (AO) to another shall not be allowed.

d. The cash advance shall be used solely for the specific legal purpose for which it was granted. Under no circumstance shall it be used for encashment of checks or for liquidation of a previous cash advance.

5.1.7 All cash advances shall be liquidated at year-end. No additional cash advances shall be given to any official or employee unless the previous cash advance is liquidated and accounted for in the books.

5.1.8 A cash advance shall be liquidated/reported as soon as the purpose for which it was granted has been served.

5.1.9 No cash advance shall be granted for payment on account of infrastructure projects or other undertaking on a project basis except for payment of labor payroll for projects undertaken by administration.

5.1.10 Cash Advances for special time-bound undertaking shall be liquidated by the accountable officer within a specified period.

5.1.11 Cash advance which are no longer needed or have not been used for a period of two months shall be returned to or deposited immediately with the proper collecting officer or cashier.

5.1.12 For designated disbursing officers, separate Cashbook shall be maintained for each type and purpose of cash advance.

5.1.13 Petty Cash Record **(Annex 13.1)** shall be maintained for Petty Cash.

5.2 Specific Procedures

5.2.1 Payment by Check

a. The BT shall:

1. upon receipt of the DV/Payroll duly certified as to availability of appropriation/existing balance of STF by the CCA, shall certify as to availability of funds and verify/review the completeness and propriety of the supporting documents;

2. forward the DV/Payroll to the PB for approval;

3. prepare, sign check and forward the DV and supporting documents to the PB for countersignature.

4. submit copies of PBC to the City/Municipal Accountant and the Office of the Auditor.

b. The PB shall:

1. approve the DV after he has duly examined and been satisfied that (a) the DVs are duly certified by the proper barangay officials; (b) the expenditure or disbursement is legal, proper and valid; and (c) the SDs are complete.

2. countersign the check

3. prepare and issue the PBC under oath to the depository bank for checks issued by the barangay. The PBC shall be in four copies, to be distributed as follows:

Original	- Depository bank to be released directly by the BT
Duplicate copy	-Attached to the Transmittal Letter (TL) **(Annex 16)** to be submitted to the C/M Accountant together with the original copies of the approved DVs and SDs
Triplicate copy	- BT file together with duplicate copies of

	DVs and SDs
Quadruplicate copy	-Attached to the copy of the TL to be submitted to the Office of the Supervising Auditor/Audit Team Leader (SA/ATL) that has direct audit jurisdiction over the barangay.

c. The BT shall record the disbursement transaction in the cashbook, the check/DV no. under the "Reference" column and the amount of disbursement in the "Cash in Bank-Check Issued" column.

d. The BT shall release the check to the supplier/company after issuance of official receipt and signing in the receipt portion of the DV and to other payees upon signing in the receipt portion of the DV.

e. The BT shall record chronologically in the Cashbook all checks issued/charged to deposits with the AGDB. Within ten days after the end of the month, the BT shall prepare a TL and submit to the C/M Accountant the certified copy of the Cashbook together with the original copies of the DVs duly signed by the payee, together with the supporting documents and duplicate copies of the checks and PBC issued, for recording in the books of accounts. Copy of such TL, certified copy of the Cashbook and copies of the PBC shall be submitted simultaneously to the SA/ATL who has direct audit jurisdiction over the barangay.

f. With the submission of the PB Certification (PBC) to the authorized government depository bank, the PB shall be primarily accountable for all losses arising from its issuance.

5.2.2 Payment through Cash Advance for Payroll

a. The cash advance for payroll shall be equal to the net amount of the payroll for a pay period.

b. Payment shall be made directly to the named official and employee except when there is an authority to collect the claim due given to another person under a power of attorney or other forms of authority. The following persons are authorized to receive payment without a power of attorney:

- Immediate member of the family of the official or employee concerned

- Liaison officer duly designated by the chief or head unit/office

c. The cash advance for payroll shall be liquidated within 5 days after the end of the pay period. Any unexpended cash and/or unreleased salaries/allowances shall be returned and an OR shall be issued.

d. The BT shall:

1. prepare and forward the Payroll to the CCA for certification as to existence of appropriation/existing balance of STF;

2. certify as to availability of funds and forward the Payroll to the PB for approval;

3. prepare DV and check for cash advance equivalent to the net amount of the payroll; sign check and forward the DV and check to the PB for approval and countersignature;

4. record the receipt of the check for the cash advance in the cashbook under the "Cash Advance – Receipt(Disbursements)" column and "Cash in Bank – Check Issued" column;

5. encash check supported by the PBC;

6. Pay payees and certify the payroll by signing in Box D-Certification of the payroll when the payments have been made;

7. record in his Cashbook the total amount paid under "Cash Advance – Receipts/ (Disbursements)" column;

8. in case there are unreleased pay, return the amount by issuing an OR, and record the same in the Cashbook under the "Cash Advance-Receipt/(Disbursements) column in parenthesis and column "Cash - In Local Treasury-Collection" column. Then, deposit the amount and record the same in the Cashbook under "Cash - In Local Treasury-Deposit" and Cash in Bank-Deposits" columns; and

9. prepare a Liquidation Report (LR) – **Annex 15** and transmit together with the paid payroll and DV for cash advance to the C/M Accountant for recording in the books of accounts.

e. The amount of cash advance returned acknowledged by an OR shall be reported by the BT in the RCD for the month and submitted to the C/M Accountant for recording in the JCT.

5.2.3 Payment through Cash Advance for Travel

a. The grant of cash advance for both local and foreign travel shall be governed by the provisions of COA Circular No. 96-004 dated April 19, 1996 and Executive Order No. 298, as amended. It shall be supported with the following:

1. For local travel

a. Office Order/Travel Order approved in accordance with Section 3 of EO No. 298
b. Duly approved itinerary of travel
c. Certification from the accountant that the previous cash advance has been liquidated and accounted for in the books.

2. For foreign travel

    i. Office Order/Travel Order approved in accordance with the provisions of Sections 1 and 2 of EO No. 459 dated September 1, 2005
    ii. Authority from the DILG
    iii. Duly approved itinerary of travel
    iv. Letter invitation of host/sponsoring country/agency/organization
    v. For plane fare, quotations of three travel agencies or its equivalent
    vi. Flight itinerary issued by the airline/ticketing office/travel agency
    vii. Document to show the dollar to peso exchange rate at the date of grant of the cash advance
    viii. Where applicable, authority from the Office of the President (OP) to claim representation expenses
    ix. In case of seminars/trainings
        (1) Invitation addressed to the agency inviting participants (issued by the foreign country)
        (2) Acceptance of the nominees as participants (issued by the foreign country)
        (3) Programme Agenda and Logistics Information
    x. Certification from the accountant that the previous cash advance has been liquidated and accounted for in the books

b. Liquidation shall be done within 30 days for local travel and 60 days for foreign travel, upon return to the official station. Liquidation of cash advance shall be supported with the following documents:

    1. Liquidation of Cash Advance for Local Travel

        i. Paper/electronic plane, boat or bus tickets, boarding pass, terminal fee receipt
        ii. Certificate of Appearance/Attendance

iii. Copy of previously approved Itinerary of Travel
iv. Revised or supplemental Office Order or any proof supporting the change of schedule
v. Revised Itinerary of Travel, if previous approved itinerary was not followed
vi. Certification from the Head of Agency that the travel is absolutely necessary together with the corresponding bills or receipts, if the expenses incurred for official travel exceeded the prescribed rate per day (certification or affidavit of loss shall not be considered as an appropriate replacement for the required hotel/lodging bills and receipts)
vii. Liquidation Report
viii. Reimbursement Expense Receipt (RER)
ix. OR in case of refund of excess cash advance
x. Certificate of Travel Completed
xi. Hotel room/lodging bills with official receipts in the case of official travel to places within 50-kilometer radius from the last city or municipality covered by the Metro Manila Area, or the city or municipality where their permanent official station is located in the case of those outside the Metro Manila Area, if the travel allowances being claimed include the hotel room/lodging rate.

2. Liquidation of Cash Advance for Foreign Travel

i. Paper/electronic plane, boarding pass boat or bus ticket, terminal fee receipt
ii. Certificate of Appearance/Attendance for training/seminar participation
iii. Bill/receipts for non-commutable representation expenses approved by the President under Section 13 of EO No. 248
iv. For reimbursement of actual travel expenses in excess of the prescribed rate (EO No. 298):

(1) Approval of the President
(2) Certification from the Head of the Agency that the travel is absolutely necessary
(3) Hotel room bills with official receipts (certification or affidavit of loss shall not be considered as an appropriate replacement for the required hotel/lodging bills and receipts)

v. Revised Itinerary of Travel, if applicable
vi. Narrative report on trip undertaken/Report on Participation
vii. OR in case of refund of excess cash advance
viii. Certificate of Travel Completed
ix. Liquidation Report

c. The Barangay Official granted cash advance shall

1. summarize in the LR the duly supported disbursements;

2. submit LR within 30 days for local travel and 60 days for foreign travel, upon return to the official station supported by a certificate of appearance, used tickets, official receipts, etc. for cash advance for travel;

3. return any unexpended cash advances and request an OR; and

4. submit the LR together with the supporting documents to the BT.

5.2.4 Payment through Cash Advance for Special Purpose

a. Cash advances may be granted for special purpose/time-bound undertaking such as conduct of barangay general assembly, public hearing, etc.

b. Cash advance for special purpose/time-bound undertaking shall be granted only to duly authorized accountable officer/special disbursing officer.

c. Liquidation of the cash advance shall be made upon accomplishment of the purpose for which these were granted.

d. Liquidation documents shall be summarized in an LR duly supported with disbursement documents such as: authority for the purpose, list of participants or attendees, official receipts, and other relevant documents.

e. Any unexpended balance of cash advances shall be returned and an OR shall be issued by the BT. The LR shall be submitted together with appropriate supporting documents to the BT who shall submit the same to the C/M Accountant.

f. The BT/Special Disbursing Officer (SDO) granted cash advance shall**:**

1. Prepare an LR upon accomplishment of the purpose for special purpose/time-bound undertaking such as conduct of barangay general assembly, public hearing, etc.;

2. summarize in the LR the duly supported disbursements such as: authority to undertake the activity, list of participants or attendees, official receipts, etc.;

3. return any unexpended cash advances and issue an OR;

4. submit the LR together with the supporting documents to the BT, in case of SDO; and

5. submit the LR together with the supporting documents and covering TL to the C/M Accountant.

5.2.5 Petty Cash (PC)

a. The BT/Petty Cash Custodian (PCC) may be authorized by the SB to hold a petty cash in an amount that is sufficient to cover the recurring

expenses of the barangay for one month but not to exceed 20% of the funds available and to the credit of the barangay treasury provided that such amount shall be subject further to the bonding requirement of the accountable officer.

b. The PC shall be maintained under the imprest system where a sum of money kept on hand is used for small expenditures and periodically replenished.

c. The PC shall be kept separately from the regular collections and advances granted for a particular purpose.

d. All disbursements out of the PC shall be covered by duly approved and accomplished PCV supported by cash invoices, ORs or other evidence of disbursements required under applicable accounting and auditing rules and regulations.

e. The BT/PCC may be authorized to make direct purchases amounting to not more than one thousand pesos (₱ 1,000.00) at any time for the ordinary and essential needs of the barangay.

f. The PC shall be replenished when the total expenses amounts to at least 75 per cent of PC or as needed. Replenishment shall be made by submitting a Summary of Petty Cash Disbursements (SPCD) – **Annex 17**, together with PCV and supporting documents.

g. The PC shall be fully liquidated whenever an accountable officer resigns or ceased to be one. Any remaining fund shall be refunded to close the account. In no case shall the remaining cash of the former PCC be transferred to the incoming PCC. For a complete accounting, the account of the former PCC shall be closed and a new account shall be opened for the incoming PCC.

h. The balance of the PC shall be closed at the end of the year. It shall be renewed in the ensuing year using the current year's appropriation.

i. To set up Petty Cash – The BT/PCC shall:

1. prepare in the name of the BT/PCC the DV for the amount of the petty cash on the basis of the authority issued by the SB;

2. submit DV for processing and issuance of check;

3. acknowledge the receipt of the check for the petty cash by signing in the receipt portion of the DV; and

4. in case the PCC is other that the BT, the PCC shall maintain a separate cashbook and record the receipt of the petty cash in the "Petty Cash Receipt/Replenishment/(Payments)" column.

j. Disbursements from the Petty Cash

1. Disbursements out of petty cash shall be documented by a PCV and supported with invoices, OR, or other evidence of payments, as required under applicable accounting and auditing rules and regulations.

2. The BT/PCC shall record each PCV in the cashbook maintained under the "Petty Cash – Replenishment/(Payments)" column of the Cashbook in parenthesis.

k. Replenishment of the Petty Cash

1. The petty cash shall be replenished as soon as disbursements reach at least 75 per cent of the petty cash or as needed.

2. Replenishment of the petty cash shall be made through a DV prepared by the BT/PCC, supported by a SPCD, paid PCVs and supporting documents.

3. The BT/PCC shall prepare the SPCD in two copies to be distributed as follows:

Original – to the COA Auditor concerned, through the C/M Accountant to be attached to DV for replenishment)
Duplicate copy – BT file

4. The BT/PCC shall acknowledge the receipt of the replenishment check by signing in the receipt portion of the DV.

5. The BT/PCC shall record the replenishment in the Cashbook in the "Petty Cash - Receipt/ Replenishment/(Payments)" and in the "Cash in Bank – Check Issued" column in case the BT is the PCC. The "Balance" columns of the Petty Cash and Cash in Bank shall always be updated.

l. Full liquidation of the Petty Cash

There are two instances when full liquidation of petty cash is required: 1) in case the BT/PCC ceases to be one or resigns and 2) at the end of the year. In no case shall the remaining cash of the former BT/PCC be transferred to the incoming BT/PCC.

1. The outgoing PCC shall:

i. return the balance of the petty cash to the BT and the latter shall issue an OR to acknowledge receipt of the cash;

ii. record in his cashbook the returned cash under the Petty Cash – Receipt/Replenishment/ (Payments)" column in parenthesis using the OR as reference; and

iii. prepare the SPCD and LR to be submitted to the BT.

2. The outgoing BT shall:

    i. return the balance of the petty cash to the incoming BT and the latter shall issue an OR to acknowledge receipt of the cash;

    ii. record in his cashbook the returned cash under the Petty Cash – Receipt/Replenishment/(Payments)" column in parenthesis using the OR as reference; and

    iii. prepare the SPCD and LR to be submitted to the incoming BT.

3. The BT/incoming BT shall submit the LR together with the supporting documents to the C/M Accountant.

4. The C/M Accountant shall record the SPCD and LR in the books of accounts.

5.3 Illustrative Accounting Entries

5.3.1 General Disbursement

a. Disbursements by checks

Account	Dr	Cr
Asset/Expense account	xx	
Due to BIR		xx
Cash in Bank - LCCA		xx
To record payment of expenses/acquisition of assets		

b. Grant of Cash Advance for payroll

Account	Dr	Cr
Advances for Payroll	xx	
Cash in Bank - LCCA		xx
To record the grant of cash advance for payroll		

c. Liquidation of cash advance for payroll

Account	Dr	Cr
Salaries and Wages	xx	
Honoraria	xx	
Advances for Payroll		xx
Due to BIR		xx
To record payment of salaries and honoraria to officers and employees		

d. Grant of Cash Advance for travel

Account	Dr	Cr
Advances to Officers and Employees	xx	
Cash in Bank-LCCA		xx
To record the grant of cash advance for travel		

e. Liquidation of cash advance for travel

Account	Dr	Cr
Travelling Expenses – Local	xx	
Advances to Officers and Employees		xx
To record the liquidation of cash advance for travel		

f. Grant of Cash Advance for special purpose/time bounded undertaking (e.g. Training program)

Account	Dr	Cr
Advances to Officers and Employees	xx	
Cash in Bank-LCCA		xx
To record the grant of cash advance for training		

g. Liquidation of cash advance for training

Account	Dr	Cr
Training Expenses	xx	
Advances to Offices and Employees		xx
To record the liquidation of cash advance for training		

h. To set up Petty Cash

Account	Dr	Cr
Petty Cash	xx	
Cash in Bank - LCCA		xx
To set up Petty Cash		

i. Replenishment of the Petty Cash

Account	Dr	Cr
Office Supplies Expenses	xx	
Drugs and Medicines	xx	
Postage and Deliveries	xx	
Cash in Bank - LCCA		xx
To record replenishment of petty cash		

j. Full liquidation of Petty Cash at yearend

Account	Dr	Cr
Cash – In Local Treasury	xx	
Office Supplies Expenses	xx	
Postage and Deliveries	xx	
Petty Cash		xx
To record replenishment of petty cash		

5.3.2 Infrastructure Assets

a. Construction of infrastructure project by contract

1. Receipt of progress billing from contractor

Account	Dr	Cr
Construction in Progress	xx	
Accounts Payable		xx
Due to BIR		xx
To record receipt of the first progress billing		

2. Payment of accounts payable to contractor per progress billing

Account	Dr	Cr
Accounts Payable	xx	
Cash in Bank – LCCA		xx
To record payment for the first billing of the contractor per progress billing		

3. Remittance of taxes withheld

Account	Dr	Cr
Due to BIR	xx	
Cash in Bank – LCCA		xx
To record remittance of taxes withheld		

b. Construction of infrastructure project by Administration

1. Procurement of construction materials

Account	Dr	Cr
Construction Materials Inventory	xx	
Due to BIR		xx
Cash in Bank – LCCA		xx
To record purchase of construction materials		

2. Issuance of construction materials

Account	Dr	Cr
Construction in Progress	xx	
Construction Materials Inventory		xx
To record issuance of construction materials		

3. Draw cash advance for payment of payroll

Account	Dr	Cr
Advances for Payroll	xx	
Cash in Bank - LCCA		xx
To record cash advance for payment of payroll		

4. Payment of labor payroll thru cash advance

Account	Dr	Cr
Construction in Progress	xx	
Advances for Payroll		xx
Due to BIR		xx
To record payment of labor thru the disbursing officer		

5. Transfer of completed projects to appropriate assets account

Account	Dr	Cr
Buildings	xx	
Construction in Progress		xx
To record completion and acceptance of Barangay hall		

6. Repairs and Maintenance

Account	Dr	Cr
Repairs and Maintenance-Buildings	xx	
Cash in Bank – LCCA		xx
To record the cost of repairs of Barangay hall		

Chapter VI
Inventories

The BT shall act as the Property Officer of the barangay and shall be responsible for the receipt, custody, issuance and physical inventory of barangay supplies and inventories.

Inventories are assets: (a) in the form of materials or supplies to be consumed in the production process; (b) in the form of materials or supplies to be consumed or distributed in the rendering of services; (c) held for sale or distribution in the ordinary course of operations; or (d) in the process of production for sale or distribution.

Inventories in the public sector may include:

a. Ammunition;
b. Consumable stores;
c. Maintenance materials;
d. Spare parts for plant and equipment, other than those dealt with in standards on Property, Plant and Equipment;
e. Strategic stockpiles (for example, energy reserves);
f. Stocks of unissued currency;
g. Postal service supplies held for sale (for example, stamps);
h. Work-in-progress, including:
    i. Educational/training course materials; and
    ii. Client services (for example, auditing services), where those services are sold at arm's length prices; and
i. Land/property held for sale.

6.1 Specific Policies

6.1.1 Inventories for sale shall be classified as merchandise inventory.

6.1.2 Inventories shall be measured at the lower of cost and net realizable value, except where section 6.1.3 or section 6.1.4 applies.

6.1.3 Where inventories are acquired through a non-exchange transaction, their cost shall be measured at their fair value as at the date of acquisition.

6.1.4 Inventories shall be measured at the lower of cost and current replacement cost where they are held for:

a. Distribution at no charge or for a nominal charge; or
b. Consumption in the production process of goods to be distributed at no charge or for a nominal charge.

6.1.5 The cost of inventories shall comprise all costs of purchase, costs of conversion, and other costs incurred in bringing the inventories to their present location and condition.

6.1.6 The moving average method of costing shall be used for costing similar inventories. This is a method of calculating cost of inventory on the basis of weighted average on the date of issue.

6.1.7 Inventories whose cost may not be recoverable are written down to their net realizable value (NRV). The cost of inventories may not be recoverable if those inventories are damaged, if they have become wholly or partially obsolete, if their selling prices have declined, or if the estimated costs of completion or the estimated costs to be incurred to make the sale, exchange, or distribution have increased.

6.1.8 All procurement shall be governed by RA 9184 and supported with an Approved Procurement Program (APP). Total estimated cost of the APP shall not exceed the total appropriation authorized for the acquisition of supplies and property.

6.1.9 Requisition and purchase of supplies and materials shall be covered or supported by an approved Purchase Request (PR) as shown in **Annex 23** and Purchase Order (PO) in **Annex 24**.

6.1.10 Receipt of donated supplies and materials shall be acknowledged using the Acknowledgement Receipt for Donated Supplies and Materials (ARDPESM) form – **Annex 19**. With the exception of supplies and materials or welfare goods for distribution in times of calamities, all donations in kind shall be recorded in

the books of accounts using the declared value by the donor or in its absence, the fair market value.

6.1.11 Issuance of supplies shall be supported by an approved Requisition and Issue Slip (RIS) as shown in **Annex 20**. At the end of the month, the BT shall submit a Summary of Supplies and Materials Issued (SSMI) - **Annex 32** supported by the RIS to the C/M Accountant as basis for recording the expense account.

6.1.12 For proper accountability, the supplies with serviceable life of more than one year shall be covered by an Inventory Custodian Slip (ICS) as shown in **Annex 21**.

6.1.13 The ICS for supplies with more than 1 year life span shall be maintained until disposal due to wear and tear, and obsolescence. The BT shall cancel such ICS upon receipt of the defective or worn out supplies from the user which shall be disposed in accordance with existing rules and regulations on disposal of unserviceable property.

6.1.14 Stock Card (SC) shown in **Annex 22** shall be maintained to monitor and control procurement and issuance of supplies and materials.

6.2 Specific Procedures

6.3.1 Receipt of Supplies

Upon receipt of the delivered supplies, the BT shall:

a. prepare three copies of Acceptance and Inspection Report (AIR) **(Annex 27)** showing the items received and inspected to be distributed as follows:

Original	- to the C/M Accountant to be attached to the duplicate of PO and PR
Duplicate copy	- to be attached to the DV together with the originals of the PO and PR

Triplicate copy - BT file

b. based on the AIR, the BT shall record the inventory in the SC.

c. based on the PO/delivery receipt attached to the AIR, the C/M Accountant shall record the inventory asset account and payable accounts.

6.3.2 Issuance to end-users

a. The person requesting for supplies shall prepare three copies of RIS for approval by the PB.

b. The BT shall:

1. issue the supplies (if available) and require the requesting officer to sign the receipt portion of the RIS. The RIS shall be distributed as follows:

Original	- to the BT
Duplicate copy	- to the end-user

2. record the issuance of supplies in the stock cards based on signed copy of the RIS;

3. in case the supplies/item has serviceable life of more than one year, prepare two copies of ICS. The original shall be filed by the BT to monitor the location of the supplies/item and the duplicate copy shall be issued to the AO or recipient of the items; and

4. at the end of the month, prepare the SSMI summarizing all the RIS and submit to the C/M Accountant.

6.3.3 Inventory taking and Reconciliation

a. The Inventory Committee headed by the PB or his authorized representative and the BT as his

member shall conduct a physical count of all the supplies and inventory of the barangay at least once a year.

b. The Inventory Committee, upon the completion of the physical count, shall prepare three copies of Report on Inventory of Supplies and Materials (RISM), as shown in **Annex 31** and shall be approved by the PB. The RISM shall be distributed as follows:

Original	- to COA Auditor through C/M Accountant
Duplicate copy	- to the C/M Accountant
Triplicate copy	- BT file

The RISM shall be the basis of the C/M Accountant for reconciling the inventory accounts.

6.3.4 Unrecorded Supplies

a. The BT shall determine ownership of all unrecorded supplies found during the physical count and recommend to the Appraisal Committee valuation of all those determined to be owned by the barangay, if cost is not available.

b. The Appraisal Committee shall determine the fair value of the unrecorded supplies owned by the barangay.

c. The BT shall prepare and issue an ICS to the end user of the item and shall record the same in the Stock Cards,

d. The RISM shall include a separate caption for the unrecorded supplies found in station. This shall be the basis of the C/M Accountant in recording the supplies in the books of accounts.

6.3.5 Write Down of Inventories

	Cost	Estimated Selling Price	Cost to Sell/ Distribute	Net Realizable Value
Drugs and Medicines	17,000	18,000	3,000	15,000
Supplies	3,000	0	0	3,000
Total	20,000	18,000	3,000	18,000

Net Realizable Value (NRV) of Inventories

Medicines (at cost):

Paracetamol (1,000pcs @ 40/pc)	-	40,000
Ampicilin (1,000pcs @45/pc)	-	45,000
Total		85,000

Difference between Cost and NRV:

	Drugs and Medicines	Supplies
Cost	17,000	3,000
NRV	15,000	3,000
	2,000	-

Accounting Entry:

· To write-down Drugs and Medicines to Net Realizable Value

Account	Dr	Cr
Inventories Expense	2,000	
Inventories		2,000
To recognize the difference between the cost and NRV		

6.3.6 Impairment of Inventories

Inventory Item	Total Quantity	Amount /pc	Quantity of unexpired inventory	Cost of unexpired inventory	Quantity of expired inventory	Cost of expired inventory
Paracetamol	500	P40	200	P 8,000	300	P 12,000
Ampicilin	400	45	200	9,000	200	9,000
Total				P 17,000		P 21,000

Accounting Entry:

· To record the cost of expired inventories

Account	Dr	Cr
Inventories Expense (due to expiration)	21,000	
Inventories		21,000
To recognize the cost of expired inventories		

6.3 Illustrative Entries

6.3.1 Receipt of Supplies based on the PO/ DR attached to the AIR

Account	Dr	Cr
Inventories	xx	
Accounts Payable		xx
To recognize the receipt of inventories		

6.3.2 Payment

Account	Dr	Cr
Accounts Payable	xx	
Cash in Bank - LCCA		xx
To record the payment of inventories purchased		

6.3.3 Issuance based on the SSMI

Account	Dr	Cr
Inventories Expense	xx	
Inventories		xx
To recognize the issuance/distribution of inventory		

Chapter VII
Investment Property, Property, Plant and Equipment and Biological Asset

Investment Property is a land or a building – or part of a building – or both held to earn rentals or for capital appreciation, or both, rather than for: (a) use in the production or supply of goods or services, or for administrative purposes; or (b) sale in the ordinary course of operations.

Property, Plant and Equipment (PPE) are tangible items that: (a) are held for use in the production or supply of goods or services, for rental to others, or for administrative purposes; and (b) are expected to be used during more than one reporting period.

Biological Asset is a living animal or plant.

The BT shall act as the Property Officer of the barangay and shall be responsible for the receipt, custody, issuance and physical inventory of barangay property, except for the buildings and other physical structures which shall be under the accountability and responsibility of the PB.

7.1 Specific Policies

Investment Property

7.1.1 Investment property shall be measured initially at cost (transaction costs shall be included in this initial measurement).

7.1.2 Where an investment property is acquired through a non-exchange transaction, its cost shall be measured at its fair value as at the date of acquisition.

7.1.3 The cost model of accounting for investment property shall be used for subsequent measurement after initial recognition. However, the fair value of all items of investment property at the end of each reporting period shall be disclosed in the Notes to FS.

Property, Plant and Equipment/Infrastructure Assets

7.1.4 Infrastructure assets shall form part of the PPE. These assets display some or all of the following characteristics:

a. part of a system or network
b. specialized in nature and do not have alternative uses
c. immovable
d. may be subjected to constraints on disposal

7.1.5 Procurement of PPE shall be charged against appropriations for Capital Outlay and included in the APP as required by RA 9184. These items shall be recorded in the appropriate PPE accounts.

7.1.6 Procurement of construction materials for infrastructure projects implemented by administration shall be governed by the applicable guidelines issued by Government Procurement Policy Board (GPPB).

7.1.7 All costs incurred during the construction of infrastructure assets shall form part of the cost of the project. Expenses incurred after its completion shall be charged to the appropriate expense accounts.

7.1.8 Issuances of property and equipment to the end users shall be acknowledged through the Property Acknowledgement Receipt (PAR) as shown in **Annex 25** which shall be renewed at least every three years or whenever there is a change in custodianship.

7.1.9 Property/Equipment Card(PEC), see **Annex 26**, shall be maintained for all property and equipment of the barangay by the BT.

7.1.10 Property/Equipment Ledger Card (PELC), see **Annex 26.1,** shall be maintained by the C/M Accountant as subsidiary ledgers for all property and equipment of the barangay.

7.1.11 In case of transfer of property to another AO, the PAR shall be cancelled and a new one shall be issued to the new AO.

7.1.12 Requisition of PPE shall be supported with an approved PR.

7.1.13 Purchases shall be covered by PO/Contract.

7.1.14 All deliveries shall be covered by AIR as shown in **Annex 27**.

7.1.15 The purchase, construction and other forms of acquisition of supplies, property and equipment shall be governed by the implementing rules and regulations of RA 9184, "*an Act providing for the modernization, standardization and regulation of the procurement activities of the government and for other purposes*".

7.1.16 Repairs and maintenance shall be charged to appropriate repairs and maintenance expense account of the specific assets or property, plant and equipment account.

7.1.17 The disposal of property and equipment shall be governed by existing COA regulation on the matter.

7.1.18 The barangay shall conduct an annual physical inventory of all supplies, property and equipment of the barangay.

7.1.19 Report on the results of physical inventory of property/equipment shall be reconciled with the accounting records.

7.1.20 Property and equipment which have become unserviceable or no longer needed shall be returned to the BT and shall be disposed or sold at public auction, subject to applicable rules and regulations.

7.1.21 Depreciation of Investment Property and PPE shall be computed using the straight-line method after deducting a residual value equivalent to 5 per cent of the cost of the property and equipment.

7.1.22 Depreciation shall start on the month when the PPE is already available for use.

7.1.23 Impairment of Investment Property and PPE shall be recognized on the appropriate impairment loss of cash and non-cash generating assets accounts.

Biological Asset

7.1.24 It shall be measured on initial recognition and at each reporting date at its fair value less costs to sell, except in the case where the fair value cannot be measured reliably.

7.1.25 Agricultural produce harvested from an entity's biological assets shall be measured at its fair value less costs to sell at the point of harvest.

7.1.26 A gain or loss arising on initial recognition of a biological asset at fair value less costs to sell and from a change in fair value less costs to sell of a biological asset shall be included in surplus or deficit for the period in which it arises.

7.1.27 A gain or loss arising on initial recognition of agricultural produce at fair value less costs to sell shall be included in surplus or deficit for the period in which it arises.

7.1.28 Revaluations of biological assets shall be recognized on the increases or decreases of assets due to transformation.

7.1.29 The officer-in-charge or caretaker of biological assets shall maintain a Biological Assets Property Card (BAPC) **(Annex 42)** to record all additions and reductions in biological assets. He shall regularly gather data on current fair value of biological assets and post in the respective individual BAPC. A Quarterly Report of Biological Assets (QRBA) **(Annex 43)** shall likewise be prepared which contains, among others, the changes in fair value of the biological assets due to physical and price changes. The QRBA shall be submitted to the City/Municipal Accountant.

7.2 Specific Procedures

7.2.1 Receipt of Equipment

Upon receipt of the delivered equipment, the BT shall:

a. prepare three copies of AIR showing the items received and inspected to be distributed as follows:

Original	- to the C/M Accountant to be attached with the duplicate of PO and PR
Duplicate copy	- to be attached to the DV together with the originals of the PO and PR
Triplicate copy	- BT file

b. based on the AIR, the BT shall record the property and equipment in the PEC.

c. based on the AIR, the C/M Accountant shall record the asset and payable accounts.

7.2.2 Issuance to end-users

Upon receipt of the notice of the availability of the property/equipment requested, the requesting personnel shall prepare three copies of RIS for approval by the PB. The approved RIS shall be submitted to the BT.

a. The BT shall:

1. prepare the PAR as shown in **Annex 25** in three copies. Require receiving staff to sign the receipt portion of the RIS and the PAR. The PAR and the RIS shall be distributed as follows:

Original	- to BT
Duplicate copy	- to end-user
Triplicate copy	- C/M Accountant

2. issue the property or equipment; and

3. record the property or equipment in the PEC based on signed copy of the RIS and PAR.

7.2.3 Return of obsolete, unserviceable or no longer needed property/equipment

a. The AO shall return the obsolete, unserviceable or no longer needed property/equipment to the BT.

b. The BT shall –

1. prepare three copies of Return and Receipt of Property/Equipment (RRPE) as shown in **Annex 28**;

2. acknowledge receipt of the returned equipment. The RRPE shall be distributed as follows:

Original	- to Accountabe Officer
Duplicate copy	- to BT
Triplicate copy	- C/M Accountant

3. record the RRPE in the PEC and cancel the corresponding PAR.

7.2.4 Disposal of obsolete and unserviceable property

a. The BT shall prepare an Inventory, Inspection and Appraisal Report (IIAR), as shown in **Annex 29**, for obsolete and unserviceable property in three copies.

b. The C/M Accountant shall certify as to the correctness of the cost and book value.

c. The authorized inspector of the barangay shall certify as to the existence and condition of the items as enumerated in the IIAR and recommend the appropriate mode of disposal thereto.

d. The PB shall approve the disposal regardless of cost, subject to post audit of COA. In case of real property, the disposal shall be subject to the approval of the COA regardless of the value or cost involved. (Sec. 380 of the Local Government Code)

e. The authorized observer shall certify as to witnessing the actual disposal of the articles in

accordance with the recommended mode of disposal.

f. The duly accomplished IIAR shall be distributed as follows:

Original	- to the C/M Accountant as basis for drawing a JV and shall serve as its supporting document
Duplicate copy	- to the BT for recording in the PEC
Triplicate copy	- to C/M Accountant file copy

g. The IIAR shall be used as supporting document to the JV in recording disposals.

7.2.5 Inventory Taking and Reconciliation

a. The Inventory Committee headed by the PB or his authorized representative and the BT as his member shall conduct a physical count of all property and equipment of the barangay at least once a year.

b. The Inventory Committee, upon the completion of the physical count, shall prepare three copies of Report on Inventory of Property and Equipment (RIPE), as shown in **Annex 30** and shall be approved by the PB. The RIPE shall be distributed as follows:

Original	-to COA Auditor through C/M Accountant
Duplicate copy	- to the C/M Accountant
Triplicate copy	- to the BT

c. The RIPE shall be the basis of the C/M Accountant for reconciling the results of inventory with the PPE accounts.

d. The RIPE shall be the basis of the BT for reconciling the equipment covered by PAR and the PECs on file and the ICS for the small tangible items.

7.2.6 Unrecorded Property and Equipment

a. The BT shall determine ownership of all unrecorded property and equipment found during the physical count and recommend to the Appraisal Committee valuation of all those determined to be owned by the barangay, if cost is not available.

b. The Appraisal Committee shall determine the fair value of the unrecorded property and equipment owned by the barangay.

c. The BT shall prepare and issue PAR to the end user of the item and shall record the same in the PEC.

d. The RIPE shall include a separate caption of the unrecorded property and equipment found in station. This shall be the basis of the C/M Accountant in recording the subject property and equipment in the books of accounts.

7.2.7 Missing/Lost Property and Equipment

a. The Accountable Officers (AO) shall notify immediately the PB and the auditor concerned on the loss of property/equipment.

b. The AO shall prepare and submit three copies of Notice of Loss and other supporting documents to the PB and the Auditor through the BT. He/she shall also submit a Request for Relief from Property Accountability (RRPA) to the COA auditor through the PB within the statutory period of 30 days from the date of loss.

c. The PB shall conduct an investigation regarding the lost property/equipment and based on the results of his investigation, recommends action on the RRPA submitted to the COA Auditor.

d. The Auditor shall conduct his/her own investigation upon receipt of the Notice of Loss.

e. The BT shall submit the Notice of Loss and the result of investigation to GSIS, if property insured with the Property Insurance Fund (PIF) for the recovery of the insurable value of the lost asset.

f. The BT shall indicate the loss of the asset in the PEC.

g. The third copy of Notice of Loss and its supporting documents shall be forwarded to the C/M Accountant who shall reclassify in the books the lost property/equipment as liability of the accountable officer, considering the accumulated depreciation thereof.

h. Pending the receipt of the COA decision on Request for Relief from Property Accountability, the AO concerned shall be held accountable.

i. When the COA decision granting or denying the request for relief from accountability on the lost property/equipment is received, the COA auditor shall furnish copies of the decision to the PB and C/M Accountant.

j. Based on the COA decision, the C/M Accountant shall prepare the appropriate accounting entry.

k. A favorable decision shall relieve the AO from accountability while an unfavorable decision on the request for relief from accountability shall retain the liability of the accountable officer. The AO shall pay the sound value of the lost property/equipment as determined by the COA and the BT shall issue an OR to acknowledge the receipt of payment. The sound value refers to the appraised value of the property.

l. The BT shall cancel the PAR and the corresponding PEC.

7.3 Impairment of Assets

7.3.1 An entity shall assess at each reporting date whether there is any indication that an asset may be impaired.

7.3.2 A non-cash generating asset is impaired when the carrying amount of the asset exceeds its recoverable service amount. In assessing whether there is any indication that an asset may be impaired, an entity shall consider, as a minimum, the following indications:

a. External sources of information

1. Cessation, or near cessation, of the demand or need for services provided by the asset;

2. Significant long-term changes with an adverse effect on the entity have taken place during the period, or will take place in the near future, in the technological, legal or government policy environment in which the entity operated.

b. Internal sources of information

1. Evidence is available of physical damage of an asset;

2. Significant long-term changes with an adverse effect on the entity have taken place during the period, or are expected to take place in the near future, in the extent to which, or manner in which, an asset is used or is expected to be used. These changes include the asset becoming idle, plans to discontinue or restructure the operation to which an asset belongs, or plans to dispose of an asset before the previously expected date and reassessing the useful life of an asset as finite rather than indefinite;

3. A decision to halt the construction of the asset before it is complete or in a usable condition; and

4. Evidence is available from internal reporting that indicates that the service performance of an asset is, or will be, significantly worse than expected. Where demand for service ceases, or nearly ceases, the asset used to provide these services may be impaired.

c. Other indications of impairment

1. During the period, an asset's market value has declined significantly more than would be expected as a result of the passage of time or normal use.

2. A significant long-term decline in the demand or services provided by the asset.

7.3.3 Measuring Recoverable Service Amount (RSA)

a. RSA is the higher of the asset's fair value less costs to sell and the value in use.

b. If neither the Fair Value less costs to sell and the value in use exceeds the carrying amount, the asset is not impaired.

c. In determining the value in use:

	Cash Generating	Non-Cash Generating
Value in use	Present Value (PV) of estimated cash flows from continuing use of the asset and disposal at the end of its life.	PV of the remaining service potential

d. Service potential is the ability of an asset to generate future cash flows.

7.4 Illustrative Accounting Entries

7.4.1 Pro-forma accounting entries for property and equipment

Upon receipt of duplicate copies of DV and its supporting documents (PO and AIR), the C/M Accountant shall record the Property and Equipment in the appropriate journals and ledgers. The C/M Accountant shall record the property and equipment in the PELC.

a. Purchase of property and equipment

Account	Dr	Cr
Office Equipment	xx	
Information and Communication Technology Equipment	xx	
Motor Vehicle	xx	
Due to BIR		xx
Accounts Payable		xx
To record the receipt of the delivery of property and/or equipment		

b. Payment of property and equipment

Account	Dr	Cr
Accounts Payable	xx	
Cash-in-Bank, LCCA		xx
To record the payment of the purchased property and/or equipment		

c. Receipt of donations in kind from all sources

Account	Dr	Cr
Office Equipment	xx	
Information and Communication	xx	

Technology Equipment		
Motor Vehicles	xx	
Grants and Donations in Kind		xx
To record receipt of donated equipment		

d. Recognition of depreciation expenses

Account	Dr	Cr
Depreciation – Buildings and Other Structures	xx	
Depreciation – Motor Vehicles	xx	
Accumulated Depreciation – Buildings and Other Structures		xx
Accumulated Depreciation – Motor Vehicles		xx
To record depreciation expense		

e. Disposal of unserviceable property and equipment

1. Disposal thru sale (above net book value)

Account	Dr	Cr
Cash - In Local Treasury	xx	
Accumulated Depreciation – Motor Vehicles	xx	
Gain on Sale of Assets		xx
Motor Vehicles		xx
To record sale of unserviceable motor vehicle above net book value		

2. Disposal thru donation

Account	Dr	Cr
Donations	xx	
Accumulated Depreciation – Motor Vehicles	xx	

Account	Dr	Cr
Motor Vehicles		xx
To record disposal thru donation of motor vehicle		

f. Repairs and Maintenance

Account	Dr	Cr
Repairs and Maintenance - Machinery and Equipment	xx	
Cash in Bank – LCCA		xx
To record payment of minor repairs and maintenance of property and/or equipment		

g. Loss of property and equipment thru theft

1. Recording of the loss

Account	Dr	Cr
Due from Officers and Employees	xx	
Accumulated Depreciation – Motor Vehicles	xx	
Motor Vehicles		xx
To record loss of motor vehicle of the Barangay per recommendation of the PB		

2. Receipt of COA Decision granting the accountable officer relief from property accountability

Account	Dr	Cr
Loss of Assets	xx	
Due from Officers and Employees		xx
To adjust the journal entry made taking up the accountability of the		

Account	Dr	Cr
AO for the lost motor vehicle based on the COA Decision granting relief from property accountability		

3. Receipt of COA Decision denying the request of AO for relief from property accountability

No journal entry

4. Receipt of payment of AO for property lost

Account	Dr	Cr
Cash in Treasury	xx	
Due from Officers and Employees		xx
To record the receipt of payment for lost motor vehicle		

7.4.2 Revaluations

a. Transformation of Biological Assets

	Cost/ Fair Value	Cost to Sell	Cost less Cost to Sell
Original Stock	10,000	200	9,800
Revaluation			
Original Stock (physical change)	14,000	200	13,800
Reproduction 18 @ 2,000	36,000	3,600	32,400
Total			46,200
Total Increase			36,400

Accounting Entry

Account	Dr	Cr
Biological Assets	36,400	
Gain on Revaluation of BiologicalAssets		36,400
To record the gain on revaluation of biological asset		

7.4.3 Fair Value of Biological Assets

	Cost/Fair Value	Cost to Sell	Cost less Cost to Sell	
Biological Assets – Pig	8,000	200		7,800
Pig (1)	8,000	200	7,800	
5 Piglets @ P2,000/pc	10,000	500	9,500	17,300
Current Fair Value				9,500

Accounting Entry

Account	Dr	Cr
Biological Assets	9,500	
Gain on Revaluation of Biological Assets		9,500
To record the gain on revaluation of biological asset		

Chapter VIII
Miscellaneous Transactions

Miscellaneous transactions refer to transactions that are unique and not recurring in the ordinary course of operations of the government. These transaction types seldom take place or ideally should not happen at all. The following maybe considered miscellaneous transactions:

1. Loss of Cash
2. Cash Shortage
3. Cash Overage
4. Dishonored Check
5. Lost Check
6. Spoiled Check
7. Staled Check
8. Settlement of Disallowances/Charges

8.1 Specific Policies and Procedures

Loss of Cash

8.1.1 Loss of cash and property may be due to malversation, theft, robbery or other causes.

8.1.2 As soon as a shortage is definitely established, the Auditor shall issue a memorandum to the PB informing the final accountability and the shortage, attention to the C/M Accountant who shall draw a Journal Voucher (JV) to take up the shortage. Shortage in the cash accountability of the AO shall be recorded as a receivable from the AO.

8.1.3 Pending result of request for relief from accountability, no accounting entry for the loss of asset shall be recognized, instead, the loss shall be disclosed in the notes to financial statements.

Grant of Relief from Accountability

8.1.4 When a request for relief for shortages or loss of funds is granted, a copy of the decision shall be forwarded to the C/M Accountant who shall draw a JV to record the

transaction recognizing the loss of assets and reversing the receivable from the AO.

8.1.5 In case the request for relief is denied, immediate payment of the shortage shall be demanded from the AO. Restitution shall be acknowledged by the issuance of an OR by the BT.

8.1.6 In case the request for relief from accountability for loss of property caused by fire, theft, force majeure or other causes is granted, a copy of the decision shall likewise be forwarded to the C/M Accountant for the preparation of the JV.

Cash Shortage

8.1.7 In case the cash examination disclosed cash shortage and as soon as the cash shortage has been definitely established as shown in the Auditor's certification, the C/M Accountant shall draw a JV to take up the cash shortage.

a. Recognition of loss of cash (cash shortage)

Account	Dr	Cr
Due from Officers and Employees	xx	
Cash - In Local Treasury		xx
To record the cash shortage discovered during the cash examination		

b. Receipt of COA decision granting relief to the BT for the cash shortage

Account	Dr	Cr
Loss of Asset	xx	
Due from Officers and Employees		xx
To close the receivable and other deferred credits accounts due to COA Decision No. ___ dated _____ granting		

Account	Dr	Cr
relief to the BT for the shortage incurred.		

c. Receipt of Payment for cash shortage due to COA decision

Account	Dr	Cr
Cash - In Local Treasury	xx	
Due from Officers and Employees		xx
To record restitution of cash shortage		

Cash Overage

8.1.8 In case the cash examination disclosed cash overage, as determined by the auditor, the amount shall be forfeited in favor of the government and an official receipt shall be issued by the BT.

Account	Dr	Cr
Cash - In Local Treasury	xx	
Miscellaneous Income		xx
To record cash overage discovered during the cash examination		

Dishonored Checks

8.1.9 A check is said to be dishonored when upon its being duly presented for payment, such payment is refused or cannot be obtained.

8.1.10 Upon receipt of the debit memo and the dishonored check(s) from the bank, constructive cancellation of the copy of official receipt in his possession, covering the dishonored check shall be immediately effected by the BT**.** The BT shall immediately photocopy the dishonored checks and record as credit in the **Cashbook–Cash in Bank**.

8.1.11 The BT shall inform the payor of the dishonor of the check, cancellation of the OR and his liabilities under existing penal laws. Demand to effect immediate cash payment shall also be made. The BT shall then inform the Auditor who shall effect the cancellation in the duplicate copy of OR, in case the same has already been submitted for audit.

8.1.12 The BT shall forward the debit memo and the photocopy of the dishonored checks to the C/M Accountant. The C/M Accountant shall cancel the official receipt if still in his possession. He shall prepare the JV taking up the dishonored check by crediting the Cash in Bank account and debiting the appropriate income account.

a. Receipt of bank Debit Memo and original of the dishonored check

Account	Dr	Cr
Income account	xx	
Cash in Bank LCCA		xx
To record receipt of Debit Memo for check no. _____ dated _____ paid by _____ which was dishonored and returned by the bank.		

b. Receipt of payment

Account	Dr	Cr
Cash - In Local Treasury	xx	
Income account		xx
To record subsequent receipt of payment for fees covered by dishonored check		

Cancellation of Lost Check Issued

8.1.13 A check is considered lost when it is misplaced, waylaid or left behind inadvertently/negligently by the payee or holder in due course or by the

custodian/carrier thereof and after diligent search cannot be found or located; or when it is lost due to fortuitous event, theft or robbery.

8.1.14 Upon submission of sworn statement from the payee that a check issued by the Barangay is lost, the BT shall immediately notify the bank concerned for the stoppage of payment and request for a certification for non-negotiation of the check. He shall furnish a copy of the sworn statement and a copy of the bank's certification to the PB and the C/M Accountant who shall prepare the JV to cancel the payment made. Copy of the JV shall be furnished the BT as basis for him to debit the amount in the Cashbook – Cash in Bank.

8.1.15 The BT shall prepare a replacement check. The PB shall prepare PBC addressed to the bank with annotation that the same is a replacement for lost check.

8.1.16 The notarial cost for the PBC shall be shouldered by the payee who requested for check replacement.

Spoiled Checks

8.1.17 A check is considered spoiled when it is torn, mutilated, defaced or with erasures/errors affecting the genuineness of any material information contained therein. It shall be reported as such in the RAAF.

8.1.18 A check spoiled in the course of preparation or in the hands of the BT may be replaced immediately by the cancellation of the spoiled check.

8.1.19 A check spoiled in the hands of the payee may be replaced upon return of the whole or at least ¾ of the torn, mutilated, defaced or with erasures/errors check, to the BT who shall cancel the same.

8.1.20 The BT shall immediately notify the PB and the C/M Accountant of the check spoiled in the hands of the payee. The C/M Accountant shall make the necessary

adjustments in the books. The PB shall prepare the PBC for the replacement check.

8.1.21 The notarial cost for the PBC shall be shouldered by the payee who requested for check replacement.

Staled Check

8.1.22 A check is considered staled if it has been outstanding for over six months from date of issue or as prescribed by the depository bank. At least one month before a check becomes stale, the BT shall send a written notice to the payee of the existence of the check. It shall be reported as such in the RAAF.

8.1.23 A check staled in the hands of the BT may be immediately replaced upon cancellation of the staled check.

8.1.24 A check staled in the hands of the payee may be replaced upon return of the check with a written request for its replacement.

8.1.25 The BT shall immediately notify the PB and the C/M Accountant of the check staled in the hands of the payee. The C/M Accountant shall make the necessary adjustments in the books. The PB shall prepare the PBC for the replacement check.

8.1.26 The notarial cost for the PBC shall be shouldered by the payee who requested for check replacement.

Illustrative accounting entries:

a. Lost/Spoiled/Staled Check

Account	**Dr**	**Cr**
Cash in Bank, LCCA	xx	
Accounts Payable (or the appropriate liability account previously debited)		xx
To record the receipt of the original lost/spoiled/staled Check		

Account	Dr	Cr
No. _____ dated _____ issued in favor of _____ (notice of stoppage of payment issued to the bank) and request for replacement.		

b. Replacement of check

Account	Dr	Cr
Accounts Payable (or the appropriate liability account previously restored)	xx	
Cash in Bank, LCCA		xx
To record the replacement of Check No. _____ dated _____ reported lost/spoiled/stale.		

Disallowances and Charges

8.1.27 Disallowances and charges shall be taken up in the books of accounts only when they become final and executory.

a. Set-up of disallowances/charges for transactions during the year

Account	Dr	Cr
Receivables – Disallowances/Charges	xx	
Expense account		xx
Income account		xx
To record disallowances/charges		

8.1.28 Disallowances and charges become final and executory upon the lapse of the period of appeal as evidenced by the issuance of the Notice of Finality of Decision by the appropriate COA official.

8.1.29 Cash settlement of disallowances and charges shall be recorded thru the JV. Suspensions in audit and non-cash settlement thereof shall not be recorded in the books of accounts.

a. Receipt of settlement of disallowances/charges

Account	Dr	Cr
Cash - In Local Treasury	xx	
Receivables – Disallowances/Charges		xx
To record settlement of disallowances/charges		

Chapter IX
Adjusting and Closing Journal Entries

9.1 Adjusting Journal Entries

At the close of the fiscal year and before the preparation of the preliminary trial balance, the C/M Accountant shall draw a journal voucher to recognize the following adjusting journal entries:

9.1.1 Accruals – are revenues earned but not yet received and recorded, and expenses incurred but not yet paid and recorded.

9.1.2 Prepayments – are expenses paid or revenues received before they are incurred or earned. This includes prepaid expenses and unearned revenues. Prepaid expenses include depreciation and amortization expenses.

9.2 Illustrative Accounting Entries

9.2.1 Accruals

b. Accrued Revenues – Interest Income

Account	Dr	Cr
Accounts Receivable	xx	
Interest Income		xx
To record interest earned not yet received		

c. Accrued Expenses – Service Rendered

Account	Dr	Cr
Salaries and Wages – Regular	xx	
Accounts Payable		xx
To record expenses incurred but not yet paid		

9.2.2 Prepayments

A. Prepaid Expenses

Account	Dr	Cr
Depreciation – Infrastructure Assets	xx	
Accumulated Depreciation		xx
To record depreciation expense		

B. Unearned Revenues

Account	Dr	Cr
Income	xx	
Deferred Credits to Income		xx
To record unearned revenues		

9.3 Closing Journal Entries

After the close of the fiscal year, the C/M Accountant shall draw a journal voucher closing the income and expense accounts to the government equity account. The closing process is as follows:

9.3.1 Debit all the revenue account balances and credit the total to the Revenue and Expense Summary account.

9.3.2 Credit all the expense account balances and debit the total to the Revenue and Expense Summary account.

9.3.3 Debit the credit balance or credit the debit balance of the Revenue and Expense Summary account to the Government Equity account.

Chapter X
Books of Accounts, Financial Reports and Statements

10.1 Books of Accounts

The following books of accounts shall be maintained for each barangay:

a. Journal of Cash Transactions (JCT)
b. General Journal (GJ)
c. General Ledger (GL)
d. Subsidiary Ledgers (SL)

10.1.1 JCT–shall record all cash transactions of the barangay (collections and deposits, and expenses paid in cash)

10.1.2 GJ – shall record all non-cash transactions of the barangay

10.1.3 GL –is the book of final entry containing accounts arranged in the same sequence as the chart of accounts.

10.1.4 SL – is the book of final entry containing the details or breakdown of balances of the controlling account appearing in the General Ledger.

10.2 Trial Balances

After the close of the fiscal year, the C/M Accountant shall prepare the following trial balances:

10.2.1 Pre-closing trial balance – is the trial balance prepared from the general ledger after the adjusting journal entries have been journalized and posted.

10.2.2 Post-closing trial balance – is the trial balance prepared from the general ledger after the closing journal entries have been journalized and posted.

10.3 Responsibility for Financial Statements

A Statement of Management Responsibility **(Annex 34)** showing the agency's responsibility for the preparation and

presentation of the financial statements shall be prepared and signed by the C/M Accountant, the BT and PB. This statement shall be submitted together with the year-end financial statements.

10.4 Financial Reports and Statements

The C/M Accountant shall prepare the following year-end financial statements in four copies, within 60 days after the close of the year:

a. Statement of Financial Position
b. Statement of Financial Performance
c. Statement of Net Assets/Equity
d. Statement of Cash Flows
e. Statement of Comparison of Budget and Actual Amounts
f. Notes to Financial Statements

These shall be distributed as follows:

Original	- to the COA Auditor concerned
Duplicate copy	- to the Sangguniang Panglunsod or Bayan
Triplicate copy	- to the SB
Quadruplicate copy	- to the C/M Accountant

10.4.1 Statement of Financial Position (**Annex 35**). This financial statement shows the assets, liabilities and government equity.

10.4.2 Statement of Financial Performance (**Annex 36**). This statement shows the receipts or revenues and expenses of the barangay. This shall be prepared monthly to represent as the Statement of Receipts and Expenditures and submitted 30 days after the close of each month, copy furnished the Auditor.

10.4.3 Statement of Net Assets/Equity (**Annex 37**).This statement shows changes in net assets/equity and shall present the following items on the face of the statement:

a. Surplus or deficit for the period;

b. Each item of revenue and expense for the period that is recognized directly in net assets/equity;
c. For each component of net assets/equity separately disclosed as effects of changes in accounting policies and corrections of error.

10.4.4 Statement of Cash Flows (**Annex 38**) This presents all cash transactions of the barangay classified under operating, investing and financing activities.

10.4.5 Statement of Comparison of Budget and Actual Amounts (**Annex 39**).This statement shows the comparison of budget (estimates of income and appropriation) and actual amounts of income and expenditures.

10.4.6 Notes to the Financial Statements (**Annex 40**) is an integral part that explains the items or accounts in the financial statements. It includes additional information to enhance the value of the financial data in the financial statements.

Chapter XI
Special Trust Funds

The barangay may also be a recipient of specific purpose funds granted by other levels of government and donors. Also, unspent budgetary items of the 5% Local Disaster Risk Reduction and Management Fund (LDRRMF), and the unspent Sangguniang Kabataan (SK) allocation become Special Trust Funds (STF) at the close of the year.

Grants for specific purposes received from sources other than the government shall be recognized as income, once the condition for the grant is complied.

11.1 Specific Policies

11.1.1 Expenditures for STF shall be for the purpose for which the STF is created or received.

11.1.2 Disbursements for specific STF shall not exceed the balance of the STF.

11.1.3 A Registry for Special Trust Fund (RSTF) – **Annex 33** shall be maintained for each STF until the STF is fully utilized.

11.1.4 The RSTF shall show the amount of funds for specific purposes and charges thereof.

11.1.5 Any unspent balance from the appropriation for current year appropriation for LDRRMF shall at the end of the year be transferred to the STF.

11.1.6 The CCA shall post in the RSTF trust funds (which include donations/grants for specific purposes) from the RCD submitted by the BT.

11.1.7 Based on the RSTF, the CCA shall certify as to the availability of funds on the DV or Payrolls charged to special trust fund. As such, the CCA shall regularly update the RSTFs by posting all certified obligations to determine available balance of the funds.

11.1.8 Procurement funded out of the STF shall follow Republic Act (RA) 9184.

11.2 Specific Procedures

Receipt of STF

11.2.1 BT shall specify in the OR issued the specific purpose for the receipt.

11.2.2 BT shall furnish the CCA a copy of the RCD with collection for STF.

Disbursement

11.2.3 Based on the RSTF, the CCA shall certify as to the existence of available funds for the specific purpose.

11.2.4 The CCA shall report monthly the charges and balances of each STF.

11.3 Illustrative Accounting Entries

Receipt of STF

11.3.1 Receipt of donations/grants for LDRRMF from other LGUs/NGAs and other sources

Account	Dr	Cr
Cash	xx	
Trust Liability – DRRMF		xx
To record receipt of donation		

11.3.2 Receipt of cash from NGAs for construction of school building

Account	Dr	Cr
Cash	xx	
Trust Liability		xx
To record receipt of donation for		

construction of school building		

11.3.3 Receipt of cash from the Provincial Government (PG) for health care activities

Account	Dr	Cr
Cash	xx	
Trust Liability		xx
To record receipt of donation for health care activities		

Disbursement

11.3.4 Charges to the DRRMF

Account	Dr	Cr
Expenses	xx	
Cash or Accounts Payable		xx
To record charges against the trust liability account		

11.3.5 Purchase of relief goods funded from donations of private individuals

Account	Dr	Cr
Welfare Goods for Distribution	xx	
Cash		xx
To record cost of food supplies for flood victims		

11.3.6 Upon distribution

Account	Dr	Cr
Welfare Goods Expense	xx	
Welfare Goods for Distribution		xx
To record the distribution of food supplies for flood victims		

11.3.7 Recognition of the spent portion as income

Account	Dr	Cr
Trust Liability – DRRMF	xx	
Grants and Donations in Cash		xx
To record the expended portion of the donation as income		

11.3.8 Repair and maintenance of facilities using funds given by national government for disaster activities

Account	Dr	Cr
Repairs and Maintenance	xx	
Cash or Accounts Payable		xx
To record cost of repair and maintenance		

11.3.9 Recognition of spent portion as income

Account	Dr	Cr
Trust Liability – DRRMF	xx	
Subsidy from National Government		xx
To record the expended portion as income		

11.3.10 Construction of school building taken from subsidy from national government

Account	Dr	Cr
School Building	xx	
Cash or Accounts Payable		xx
To record the day care center constructed from subsidy from NG		

11.3.11 Recognition of spent portion as income

Account	Dr	Cr
Trust Liabilities – DRRMF	xx	
Subsidy from National Government		xx
To record the expended portion as income		

11.3.12 Purchase of Equipment for DRRM funded from donations

Account	Dr	Cr
Disaster Response and Rescue Equipment	xx	
Cash or Accounts Payable		xx
To record cost of utility vehicle for DRRM		

11.3.13 To transfer the utilized LDRRMF to the Income account

Account	Dr	Cr
Trust Liability – DRRMF	xx	
Grant and Donations		xx
To record the transfer of utilized LDRRMF		

11.3.14 Transfer of unused LDRRM Funds

Account	Dr	Cr
Transfer to TF unutilized current year allocation for LDRRMF	xx	
Trust Liabilities – DRRMF		xx
To transfer the unexpended QRF and DRRMF-MOOE to the special trust account at year-end		

Chapter XII
Other Provisions

12.1 Fiscal Responsibilities of Barangay Officials

In connection with the management of the barangay funds and property, the duties and responsibilities of the barangay officials are as follows:

12.1.1 Punong Barangay

a. In coordination with the barangay development council, prepares the annual executive and supplemental budgets of the barangay;

b. Implements function, project contracts and activities to provide basic services and facilities to the barangay as appropriated;

c. Negotiates, enters into and signs contracts for and in behalf of the barangay upon authorization of the SB;

d. Certifies DVs and payrolls as to validity, propriety and legality of the claim;

e. Approves claims relating to the disbursements of barangay funds;

f. Countersigns checks in payment of the claims;

g. Prepares the PB Certification for barangay check disbursements per COA Circular No. 2012-005 dated December 7, 2012.

h. Signs the Statement of Management Responsibility over the Financial Statements;

i. Ensures that all transaction documents and reports are submitted to the C/M accountant;

j. Keeps complete records on the buildings and other structures of the barangay;

k. Conducts physical count of supplies, investment property, property, plant and equipment, and biological assets;

l. Ensures that all accounting documents and records are properly kept by concerned barangay officials and staff; and

m. Informs the COA Auditor's Office of the resignation, retirement, suspension of the barangay officials including change of BT so that the latter could be subjected to audit.

12.1.2 Chairman, Committee on Appropriations

a. Certifies the DV/payroll as to the existence of available appropriations to cover the claim;

b. Monitors the utilization of appropriations with the use of the appropriate RAOs as shown in Annex 6;

c. Monitors the utilization of special trust funds with the use of appropriate RSTF.

d. Maintains the RAOs and RSTF;

e. Ensures that commitments/charges to the approved appropriations and special trust funds do not exceed the available appropriations and special trust funds; and

f. Certifies the RAOs and prepares and submits the SAOB at the end of the year to the C/M Accountant for submission to the COA Auditor.

12.1.3 Barangay Treasurer

a. Collections

1. Keeps custody of barangay funds and property and ensure the safety of cash, cash items and barangay records;

2. Collects all taxes, fees and other charges due and contributions accruing to the barangay and deposit the same with authorized depository bank;

3. Collects for the C/M Treasurer when deputized and remits all collections intact;

4. Renders report on collections and deposit made.

b. Disbursements

1. Certifies to the availability of cash for the DV/Payroll presented;

2. Issues and signs checks for payment of obligations;

3. Renders the report on checks, cash and PCF disbursements;

4. Maintains the Cashbook to record in and out of cash in the treasury, in depository banks and petty cash;

c. Supplies and Materials and Property

1. Keeps the records of supplies and materials and property of the barangay;

2. Prepares and maintains the ICS for the issuance of small items with serviceable life of more than one year and PAR for the issuance of property and equipment to end-users; and

3. Assists the PB in the conduct of physical count of property.

d. Others

1. Update and reconcile his cashbook with the Cash in Bank and Cash Local Treasury

accounts appearing in the general ledger maintained by the C/M Accountant.

12.1.4 C/M Accountant

a. Maintains the books of accounts of each barangay under the city/municipality;

   1. Records all cash transactions in the JCT;

   2. Records all non-cash transaction in the General Journal thru JVs;

   3. Posts the recorded transactions in the journals to the General Ledgers; and

   4. Posts all the transactions to the specific Subsidiary Ledgers.

b. Prepares the required monthly and year-end TBs, FS, and reports/schedules for each barangay;

c. Submits the monthly and year-end barangay individual financial reports to the SB, PB and COA Auditor/ATL concerned. Submits digital copies of the TBs, FSs and reports/schedules of the barangays to the COA Auditor/ATL at year-end;

d. Prepares year-end consolidated FS of barangays and submits the same to the COA Auditor/ATL;

e. Prepares the RBDCM upon receipt of the Debit Memos, Credit Memos and Bank Statement of the barangay and furnish immediately the BT of the same to update and reconcile the balance of Cash in Bank account in his cashbook;

f. Prepares the monthly Bank Reconciliation Statement upon receipt of the Bank Statement; and

g. Performs such other duties and functions as may be provided by law or ordinances.

12.2 Bonding of Accountable Officer

12.2.1 The BT shall be bonded in accordance with existing laws in an amount to be determined by the SB but not exceeding Ten Thousand Pesos (P10,000.00), premiums for which shall be paid by the barangay. (Sec. 395 (d) of RA 7160).

12.2.2 The provincial/city or municipal treasurer may designate the BT as his deputy to collect local taxes, fees or charges. In case a bond is required for the purpose the provincial, city or municipal government shall pay the premiums thereon in addition to the premiums of bond that may be required under this Code. (Sec. 170 of RA 7160).

12.2.3 Copy of the fidelity bond with the appointment and oath of office of each AO shall be furnished to the COA Auditor concerned for record purposes.

12.3 Maintenance and Custody of Records

12.3.1 Every officer primarily accountable for government property shall keep a complete record of all properties under his charge and render his accounts therefore semi-annually to the PB. (Sec. 375 (d) of RA 7160).

12.3.2 The C/M Accountant shall retain a copy of all documents required to be on file.

12.3.3 In case of loss of financial documents, such as DVs, LRs, and the like, the AO or record custodian shall make a report to the PB and COA. The lost records shall be reconstituted by proving its contents by a copy, or by a recital of its contents in some authentic documents or by the testimony of witnesses in the order stated.

12.3.4 Upon reconstitution of the lost documents by the AO, particularly DVs, the same shall be submitted to the PB for approval, to the C/M Accountant for recording in the books of accounts, and to the Auditor for post audit.

12.4 Transfer of Accountability

12.4.1 All AOs leaving the barangay (either through resignation, completion of term, suspension or retirement) shall seek clearance from money and property accountabilities.

12.4.2 Outgoing barangay officials shall secure money and property clearance as provided in DILG Memorandum Circular No. 2002-122 dated August 5, 2002.

12.4.3 The outgoing PB shall turn-over to the incoming PB all the barangay properties and records listed in the Turnover - Receipt form. Both PBs shall sign the invoice-receipt before the outgoing PB secures clearance from the C/M mayor.

12.4.4 The outgoing BT shall update, rule and certify his/her cashbook. He/she shall submit all paid DVs and RCD up to his last day of service as BT to the C/M accountant.

12.4.5 The outgoing BT shall prepare and sign the Turnover–Receipt form for all his/her accountabilities and records maintained. The incoming BT shall acknowledge receipt of said accountabilities by signing the Turnover–Receipt form also, duly witnessed by the PB.

12.4.6 The outgoing BT shall submit the cashbook to the C/M Accountant as part of the accounting records. All these should be received by the C/M accountant before the clearance of the outgoing BT is signed.

12.4.7 The duly accomplished Turnover - Receipt shall be furnished the following:

a. Incoming PB
b. Outgoing PB
c. Incoming BT
d. Outgoing BT
e. C/M Accountant
f. COA Auditor

12.5 Rendition of Accounts

12.5.1 The PB and BT shall be responsible for the timely submission of the reports and accounts to the C/M Accountant. Observance to the provision of Article 218 of the Revised Penal Code which states that "*Any public officer, whether in the service or separated therefrom by resignation or any other cause, who is required by law or regulations to render account to the Insular Auditor,* or to a Provincial Auditor and who fails to do so for a period of two months after such account shall be rendered shall be punished by prison correccional in its minimum period, or by a fine ranging from 200 to 6,000, or both*". (* now Commission on Audit)

12.5.2 The BT shall submit the RCDs, LR, ORs/DVs/Payrolls and Monthly RAAF to the C/M Accountant within 10 days after the end of the month.

12.5.3 The C/M Accountant shall submit to the COA Auditor concerned the collections and disbursements accounts and reports of each month on or before the 15th working day of the succeeding month.

12.5.4 The PB shall submit to the C/M Accountant and the COA Auditor concerned the Reports on the Property Inventory and Supplies Inventory at year-end, not later than the 10th day of January of the following year.

Chapter XIII
Chart of Accounts

Barangay financial transactions shall be recorded under the double-entry method of bookkeeping within the framework of the chart and code of accounts shown below:

ACCOUNT TITLE	ACCOUNT CODE
ASSETS	
Cash	
Cash on Hand	
Cash – In Local Treasury	1-01-01-010
Petty Cash	1-01-01-020
Cash in Bank	
Cash in Bank - Local Currency, Current Account	1-01-02-010
Investments	
Investment in Time Deposits	1-02-01-010
Receivables	
Receivable Accounts	
Accounts Receivable	1-03-01-010
Allowance for Impairment – Accounts Receivable	1-03-01-011
Inter-agency Receivables	
Due from Local Government Units	1-03-02-010
Advances	
Advances for Payroll	1-03-03-010
Advances to Officers and Employees	1-03-03-020
Other Receivables	
Receivables - Disallowances/Charges	1-03-04-010
Due from Officers and Employees	1-03-04-020
Due from NGO/POs	1-03-04-030
Other Receivables	1-03-04-990
Allowance for Impairment – Other Receivables	1-03-04-991

Inventories	
Inventory Held for Sale	
Merchandise Inventory	1-04-01-010
Inventory Held for Distribution	
Welfare Goods for Distribution	1-04-02-010
Drugs and Medicines for Distribution	1-04-02-020
Other Supplies and Materials for Distribution	1-04-02-990
Inventory Held for Consumption	
Office Supplies Inventory	1-04-03-010
Accountable Forms, Plates and Stickers Inventory	1-04-03-020
Construction Materials Inventory	1-04-03-030
Other Supplies and Materials Inventory	1-04-03-990
Prepayments	
Advances to Contractors	1-05-01-010
Other Prepayments	1-05-01-990
Investment Property	
Investment Property - Land	1-06-01-010
Accumulated Impairment Losses – Investment Property - Land	1-06-01-012
Investment Property - Buildings	1-06-01-020
Accumulated Depreciation – Investment Property - Buildings	1-06-01-021
Accumulated Impairment Losses – Investment Property – Buildings	1-06-01-022
Property, Plant and Equipment	
Land	
Land	1-07-01-010
Accumulated Impairment Losses - Land	1-07-01-012
Land Improvements	
Other Land Improvements	1-07-02-990
Accumulated Depreciation – Other Land Improvements	1-07-02-991
Accumulated Impairment Losses – Other Land Improvements	1-07-02-992
Infrastructure Assets	
Road Networks	1-07-03-010

Accumulated Depreciation – Road Networks	1-07-03-011
Accumulated Impairment Losses – Road Networks	1-07-03-012
Flood Control Systems	1-07-03-020
Accumulated Depreciation – Flood Control Systems	1-07-03-021
Accumulated Impairment Losses – Flood Control Systems	1-07-03-022
Sewer Systems	1-07-03-030
Accumulated Depreciation – Sewer Systems	1-07-03-031
Accumulated Impairment Losses – Sewer Systems	1-07-03-032
Water Supply Systems	1-07-03-040
Accumulated Depreciation – Water Supply Systems	1-07-03-041
Accumulated Impairment Losses – Water Supply Systems	1-07-03-042
Parks, Plazas and Monuments	1-07-03-050
Accumulated Depreciation – Parks, Plazas and Monuments	1-07-03-051
Accumulated Impairment Losses – Parks, Plazas and Monuments	1-07-03-052
Other Infrastructure Assets	1-07-03-990
Accumulated Depreciation – Other Infrastructure Assets	1-07-03-991
Accumulated Impairment Losses – Other Infrastructure Assets	1-07-03-992
Buildings and Other Structures	
Buildings	1-07-04-010
Accumulated Depreciation –Buildings	1-07-04-011
Accumulated Impairment Losses – Buildings	1-07-04-012
School Buildings	1-07-04-020
Accumulated Depreciation – School Buildings	1-07-04-021
Accumulated Impairment Losses –School Buildings	1-07-04-022
Hospitals and Health Centers	1-07-04-030
Accumulated Depreciation –Hospitals and Health Centers	1-07-04-031

Accumulated Impairment Losses – Hospitals and Health Centers	1-07-04-032
Markets	1-07-04-040
Accumulated Depreciation – Markets	1-07-04-041
Accumulated Impairment Losses – Markets	1-07-04-042
Other Structures	1-07-04-990
Accumulated Depreciation – Other Structures	1-07-04-991
Accumulated Impairment Losses – Other Structures	1-07-04-992
Machinery and Equipment	
Machinery	1-07-05-010
Accumulated Depreciation – Machinery	1-07-05-011
Accumulated Impairment Losses – Machinery	1-07-05-012
Office Equipment	1-07-05-020
Accumulated Depreciation – Office Equipment	1-07-05-021
Accumulated Impairment Losses – Office Equipment	1-07-05-022
Information and Communication Technology Equipment	1-07-05-030
Accumulated Depreciation – Information and Communication Technology Equipment	1-07-05-031
Accumulated Impairment Losses – Information and Communication Technology Equipment	1-07-05-032
Communication Equipment	1-07-05-040
Accumulated Depreciation – Communication Equipment	1-07-05-041
Accumulated Impairment Losses – Communication Equipment	1-07-05-042
Construction and Heavy Equipment	1-07-05-050
Accumulated Depreciation – Construction and Heavy Equipment	1-07-05-051
Accumulated Impairment Losses – Construction and Heavy Equipment	1-07-05-052
Disaster Response and Rescue Equipment	1-07-05-060
Accumulated Depreciation – Disaster Response and Rescue Equipment	1-07-05-061

Accumulated Impairment Losses – Disaster Response and Rescue Equipment	1-07-05-062
Military, Police and Security Equipment	1-07-05-070
Accumulated Depreciation – Military, Police and Security Equipment	1-07-05-071
Accumulated Impairment Losses – Military, Police and Security Equipment	1-07-05-072
Sports Equipment	1-07-05-080
Accumulated Depreciation – Sports Equipment	1-07-05-081
Accumulated Impairment Losses – Sports Equipment	1-07-05-082
Technical and Scientific Equipment	1-07-05-090
Accumulated Depreciation – Technical and Scientific Equipment	1-07-05-091
Accumulated Impairment Losses – Technical and Scientific Equipment	1-07-05-092
Other Machinery and Equipment	1-07-05-990
Accumulated Depreciation – Other Machinery and Equipment	1-07-05-991
Accumulated Impairment Losses – Other Machinery and Equipment	1-07-05-992
Transportation Equipment	
Motor Vehicles	1-07-06-010
Accumulated Depreciation – Motor Vehicles	1-07-06-011
Accumulated Impairment Losses – Motor Vehicles	1-07-06-012
Watercrafts	1-07-06-020
Accumulated Depreciation – Watercrafts	1-07-06-021
Accumulated Impairment Losses – Watercrafts	1-07-06-022
Other Transportation Equipment	1-07-06-990
Accumulated Depreciation – Other Transportation Equipment	1-07-06-991
Accumulated Impairment Losses – Other Transportation Equipment	1-07-06-992
Furniture, Fixtures and Books	
Furniture and Fixtures	1-07-07-010
Accumulated Depreciation – Furniture and Fixtures	1-07-07-011

Accumulated Impairment Losses – Furniture and Fixtures	1-07-07-012
Books	1-07-07-020
Accumulated Depreciation – Books	1-07-07-021
Accumulated Impairment Losses – Books	1-07-07-022
Leased Assets	
Leased Assets, Land	1-07-08-010
Accumulated Impairment Losses – Leased Assets, Land	1-07-08-012
Leased Assets, Buildings and Other Structures	1-07-08-020
Accumulated Depreciation – Leased Assets, Buildings and Other Structures	1-07-08-021
Accumulated Impairment Losses – Leased Assets, Buildings and Other Structures	1-07-08-022
Leased Assets, Machinery and Equipment	1-07-08-030
Accumulated Depreciation – Leased Assets, Machinery and Equipment	1-07-08-031
Accumulated Impairment Losses – Leased Assets, Machinery and Equipment	1-07-08-032
Leased Assets, Transportation Equipment	1-07-08-040
Accumulated Depreciation – Leased Assets, Transportation Equipment	1-07-08-041
Accumulated Impairment Losses – Leased Assets, Transportation Equipment	1-07-08-042
Other Leased Assets	1-07-08-990
Accumulated Depreciation – Other Leased Assets	1-07-08-991
Accumulated Impairment Losses – Other Leased Assets	1-07-08-992
Leased Assets Improvements	
Leased Assets Improvements, Land	1-07-09-010
Accumulated Depreciation – Leased Assets Improvements, Land	1-07-09-011
Accumulated Impairment Losses – Leased Assets Improvements, Land	1-07-09-012
Leased Assets Improvements, Buildings	1-07-09-020
Accumulated Depreciation – Leased Assets Improvements, Buildings	1-07-09-021
Accumulated Impairment Losses – Leased Assets Improvements, Buildings	1-07-09-022

Other Leased Assets Improvements	1-07-09-990
Accumulated Depreciation – Other Leased Assets Improvements	1-07-09-991
Accumulated Impairment Losses – Other Leased Assets Improvements	1-07-09-992
Construction in Progress	
Construction in Progress - Land Improvements	1-07-10-010
Construction in Progress - Infrastructure Assets	1-07-10-020
Construction in Progress - Buildings and Other Structures	1-07-10-030
Construction in Progress - Leased Assets	1-07-10-040
Construction in Progress - Leased Assets Improvements	1-07-10-050
Other Property, Plant and Equipment	
Other Property, Plant and Equipment	1-07-99-990
Accumulated Depreciation – Other Property, Plant and Equipment	1-07-99-991
Accumulated Impairment Losses – Other Property, Plant and Equipment	1-07-99-992
Biological Assets	
Biological Assets	1-08-01-010

LIABILITIES

Financial Liabilities	
Payables	
Accounts Payable	2-01-01-010
Due to Officers and Employees	2-01-01-020
Interest Payable	2-01-01-030
Operating Lease Payable	2-01-01-040
Finance Lease Payable	2-01-01-050
Leave Benefits Payable	2-01-01-060
Provisions	
Other Provisions	2-01-02-010
Bills/Bonds/Loans Payable	
Loans Payable - Domestic	2-01-03-010

Inter-Agency Payables	
Due to BIR	2-02-01-010
Due to GSIS	2-02-01-020
Due to Pag-IBIG	2-02-01-030
Due to PhilHealth	2-02-01-040
Due to NGAs	2-02-01-050
Due to GOCCs	2-02-01-060
Due to LGUs	2-02-01-070
Trust Liabilities	
Trust Liabilities	2-03-01-010
Guaranty/Security Deposits Payable	2-03-01-020
Trust Liabilities - Disaster Risk Reduction and Management Fund (DRRMF)	2-03-01-030
Other Payables	
Other Payables	2-99-99-990

EQUITY

Government Equity	
Government Equity	3-01-01-010
Prior Years' Adjustments	3-01-01-020
Intermediate Accounts	
Revenue and Expense Summary	3-01-02-010

REVENUE AND EXPENSES

Revenue from Non-Exchange Transactions	
Tax Revenue	
Tax Revenue - Property	
Real Property Tax	4-01-01-010
Tax Revenue -Goods and Services	
Business Tax	4-01-02-010
Share on the tax from sand, gravel and other quarry products	4-01-02-020

Tax Revenue - Permit Fees	
Fees and Charges on commercial breeding of fighting cocks, cockfights and cockpits	4-01-03-010
Fees and Charges on places of recreation which charge admission fees	4-01-03-020
Fees and Charges on billboards, signboards, neon signs and outdoor advertisements	4-01-03-030
Tax Revenue -Others	
Share from Internal Revenue Collections	4-01-04-010
Other Taxes	4-01-04-990
Tax Revenue - Fines and Penalties	
Tax Revenue - Fines and Penalties- Property	4-01-05-010
Tax Revenue - Fines and Penalties- Goods and Services	4-01-05-020
Tax Revenue - Fines and Penalties- Permit Fees	4-01-05-030
Tax Revenue - Fines and Penalties- Others	4-01-05-990
Subsidy/Assistance	
Subsidy from National Government	4-02-01-010
Subsidy from Other Local Government Units	4-02-01-020
Transfer of Unspent Previous Years' LDRRMF	4-02-01-030
Shares, Grants and Donations	
Shares	
Share from National Wealth	4-03-01-010
Grants and Donations	
Grants and Donations in Cash	4-03-02-010
Grants and Donations in Kind	4-03-02-020
Revenue from Exchange Transactions	
Service and Business Revenue	
Service Revenue	
Clearance and Certification Fees	4-04-01-010
Other Service Revenue	4-04-01-990
Business Income	
Garbage Fees	4-04-02-010

Market Fees	4-04-02-020
Other Business Income	4-04-02-990
Gains	
Gain on Sale of Property, Plant and Equipment	4-05-01-010
Gain on Revaluation of Biological Assets	4-05-01-020
Expenses	
Personnel Services	
Salaries and Wages	
Salaries and Wages - Regular	5-01-01-010
Salaries and Wages - Casual/Contractual	5-01-01-020
Other Compensation	
Personal Economic Relief Allowance (PERA)	5-01-02-010
Clothing/Uniform Allowance	5-01-02-020
Subsistence Allowance	5-01-02-030
Productivity Incentive Allowance	5-01-02-040
Honoraria	5-01-02-050
Year End Bonus	5-01-02-060
Cash Gift	5-01-02-070
Other Bonuses and Allowances	5-01-02-990
Personnel Benefit Contributions	
Retirement and Life Insurance Premiums	5-01-03-010
Pag-IBIG Contributions	5-01-03-020
PhilHealth Contributions	5-01-03-030
Employees Compensation Insurance Premiums	5-01-03-040
Other Personnel Benefits	
Terminal Leave Benefits	5-01-04-010
Other Personnel Benefits	5-01-04-990
Maintenance and Other Operating Expenses	
Travelling Expenses	
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Chapter XIV
Description of Accounts

ASSETS

Cash

Cash on Hand

14.1. **Cash - In Local Treasury (1-01-01-010).** This account is used to record in the book of barangays the amount of cash in the Local Treasury.

14.2. **Petty Cash (1-01-01-020).** This account is used to record the amount granted to duly designated Petty Cash Custodian for payment of authorized petty or miscellaneous expenses which cannot be conveniently paid through checks. Credit this account every time there is a change of Petty Cash Custodian, and at year end, for refund and liquidation of cash advance.

Cash in Bank

14.3. **Cash in Bank – Local Currency, Current Account (1-01-02-010).** This account is used to record deposits of cash with AGDBs.

Investments

14.4. **Investment in Time Deposits (1-02-01-010).** This account is used to record placement in local currency with AGDBs of excess cash or cash not earmarked for immediate use for a specified period.

Receivables

Receivable Accounts

14.5. **Accounts Receivable (1-03-01-010).** This account is used to record the amount due from customers arising from regular trade and business transactions. Credit this account upon collection of receivables, transfers or write-off.

14.6. **Allowance for Impairment –Accounts Receivable (1-03-01-011).** This account is credited upon set-up of provision for losses which may arise from non-collection. Debit this account upon collection of receivables, transfers, reversal of impairment or write-off.

Inter-agency Receivables

14.7. **Due from Local Government Units (1-03-02-010).** This account is used to record amount of receivable from other local government units (LGUs) for share from LGUs income and other receivables.

Advances

14.8. **Advances for Payroll (1-03-03-010).** This account is used to record the amount of cash advance granted to regular disbursing officer for payment of salaries, wages, honoraria, allowances and other personnel benefits. Credit this account upon liquidation.

14.9. **Advances to Officers and Employees (1-03-03-020).** This account is used to record amount advanced to officers and employees for official travel. Credit this account for liquidation of advances.

Other Receivables

14.10. **Receivables – Disallowances/Charges (1-03-04-010).** This account is used to record the amount of disallowances in audit due from public/private individuals/entities which have become final and executory. Credit this account for settlement of disallowances/charges.

14.11. **Due from Officers and Employees (1-03-04-020).** This account is used to record amount of claims from agency's Officers and employees for overpayment, cash shortage, loss of assets and other bills issued by the agency. Credit this account for collection of receivables.

14.12. **Other Receivables (1-03-04-990).** This account is used to record amount due from debtors and other agencies not

falling under any of the specific receivable account. Credit this account for payment/liquidation of receivables.

14.13. **Allowance for Impairment - Other Receivables (1-03-04-991).** This account is credited to reduce the cost/amortized cost/fair value of other receivables due to impairment. Debit this account upon receipt of other receivables, transfers, reversal of impairment loss and write-off.

Inventories

Inventory Held for Sale

14.14. **Merchandise Inventory (1-04-01-010).**This account is used to record the cost or other appropriate value of merchandise and other property which have been purchased or produced for sale. It includes but not limited to drugs and medicines, and finished products fabricated/manufactured/produced out of barangay's manufacturing operations which are intended for sale. Credit this account for sale, issuance or other modes of disposition of the above items.

Inventory Held for Distribution

14.15. **Welfare Goods for Distribution (1-04-02-010).** This account is used to record the cost of goods for distribution to people affected by calamities/disasters/ground conflicts such as canned goods, noodles, mosquito nets, blankets, mats, kitchen utensils, flashlights and other similar items. Credit this account for issuance to end-users or transfers.

14.16. **Drugs and Medicines for Distribution (1-04-02-020).** This account is used to record the cost of drugs and medicines purchased/received for distribution. Credit this account for issuance to end-users or transfers.

14.17. **Other Supplies and Materials for Distribution (1-04-02-990).** This account is used to record the cost of purchased/acquired inventories not falling under any of the specific inventory accounts held for distribution. Credit this account for issuance to end-users or transfers.

Inventory Held for Consumption

14.18. **Office Supplies Inventory (1-04-03-010).** This account is used to record the cost or value of purchased/acquired office supplies such as bond papers, inks, and small tangible items like staple wire removers, punchers, staplers, and other similar items for government operations. Credit this account for issuance to end-users, transfers, loss or other disposal.

14.19. **Accountable Forms, Plates and Stickers Inventory (1-04-03-020).** This account is used to record the cost of accountable forms acquired for government operation. It includes accountable forms with and without face value, such as official receipts, tickets, stickers, permit/license plates, and the like. Credit this account for issuance to end-users, transfers, loss or other disposal.

14.20. **Construction Materials Inventory (1-04-03-030).** This account is used to record cost of construction materials purchased/acquired for stock and later issuance for the construction, fabrication, repair and rehabilitation of government facilities undertaken by administration. Credit this account for issuance to projects, transfers, loss or other disposal.

14.21. **Other Suppliesand Materials Inventory (1-04-03-990).** This account is used to record the cost of purchased/acquired supplies and materials not falling under any of the specific inventory accounts held for consumption. Credit this account for issuance, transfers, loss or other disposal.

Prepayments

14.22. **Advances to Contractors (1-05-01-010).** This account is used to record amount advanced to contractors as authorized by law. Credit this account for recoupment of advances.

14.23. **Other Prepayments (1-05-01-990).** This account is used to record the amount of prepayments not falling under any of the specific prepayment accounts. Credit this account for the expended amount.

Investment Property

14.24. **Investment Property – Land (1-06-01-010).** This account is used to record the cost of land or part of a land held by the owner (or by the lessee under a finance lease) to earn rentals or for capital appreciation or both. Credit this account for disposal or reclassification to Property, Plant and Equipment account.

14.25. **Accumulated Impairment Losses – Investment Property – Land (1-06-01-012).** This account is credited for the loss in the future economic benefits or service potential of the investment property, Debit this account upon disposal of the asset and reversal of impairment loss.

14.26. **Investment Property – Buildings (1-06-01-020).** This account is used to record the cost of building or part of a building held by the owner (or by the lessee under a finance lease) to earn rentals or for capital appreciation or both. Credit this account for disposal or reclassification to Property, Plant and Equipment account.

14.27. **Accumulated Depreciation – Investment Property – Buildings (1-06-01-021).** This account is credited for the allocation of cost of building held as investment property in accordance with the prescribed policy on depreciation. Debit this account upon disposal of the asset or reclassification to Property, Plant and Equipment account.

14.28. **Accumulated Impairment Losses – Investment Property – Buildings (1-06-01-022).** This account is credited for the loss in the future economic benefits or service potential of the investment property, over and above depreciation, which is equivalent to the excess of the carrying amount of the asset over its recoverable service amount. Debit this account upon disposal of the asset, upon reclassification to other Property, Plant and Equipment account, transfers or reversal of impairment loss.

Property, Plant and Equipment

Land

14.29. **Land (1-07-01-010).** This account is used to record the cost incurred in the purchase or fair value if acquired through donation or transfers without cost of land. Credit this account upon disposal or reclassification to Investment Property account.

14.30. **Accumulated Impairment Losses - Land (1-07-01-012).** This account is credited for the amount recognized to reduce land to its recoverable amount due to impairment. Debit this account upon derecognition of the asset or reversal of impairment loss.

Land Improvements

14.31. **Other LandImprovements (1-07-02-990).** This account is used to record the cost incurred in the purchase or fair value, if acquired through donation or transfers without cost, of land improvements such as parking lots, landscape, walkways, driveways, covered walks, fences, and the like. Credit this account upon disposal or derecognition of the asset.

14.32. **Accumulated Depreciation - Other Land Improvements (1-07-02-991).** This account is credited for the allocation of cost of other land improvements in accordance with the prescribed policy on depreciation. Debit this account upon disposal or derecognition of the asset.

14.33. **Accumulated Impairment Losses - Other Land Improvements (1-07-02-992).** This account is credited for the amount recognized to reduce other land improvements to its recoverable amount due to impairment. Debit this account upon derecognition of the asset or reversal of impairment loss.

Infrastructure Assets

14.34. **Road Networks (1-07-03-010).** This account is used to record the cost incurred in the purchase or construction or

fair value, if acquired through donation or transfers without cost, of the roads, highways and bridges, railways, subways and other road network facilities such as traffic lights and road signage for public use. Credit this account upon derecognition of the carrying amount of the replaced portion.

14.35. **Accumulated Depreciation - Road Networks (1-07-03-011).** This account is credited for the allocation of cost of road networks in accordance with the prescribed policy on depreciation. Debit this account upon derecognition of the asset.

14.36. **Accumulated Impairment Losses - Road Networks (1-07-03-012).** This account is credited for the amount recognized to reduce road networks to its recoverable amount due to impairment. Debit this account upon derecognition of the asset or reversal of impairment loss.

14.37. **Flood Control Systems (1-07-03-020).** This account is used to record the cost incurred in the purchase or construction or fair value, if acquired through donation or transfers without cost, of the seawalls, river walls and other flood control system facilities for public use. Credit this account upon derecognition of the carrying amount of the replaced portion.

14.38. **Accumulated Depreciation - Flood Control Systems (1-07-03-021).** This account is credited for the allocation of cost of flood control systems in accordance with the prescribed policy on depreciation. Debit this account upon derecognition of the asset.

14.39. **Accumulated Impairment Losses - Flood Control Systems (1-07-03-022).** This account is credited for the amount recognized to reduce flood control systems to its recoverable amount due to impairment. Debit this account upon derecognition of the asset or reversal of impairment loss.

14.40. **Sewer Systems (1-07-03-030).** This account is used to record the cost incurred in the purchase or construction or fair value, if acquired through donation or transfers without cost, of the waste treatment plants and other sewer

system facilities for public use. This also includes pumps, purification works, rising/gravity mains, air release valves, screens, overflows and associated infrastructures. Credit this account upon derecognition of the carrying amount of the replaced portion.

14.41. **Accumulated Depreciation - Sewer Systems (1-07-03-031).** This account is credited for the allocation of cost of sewer systems in accordance with the prescribed policy on depreciation. Debit this account upon derecognition of the asset.

14.42. **Accumulated Impairment Losses - Sewer Systems (1-07-03-032).** This account is credited for the amount recognized to reduce sewer systems to its recoverable amount due to impairment. Debit this account upon derecognition of the asset or reversal of impairment loss.

14.43. **Water Supply Systems (1-07-03-040).** This account is used to record the cost incurred in the purchase or construction or fair value, if acquired through donation or transfers without cost, of water source facility such as artesian wells, dams/reservoirs, pumping stations and conduits; irrigation canals and laterals; waterways, aqueducts, water utilities systems and other water supply facilities for public use or for income generating purposes. Credit this account upon derecognition of the asset.

14.44. **Accumulated Depreciation - Water Supply Systems (1-07-03-041).** This account is credited for the allocation of cost of water supply systems in accordance with the prescribed policy on depreciation. Debit this account upon derecognition of the asset.

14.45. **Accumulated Impairment Losses - Water Supply Systems (1-07-03-042).** This account is credited for the amount recognized to reduce water supply systems to its recoverable amount due to impairment. Debit this account upon derecognition of the asset or reversal of impairment loss.

14.46. **Parks, Plazas and Monuments (1-07-03-050).** This account is used to record the cost incurred in the purchase or construction or fair value, if acquired through donation

or transfers without cost, of parks, plazas and monuments, for recreation and public use or for income generating purposes. Credit this account for derecognition of the carrying amount of the replaced portion.

14.47. **Accumulated Depreciation - Parks, Plazas and Monuments (1-07-03-051).** This account is credited for the allocation of cost of parks, plazas and monuments in accordance with the prescribed policy on depreciation. Debit this account upon derecognition of the asset.

14.48. **Accumulated Impairment Losses - Parks, Plazas and Monuments (1-07-03-052).** This account is credited for the amount recognized to reduce parks, plazas and monuments to its recoverable amount due to impairment. Debit this account upon derecognition of the asset or reversal of impairment loss.

14.49. **Other Infrastructure Assets (1-07-03-990).** This account is used to record the cost incurred in the purchase or construction or fair value, if acquired through donation or transfers without cost, of other public infrastructures which cannot be classified under any specific type of public infrastructures for public use or for income generating purposes. Credit this account upon derecognition of the carrying amount of the replaced portion.

14.50. **Accumulated Depreciation - Other Infrastructure Assets (1-07-03-991).** This account is credited for the allocation of cost of other infrastructure assets in accordance with the prescribed policy on depreciation. Debit this account upon derecognition of the asset.

14.51. **Accumulated Impairment Losses - Other Infrastructure Assets (1-07-03-992).** This account is credited for the amount recognized to reduce other infrastructure assets to its recoverable amount due to impairment. Debit this account upon derecognition of the asset or reversal of impairment loss.

Buildings and Other Structures

14.52. **Buildings (1-07-04-010).** This account is used to record the cost incurred in the purchase or construction or fair value, if acquired through donation or transfers without cost, of buildings, such as: office buildings, research/convention/training centers, agricultural laboratories, warehouses, cold storages and the like, for use in government operations. Credit this account for disposal, derecognition of the carrying amount of the replaced portion in major repair, or reclassification to Investment Property account.

14.53. **Accumulated Depreciation – Buildings (1-07-04-011).** This account is credited for the allocation of cost of buildings in accordance with the prescribed policy on depreciation. Debit this account upon disposal or derecognition of the asset.

14.54. **Accumulated Impairment Losses – Buildings (1-07-04-012).** This account is credited for the amount recognized to reduce buildings to its recoverable amount due to impairment. Debit this account upon derecognition of the asset or reversal of impairment loss.

14.55. **School Buildings (1-07-04-020).** This account is used to record the cost incurred in the purchase or construction or fair value, if acquired through donation or transfers without cost, of school buildings for the implementation of government's education/learning programs. Credit this account for disposal or derecognition of the carrying amount of the replaced portion in major repair.

14.56. **Accumulated Depreciation - School Buildings (1-07-04-021).** This account is credited for the allocation of cost of school buildings in accordance with the prescribed policy on depreciation. Debit this account upon disposal or derecognition of the asset.

14.57. **Accumulated Impairment Losses - School Buildings (1-07-04-022).** This account is credited for the amount recognized to reduce school buildings to its recoverable amount due to impairment. Debit this account upon derecognition of the asset or reversal of impairment loss.

14.58. **Hospitals and Health Centers (1-07-04-030).** This account is used to record the cost incurred in the purchase or construction or fair value, if acquired through donation or transfers without cost, of hospitals and health centers, for use in the delivery of public health services. Credit this account for disposal or derecognition of the carrying amount of the replaced portion in major repairs.

14.59. **Accumulated Depreciation - Hospitals and Health Centers (1-07-04-031).** This account is credited for the allocation of cost of hospitals and health centers in accordance with the prescribed policy on depreciation. Debit this account upon disposal or derecognition of the asset.

14.60. **Accumulated Impairment Losses - Hospitals and Health Centers (1-07-04-032).** This account is credited for the amount recognized to reduce hospitals and health centers to its recoverable amount due to impairment. Debit this account upon derecognition of the asset or reversal of impairment loss.

14.61. **Markets (1-07-04-040).** This account is used to record the cost incurred in the purchase or construction or fair value, if acquired through donation or transfers without cost, of markets. Credit this account for disposal or derecognition of the carrying amount of the replaced portion in major repairs.

14.62. **Accumulated Depreciation - Markets (1-07-04-041).** This account is credited for the allocation of cost of markets in accordance with the prescribed policy on depreciation. Debit this account upon disposal or derecognition of the asset.

14.63. **Accumulated Impairment Losses - Markets (1-07-04-042).** This account is credited for the amount recognized to reduce markets to its recoverable amount due to impairment. Debit this account upon derecognition of the asset or reversal of impairment loss.

14.64. **Other Structures (1-07-04-990).** This account is used to record the cost incurred in the purchase or construction or

fair value, if acquired through donation or transfers without cost, of other structures for use in government operations or for income generating purposes. Credit this account for disposal or derecognition of the carrying amount of the replaced portion in major repairs.

14.65. **Accumulated Depreciation - Other Structures (1-07-04-991).** This account is credited for the allocation of cost of other structures in accordance with the prescribed policy on depreciation. Debit this account upon disposal or derecognition of the asset.

14.66. **Accumulated Impairment Losses - Other Structures (1-07-04-992).** This account is credited for the amount recognized to reduce other structures to its recoverable amount due to impairment. Debit this account upon derecognition of the asset or reversal of impairment loss.

Machinery and Equipment

14.67. **Machinery (1-07-05-010).** This account is used to record the cost incurred in the purchase or assembly or fair value, if acquired through donation or transfers without cost, of other machinery. Credit this account for derecognition of the carrying amount of the replaced parts in major repairs, or disposal.

14.68. **Accumulated Depreciation - Machinery (1-07-05-011).** This account is credited for the allocation of cost of machinery in accordance with the prescribed policy on depreciation. Debit this account upon disposal or derecognition of the asset.

14.69. **Accumulated Impairment Losses - Machinery (1-07-05-012).** This account is credited for the amount recognized to reduce machinery to its recoverable amount due to impairment. Debit this account upon derecognition of the asset or reversal of impairment loss.

14.70. **Office Equipment (1-07-05-020).** This account is used to record the cost incurred in the purchase or assembly or fair value, if acquired through donation or transfers without cost, of office equipment for use in government operations. It includes duplicating/photocopying

machines, air conditioning units and the like. Credit this account for disposal or derecognition of the carrying amount of the replaced parts in major repairs.

14.71. **Accumulated Depreciation - Office Equipment (1-07-05-021).** This account is credited for the allocation of cost of office equipment in accordance with the prescribed policy on depreciation. Debit this account upon disposal or derecognition of the asset.

14.72. **Accumulated Impairment Losses - Office Equipment (1-07-05-022).** This account is credited for the amount recognized to reduce office equipment to its recoverable amount due to impairment. Debit this account upon derecognition of the asset or reversal of impairment loss.

14.73. **Information and Communication Technology Equipment (1-07-05-030).** This account is used to record the cost incurred in the purchase of information and communication technology equipment, which includes hardware (computers, printers, scanners and the like) and pre-loaded software such as but not limited to operating systems which are included in the cost of the computer hardware. This also includes data communications equipment and such other peripherals and auxiliary equipment necessary to put the system into operational mode. Credit this account for derecognition of the carrying amount of the replaced parts in major repairs, or disposal.

14.74. **Accumulated Depreciation - Information and Communication Technology Equipment (1-07-05-031).** This account is credited for the allocation of cost of information and communication technology equipment in accordance with the prescribed policy on depreciation. Debit this account upon disposal or derecognition of the asset.

14.75. **Accumulated Impairment Losses - Information and Communication Technology Equipment (1-07-05-032).** This account is credited for the amount recognized to reduce information and communication technology equipment to its recoverable amount due to impairment. Debit this account upon derecognition of the asset or

reversal of impairment loss.

14.76. **Communication Equipment (1-07-05-040).** This account is used to record the cost incurred in the purchase or assembly or fair value, if acquired through donation or transfers without cost, of communication equipment for use in government operations. Credit this account for derecognition of the carrying amount of the replaced parts in major repairs, or disposal.

14.77. **Accumulated Depreciation - Communication Equipment (1-07-05-041).** This account is credited for the allocation of cost of communication equipment in accordance with the prescribed policy on depreciation. Debit this account upon disposal or derecognition of the asset.

14.78. **Accumulated Impairment Losses - Communication Equipment (1-07-05-042).** This account is credited for the amount recognized to reduce communication equipment to its recoverable amount due to impairment. Debit this account upon derecognition of the asset or reversal of impairment loss.

14.79. **Construction and Heavy Equipment (1-07-05-050).** This account is used to record the cost incurred in the purchase or fair value, if acquired through donation or transfers without cost, of construction and heavy equipment for use in government operations, such as: bulldozers, forklifts, graders, payloaders, dump trucks, and the like. Credit this account for derecognition of the carrying amount of the replaced parts in major repairs, or disposal.

14.80. **Accumulated Depreciation - Construction and Heavy Equipment (1-07-05-051).** This account is credited for the allocation of cost of construction and heavy equipment in accordance with the prescribed policy on depreciation. Debit this account upon disposal or derecognition of the asset.

14.81. **Accumulated Impairment Losses - Construction and Heavy Equipment (1-07-05-052).** This account is credited for the amount recognized to reduce construction

and heavy equipment to its recoverable amount due to impairment. Debit this account upon derecognition of the asset or reversal of impairment loss.

14.82. **Disaster Response and Rescue Equipment (1-07-05-060).** This account is used to record the cost incurred in the purchase or assembly or fair value, if acquired through donation or transfers without cost, of equipment used solely for disaster response and rescue activities. Credit this account for derecognition of the carrying amount of the replaced parts in major repairs, or disposal.

Subsidiary Ledgers:
01 – Firefighting Equipment and Accessories
02 – Flood Rescue Equipment
03 – Earthquake Rescue Equipment
04 – Volcanic Eruption Rescue Equipment
05 – Landslide Rescue Equipment

14.83. **Accumulated Depreciation - Disaster Response and Rescue Equipment (1-07-05-061).** This account is credited for the allocation of cost of disaster response and rescue equipment in accordance with the prescribed policy on depreciation. Debit this account upon disposal or derecognition of the asset.

14.84. **Accumulated Impairment Losses - Disaster Response and Rescue Equipment (1-07-05-062).** This account is credited for the amount recognized to reduce disaster response and rescue equipment to its recoverable amount due to impairment. Debit this account upon derecognition of the asset or reversal of impairment loss.

14.85. **Military, Police and Security Equipment (1-07-05-070)** This account is used to record the cost incurred in the purchase or fair value, if acquired through donation or transfers without cost, of military, police and security equipment acquired for use in government operations, such as: guns, armored vehicles, bomber aircrafts, military tanks, mobile cars, patrol boats, navy ships, closed circuit televisions, security cameras, etc. Credit this account for derecognition of the carrying amount of the replaced parts in major repairs, or disposal.

14.86. **Accumulated Depreciation - Military, Police and Security Equipment (1-07-05-071).** This account is credited for the allocation of cost of military, police and security equipment in accordance with the prescribed policy on depreciation. Debit this account upon disposal or derecognition of the asset.

14.87. **Accumulated Impairment Losses - Military, Police and Security Equipment (1-07-05-072).** This account is credited for the amount recognized to reduce military, police and security equipment to its recoverable amount due to impairment. Debit this account upon derecognition of the asset or reversal of impairment loss.

14.88. **Sports Equipment (1-07-05-080).** This account is used to record the cost incurred in the purchase or assembly or fair value, if acquired through donation or transfers without cost, of sports equipment for use in the government's promotion of sports, such as: treadmills, stationary bikes, weights, gymnastic facilities, boxing rings, basketball goals, and the like. Credit this account for derecognition of the carrying amount of the replaced parts in major repairs, or disposal.

14.89. **Accumulated Depreciation - Sports Equipment (1-07-05-081).** This account is credited for the allocation of cost of sports equipment in accordance with the prescribed policy on depreciation. Debit this account upon disposal or derecognition of the asset.

14.90. **Accumulated Impairment Losses - Sports Equipment (1-07-05-082).** This account is credited for the amount recognized to reduce sports equipment to its recoverable amount due to impairment. Debit this account upon derecognition of the asset or reversal of impairment loss.

14.91. **Technical and Scientific Equipment (1-07-05-090).** This account is used to record the cost incurred in the purchase or assembly or fair value, if acquired through donation or transfers without cost, of technical and scientific equipment for use in government operations, such as survey equipment (telescopes, laser distance meters), weather tracking equipment, cartographic, photographic and reprographic equipment, and other specialized

equipment, (i.e. musical instrument), and the like. Credit this account for derecognition of the carrying amount of the replaced parts in major repairs, or disposal.

14.92. **Accumulated Depreciation - Technical and Scientific Equipment (1-07-05-091).** This account is credited for the allocation of cost of technical and scientific equipment in accordance with the prescribed policy on depreciation. Debit this account upon disposal or derecognition of the asset.

14.93. **Accumulated Impairment Losses - Technical and Scientific Equipment (1-07-05-092).** This account is credited for the amount recognized to reduce technical and scientific equipment to its recoverable amount due to impairment. Debit this account upon derecognition of the asset or reversal of impairment loss.

14.94. **Other Machinery and Equipment (1-07-05-990).** This account is used to record the cost incurred in the purchase or assembly or fair value, if acquired through donation or transfers without cost, of other equipment, not otherwise classified under the specific equipment accounts. Credit this account for derecognition of the carrying amount of the replaced parts in major repairs, or disposal.

14.95. **Accumulated Depreciation - Other Machinery and Equipment (1-07-05-991).** This account is credited for the allocation of cost of other machinery and equipment in accordance with the prescribed policy on depreciation. Debit this account upon disposal or derecognition of the asset.

14.96. **Accumulated Impairment Losses - Other Machinery and Equipment (1-07-05-992).** This account is credited for the amount recognized to reduce other machinery and equipment to its recoverable amount due to impairment. Debit this account upon derecognition of the asset or reversal of impairment loss.

Transportation Equipment

14.97. **Motor Vehicles (1-07-06-010).** This account is used to record the cost incurred in the purchase or assembly or

fair value, if acquired through donation or transfers without cost, of motor vehicles for official use such as service vehicles (cars, buses, vans, motorcycles, and the like). Credit this account for derecognition of the carrying amount of the replaced parts in major repairs, or disposal.

14.98. **Accumulated Depreciation - Motor Vehicles (1-07-06-011).** This account is credited for the allocation of cost of motor vehicles in accordance with the prescribed policy on depreciation. Debit this account upon disposal or derecognition of the asset.

14.99. **Accumulated Impairment Losses - Motor Vehicles (1-07-06-012).** This account is credited for the amount recognized to reduce motor vehicles to its recoverable amount due to impairment. Debit this account upon derecognition of the asset or reversal of impairment loss.

14.100. **Watercrafts (1-07-06-020).** This account is used to record the cost incurred in the purchase or assembly or fair value, if acquired through donation or transfers without cost, of watercrafts used to ferry passengers, equipment and goods for government operations or public use such as ships, small vessels, speedboats, motor boats, rafts and bancas. Credit this account for derecognition of the carrying amount of the replaced parts in major repairs, or disposal.

14.101. **Accumulated Depreciation – Watercrafts (1-07-06-021).** This account is credited for the allocation of cost of watercrafts in accordance with the prescribed policy on depreciation. Debit this account upon disposal or derecognition of the asset.

14.102. **Accumulated Impairment Losses – Watercrafts (1-07-06-022).** This account is credited for the amount recognized to reduce watercrafts to its recoverable amount due to impairment. Debit this account upon derecognition of the asset or reversal of impairment loss.

14.103. **Other Transportation Equipment (1-07-06-990).** This account is used to record the cost incurred in the purchase or assembly or fair value, if acquired through donation or transfers without cost, of other transportation equipment

which are not classified under the specific transportation equipment accounts. Credit this account for derecognition of the carrying amount of the replaced parts in major repairs, or disposal.

14.104. **Accumulated Depreciation - Other Transportation Equipment (1-07-06-991).** This account is credited for the allocation of cost of other transportation equipment in accordance with the prescribed policy on depreciation. Debit this account upon disposal or derecognition of the asset.

14.105. **Accumulated Impairment Losses - Other Transportation Equipment (1-07-06-992).** This account is credited for the amount recognized to reduce other transportation equipment to its recoverable amount due to impairment. Debit this account upon derecognition of the asset or reversal of impairment loss.

Furniture, Fixtures and Books

14.106. **Furniture and Fixtures (1-07-07-010).** This account is used to record the cost of acquisition or assembly, or fair value, if acquired through donation or transfers without cost, of furniture and fixtures for use in government operations. Credit this account for disposal (sale, transfers, destruction) and adjustments.

14.107. **Accumulated Depreciation - Furniture and Fixtures (1-07-07-011).** This account is credited for the allocation of cost of furniture and fixtures in accordance with the prescribed policy on depreciation. Debit this account upon disposal or derecognition of the asset.

14.108. **Accumulated Impairment Losses - Furniture and Fixtures (1-07-07-012).** This account is credited for the amount recognized to reduce furniture and fixtures to its recoverable amount due to impairment. Debit this account upon derecognition of the asset or reversal of impairment loss.

14.109. **Books (1-07-07-020).** This account is used to record the cost of acquisition or productions, or fair value, if acquired through donation or transfers without cost, of

books and other reference materials including those in electronic copies (in CD/DVD), for use in government operations. Credit this account for disposal of the asset.

14.110. **Accumulated Depreciation – Books (1-07-07-021).** This account is credited for the allocation of cost of books in accordance with the prescribed policy on depreciation. Debit this account upon disposal or derecognition of the asset.

14.111. **Accumulated Impairment Losses – Books (1-07-07-022).** This account is credited for the amount recognized to reduce books to its recoverable amount due to impairment. Debit this account upon derecognition of the asset or reversal of impairment loss.

Leased Assets

14.112. **Leased Assets, Land (1-07-08-010).** This account is used to record the value of land under a finance lease. Credit this account to reclassify to the land account upon full payment of lease or to close the account upon termination of the lease contract.

14.113. **Accumulated Impairment Losses - Leased Assets, Land (1-07-08-012).** This account is credited for the amount recognized to reduce land under a finance lease to its recoverable amount due to impairment. Debit this account upon derecognition of the asset or reversal of impairment loss.

14.114. **Leased Assets, Buildings and Other Structures (1-07-08-020).** This account is used to record the value of buildings and other structures under a finance lease. Credit this account to reclassify to the buildings and other structures account upon full payment of lease or to close the account upon termination of the lease contract.

14.115. **Accumulated Depreciation - Leased Assets, Buildings and Other Structures (1-07-08-021).** This account is credited for the allocation of cost of buildings and other structures under a finance lease in accordance with the prescribed policy on depreciation. Debit this account upon disposal or derecognition of the asset.

14.116. **Accumulated Impairment Losses - Leased Assets, Buildings and Other Structures (1-07-08-022).** This account is credited for the amount recognized to reduce buildings and other structures under a finance lease to its recoverable amount due to impairment. Debit this account upon derecognition of the asset or reversal of impairment loss.

14.117. **Leased Assets, Machinery and Equipment (1-07-08-030).** This account is used to record the value of machinery and equipment under a finance lease. Credit this account to reclassify to the machinery and equipment account upon termination of the lease contract.

14.118. **Accumulated Depreciation - Leased Assets, Machinery and Equipment (1-07-08-031).** This account is credited for the allocation of cost of machinery and equipment under a finance lease in accordance with the prescribed policy on depreciation. Debit this account upon disposal or derecognition of the asset.

14.119. **Accumulated Impairment Losses - Leased Assets, Machinery and Equipment (1-07-08-032).** This account is credited for the amount recognized to reduce machinery and equipment under a finance lease to its recoverable amount due to impairment. Debit this account upon derecognition of the asset or reversal of impairment loss.

14.120. **Leased Assets, Transportation Equipment (1-07-08-040).** This account is used to record the value of transportation equipment under a finance lease. Credit this account to reclassify to the transportation equipment account upon full payment of lease or to close the account upon termination of the lease contract.

Leased Assets Improvements

14.121. **Leased Assets Improvements, Land (1-07-09-010).** This account is used to record the cost of improvements and other alterations made on land under operating lease which is used for government operations or for commercial and/or income generating purposes. Credit this account for derecognition of the carrying amount of the replaced portion in major repairs, disposal or

termination of lease contract.

14.122. **Accumulated Depreciation - Leased Assets Improvements, Land (1-07-09-011).** This account is credited for the allocation of cost of leasehold improvements on land under operating lease in accordance with the prescribed policy on depreciation. Debit this account upon disposal or derecognition of the asset.

14.123. **Accumulated Impairment Losses - Leased Assets Improvements, Land (1-07-09-012).** This account is credited for the amount recognized to reduce leasehold improvements on land under operating lease to its recoverable amount due to impairment. Debit this account upon derecognition of the asset or reversal of impairment loss.

14.124. **Leased Assets Improvements, Buildings (1-07-09-020).** This account is used to record the cost incurred in the construction of improvements on buildings under an operating lease for use in government operations or for commercial and/or income generating purposes. Credit this account for derecognition of the carrying amount of the replaced portion in major repairs, disposal or termination of lease contract.

14.125. **Accumulated Depreciation - Leased Assets Improvements, Buildings (1-07-09-021).** This account is credited for the allocation of cost of improvements on buildings under an operating lease in accordance with the prescribed policy on depreciation. Debit this account upon disposal or derecognition of the asset.

14.126. **Accumulated Impairment Losses - Leased Assets Improvements, Buildings (1-07-09-022).** This account is credited for the amount recognized to reduce improvements on buildings under an operating lease to its recoverable amount due to impairment. Debit this account upon derecognition of the asset or reversal of impairment loss.

14.127. **Other Leased Assets Improvements (1-07-09-990).** This account is used to record the cost incurred in the construction of improvements on other assets/structures

under operating lease for use in government operations or for commercial and/or income generating purposes. Credit this account for derecognition of the carrying amount of the replaced portion in major repairs, disposal or termination of lease contract.

14.128. **Accumulated Depreciation - Other Leased Assets Improvements (1-07-09-991).** This account is credited for the allocation of cost of other improvements on other assets/structures under operating lease in accordance with the prescribed policy on depreciation. Debit this account upon disposal or derecognition of the asset.

14.129. **Accumulated Impairment Losses - Other Leased Assets Improvements (1-07-09-992).** This account is credited for the amount recognized to reduce other improvements on other assets/structures under operating lease to its recoverable amount due to impairment. Debit this account upon derecognition of the asset or reversal of impairment loss.

Construction in Progress

14.130. **Construction in Progress - Land Improvements (1-07-10-010).** This account is used to record the accumulated cost or other appropriate value of land improvements which are still in the process of construction or acquisition. Credit this account for reclassification to the appropriate Land Improvement account upon completion.

14.131. **Construction in Progress - Infrastructure Assets (1-07-10-020).** This account is used to record the accumulated cost or other appropriate value of infrastructure assets which are still in the process of construction or acquisition. Credit this account for reclassification to the appropriate Infrastructure Assets account upon completion.

14.132. **Construction in Progress - Buildings and Other Structures (1-07-10-030).** This account is used to record the accumulated cost or other appropriate value of buildings and other structures which are still in the process of construction or development. Credit this account for reclassification to the appropriate Buildings

and Other Structures account upon completion.

14.133. **Construction in Progress - Leased Assets (1-07-10-040).** This account is used to record the accumulated cost or other appropriate value of assets under finance lease, still in the process of construction or development. Credit this account for reclassification to the appropriate Leased Assets account upon completion.

14.134. **Construction in Progress - Leased Assets Improvements (1-07-10-050).** This account is used to record the accumulated cost or other appropriate value of improvements on assets under an operating lease, still in the process of construction or development. Credit this account for reclassification to the appropriate Leased Assets, Improvements account upon completion.

Other Property, Plant and Equipment

14.135. **Other Property, Plant and Equipment (1-07-99-990).** This account is used to record the acquisition or fair value, if acquired through donation or transfers without cost, of other property, plant and equipment not falling under any of the specific Property, Plant and Equipment account. Credit this account for derecognition of the carrying amount of the replaced parts in major repairs, or disposal.

14.136. **Accumulated Depreciation - Other Property, Plant and Equipment (1-07-99-991).** This account is credited for the allocation of cost of other property, plant and equipment in accordance with the prescribed policy on depreciation. Debit this account upon disposal or derecognition of the asset.

14.137. **Accumulated Impairment Losses - Other Property, Plant and Equipment (1-07-99-992).** This account is credited for the amount recognized to reduce other property, plant and equipment to its recoverable amount due to impairment. Debit this account upon derecognition of the asset or reversal of impairment loss.

Biological Assets

14.138. **Biological Assets (1-08-01-010).** This account is used to record the cost or fair value, if acquired through donation or transfers without cost, of biological assets. Credit this account for sale, transfers, loss or death.

LIABILITIES

Financial Liabilities

Payables

14.139. **Accounts Payable (2-01-01-010).** This account is used to record receipt of goods or services on account in the normal course of trade and business operation. Debit this account for payment or settlement of liabilities.

14.140. **Due to Officers and Employees (2-01-01-020).** This account is used to record incurrence of liability to officers and employees for salaries, benefits and other emoluments including authorized expenses advanced by the officers and employees. Debit this account for settlement or payment to officers and employees.

14.141. **Interest Payable (2-01-01-030).** This account is used to record accrual of interest on loans/bonds or other indebtedness, whether short-term or long-term. Debit this account for payment of the interest.

14.142. **Operating Lease Payable (2-01-01-040).** This account is used to record incurrence of a liability arising from operating lease contract. Debit this account for the payment of lease.

14.143. **Finance Lease Payable (2-01-01-050).** This account is used to record incurrence of liability arising from finance lease contract. Debit this account for payment of lease.

14.144. **Leave Benefits Payable (2-01-01-060).** This account is used to record the money value of the earned leave credits of government personnel. Debit this account for payment

of leave benefits.

Provisions

14.145. **Other Provisions (2-01-02-010).** This account is used to record liabilities incurred of uncertain timing. This includes provisions due to litigations, provisions for dismantling costs of buildings and other claims. Debit this account for settlement of liabilities.

Bills/Bonds/Loans Payable

14.146. **Loans Payable – Domestic (2-01-03-010).** This account is used to record receipt of loan proceeds (cash or non-cash) from local creditors, including those from NG and GFIs. Debit this account for payments of loan amortization.

Inter-Agency Payables

14.147. **Due to BIR (2-02-01-010).** This account is used to record withholding of taxes from officers/employees and other entities. Debit this account for remittance of the taxes withheld to the BIR.

14.148. **Due to GSIS (2-02-01-020).** This account is used to record the withholding of employees' premium payments and other payables for remittance to the Government Service Insurance System (GSIS). Debit this account for the remittance of withheld amount.

Subsidiary Ledgers:
01 – Life and Retirement Premium
02 – ECC
03 – Salary Loan
04 – Policy Loan

14.149. **Due to Pag-IBIG (2-02-01-030).** This account is used to record withholding of employees' premium payments and other payables for remittance to the Home Development Mutual Fund (HDMF). Debit this account for the remittance of withheld amount.

14.150. **Due to PhilHealth (2-02-01-040).** This account is used to record the withholding of employees' premium payments for remittance to the Philippine Health Insurance Corporation (PHIC). Debit this account for the remittance of withheld amount.

14.151. **Due to NGAs (2-02-01-050).** This account is used to record the receipt of funds for delivery of goods/services as authorized by law, fund transfers from NGAs, other than the BIR, for implementation of specific programs or projects and other inter-agency transactions. Debit this account for delivery of goods/services, liquidation of funds received and settlement of liabilities.

14.152. **Due to GOCCs (2-02-01-060).** This account is used to record the receipt of: a) funds for delivery of goods/services as authorized by law; orb) fund transfers from the GOCCs for the implementation of specific programs or projects. Debit this account for delivery of goods/services, liquidation/release of funds received and settlement of liabilities.

14.153. **Due to LGUs (2-02-01-070).** This account is used to record the receipt of funds from LGUs for delivery of goods/services as authorized by law, fund transfers for the implementation of specific programs or projects and other inter-agency transactions. Debit this account for delivery of goods/services, liquidation of funds received and settlement of liabilities.

Trust Liabilities

14.154. **Trust Liabilities (2-03-01-010).** This account is used to record the receipt of amount held in trust for specific purpose. Debit this account for payment or settlement of the liability.

14.155. **Guaranty/Security Deposits Payable (2-03-01-020).** This account is used to record the incurrence of liability arising from the receipt of cash or cash equivalents to guaranty (a) that the winning bidder shall enter into contract with the procuring entity; and (b) performance by the contractor of the terms of the contract. Debit this account for refund after the fulfillment of the purpose of

the bond or forfeiture upon failure to comply with the purpose of the bond.

14.156. **Trust Liabilities - Disaster Risk Reduction and Management Fund (2-03-01-030).** This account is used to record unexpended/unobligated balance and transfers of the Quick Response Fund (QRF) and the DRRMF-MOOE, receipts of NDRRMF, DRRMF from other LGUs and other sources. Subsidiary ledgers shall be maintained for transfers of agency's unutilized DRRMF to the special trust fund by year of transfer, receipts of NDRRMF by transferring agency, DRRMF from other LGUs by LGU and other sources by donor.

Other Payables

14.157. **Other Payables (2-99-99-990).** This account is used to record other liabilities not falling under any of the specific payable accounts. Debit this account for settlement of liabilities.

EQUITY

Government Equity

14.158. **Government Equity (3-01-01-010).** This account is used to record the cumulative results of normal and continuous operations of an agency including prior period adjustments, effect of changes in accounting policy and other capital adjustments.

14.159. **Prior Years' Adjustments (3-01-01-020).** This account is used to record prior period adjustments and effect of changes in accounting policy. This account is closed to the Government Equity account.

Intermediate Accounts

14.160. **Revenue and Expense Summary (3-01-02-010).** This is an intermediary account used to close in the agency books all the income accounts which the agencies are authorized to use and all expense accounts. This account is closed to the Government Equity account.

REVENUE AND EXPENSES

Revenue

Tax Revenue

Tax Revenue – Property

14.161. **Real Property Tax (4-01-01-010).** This account is used to record the share of the barangay from ad valorem tax imposed on real properties and their improvements collected by the city/municipality. Real property includes land, buildings, machinery, and other improvements affixed or attached to the real property.

Tax Revenue -Goods and Services

14.162. **Business Tax (4-01-02-010).** This account is used to record the taxes on persons or entities in the course of trade or business. This account shall be closed to the Revenue and Expense Summary account.

14.163. **Share on the tax from sand, gravel and other quarry products (4-01-02-020).** This account is used to record the share of the barangay from the taxes imposed on sand, gravel, stones, earth and other quarry resources extracted from public lands or from beds or seas, lakes, rivers, streams, creeks and other public waters within the territorial jurisdiction of the barangay. This account shall be closed to the Revenue and Expense Summary account.

Tax Revenue – Permit Fees

14.164. **Fees and Charges on commercial breeding of fighting cocks, cockfights and cockpits (4-01-03-010).** This account is used to record fees charged on commercial breeding of fighting cocks, cockfights and cockpits. This account shall be closed to the Revenue and Expense Summary account.

14.165. **Fees and Charges on places of recreation which charge admission fees (4-01-03-020).** This account is used to record the fees charged on places of recreation which

charge admission fees. This account shall be closed to the Revenue and Expense Summary account.

14.166. **Fees and Charges on billboards, signboards, neon signs and outdoor advertisements (4-01-03-030).** This account is used to record the fees charged on billboards, signboards, neon signs and outdoor advertisements. This account shall be closed to the Revenue and Expense Summary account.

Tax Revenue – Others

14.167. **Share from Internal Revenue Collections (4-01-04-010).** This account is used to record the share of barangays from national internal revenue collections. This account shall be closed to the Revenue and Expense Summary account.

14.168. **Other Taxes (4-01-04-990).** This account is used to record all other taxes levied not falling under any of the specific tax accounts imposed by the barangay. This account shall be closed to the Revenue and Expense Summary account.

Tax Revenue - Fines and Penalties

14.169. **Tax Revenue - Fines and Penalties- Property (4-01-05-010).** This account is used to record the share of the barangay from fines and penalties charged in relation to the collection of real property taxes. This account shall be closed to the Revenue and Expense Summary account.

14.170. **Tax Revenue - Fines and Penalties- Goods and Services (4-01-05-020).** This account is used to record all fines and penalties charged in relation to the collection of business taxes and sand and gravel tax. This account shall be closed to the Revenue and Expense Summary account.

14.171. **Tax Revenue - Fines and Penalties- Permit Fees (4-01-05-030).**This account is used to record all fines and penalties charged in relation to the collection of permit fees. This account shall be closed to the Revenue and Expense Summary account.

14.172. **Tax Revenue - Fines and Penalties - Others (4-01-05-990).** This account is used to record all fines and penalties imposed on the collection of taxes classified as other taxes. This account shall be closed to the Revenue and Expense Summary account.

Subsidy/Assistance

14.173. **Subsidy from National Government (4-02-01-010).** This account is used to record cash received from the National Government without specific purpose. This account shall be closed to the Revenue and Expense Summary account.

14.174. **Subsidy from Local Government Units (4-02-01-020).** This account is used to record the amount of funds/assets transferred from other LGUs (Province, City, Municipality or Barangay) to the barangay. This account shall be closed to the Revenue and Expense Summary account.

14.175. **Transfer of Unspent Previous Years' LDRRMF (4-02-01-030).** This account is used to record the utilization of unspent previous years' LDRRMF and/or reversion to the General Fund any unutilized amount after five years. This account shall be closed to the Revenue and Expense Summary account.

Shares, Grants and Donations

Shares

14.176. **Share from National Wealth (4-03-01-010).** This account is used to record share of barangays from the utilization/development of the national wealth within their jurisdiction. It shall be closed to Revenue and Expense Summary account.

Grants and Donations

14.177. **Grants and Donations in Cash (4-03-02-010).** This account is used to record all grants and donations in cash received from private sectors or international institutions with conditions after compliance thereof. This account shall be closed to the Revenue

and Expense Summary account.

14.178. **Grants and Donations in Kind (4-03-02-020).** This account is used to record all grants and donations in kind received from other levels of government, private sectors or international institutions without restrictions. This account shall be closed to the Revenue and Expense Summary account.

Service and Business Revenue

Service Revenue

14.179. **Clearance and Certification Fees (4-04-01-010).** This account is used to record the fees collected for the issuance of clearances/certificates to individuals/organizations/groups/corporations. This includes fees for clearances issued for local employment, certificates of guarantee, and the like. This account shall be closed to the Revenue and Expense Summary account.

14.180. **Other Service Revenue (4-04-01-990).** This account is used to record other service income not falling under any of the specific service income accounts. This account shall be closed to the Revenue and Expense Summary account.

Business Income

14.181. **Garbage Fees (4-04-02-010).** This account is used to record fees collected for the collection and disposal of wastes/garbage, and other environmental and sanitation services. This account shall be closed to the Revenue and Expense Summary account.

14.182. **Market Fees (4-04-02-020).** This account is used to record collections from the operations of market. It includes rental of market spaces (fixed and ambulant) and other income earning facilities of the market. This account shall be closed to the Revenue and Expense Summary account.

14.183. **Other Business Income (4-04-02-990).** This account is used to record the income not falling under any of the specific business income accounts. This account shall be closed to the Revenue and Expense Summary account.

Gains

14.184. **Gain on Sale of Property, Plant and Equipment (4-05-01-010).** This account is used to record gains on sale of government PPEs. This account shall be closed to the Revenue and Expense Summary account.

14.185. **Gain on Revaluation of Biological Assets (4-05-01-020).** This account is used to record the increase in the fair value of biological assets due to physical/price change. This account shall be closed to the Revenue and Expense Summary account.

Expenses

Personnel Services

Salaries and Wages

14.186. **Salaries and Wages – Regular (5-01-01-010).** This account is used to record the pay proper for services rendered of government employees occupying regular plantilla positions and elected officials. This account shall be closed to the Revenue and Expense Summary account.

14.187. **Salaries and Wages - Casual/Contractual (5-01-01-020).** This account is used to record the pay proper for services rendered by employees contracted/hired to perform regular agency functions and specific vital activities or services which cannot be provided by the regular or permanent staff of the agency. They are considered employees of the hiring agency limited to the year when their services are reasonably required. This includes payment for services rendered by substitute and part-time teachers. This account shall be closed to the Revenue and Expense Summary account.

Other Compensation

14.188. **Personal Economic Relief Allowance (PERA) (5-01-02-010).** This account is used to record the allowance granted to government personnel occupying regular, contractual or casual positions; appointive or elective; rendering services

on full-time or part-time basis; and whose positions are covered by Republic Act No. 6758, as amended. This account shall be closed to the Revenue and Expense Summary account.

14.189. **Clothing/Uniform Allowance (5-01-02-020).** This account is used to record the fixed amount granted to authorized government officials/employees for the upkeep/replacement of clothing/uniform paid in cash or in kind. This account shall be closed to the Revenue and Expense Summary account.

14.190. **Subsistence Allowance (5-01-02-030).** This account is used to record the amount granted to authorized government officials/employees to cover cost of accommodations, meals, and incidental expenses incurred by employees who are on official business. This account shall be closed to the Revenue and Expense Summary account.

14.191. **Productivity Incentive Allowance (5-01-02-040).** This account is used to record the fixed amount granted to authorized government officials/employees for at least satisfactory performance in the discharge of their official duties. This account shall be closed to the Revenue and Expense Summary account.

14.192. **Honoraria (5-01-02-050).** This account is used to record the payment given to professionals for services in recognition of their expertise, broad and superior knowledge in specific fields and special projects. This also include payments to lecturers, resource persons, coordinators and facilitators in seminars, training programs and other similar activities in training institutions including those who render services beyond their regular workload. This account shall be closed to the Revenue and Expense Summary account.

14.193. **Year End Bonus (5-01-02-060).** This account is used to record the amount granted annually to government officials and employees as authorized by law. This account shall be closed to the Revenue and Expense Summary account.

14.194. **Cash Gift (5-01-02-070).** This account is used to record the amount granted annually in addition to the year-end bonus to government officials and employees as authorized by law. This account shall be closed to the Revenue and Expense Summary account.

14.195. **Other Bonuses and Allowances (5-01-02-990).** This account is used to record other authorized bonuses and allowances granted to government officials/employees not falling under any of the specific other compensation accounts. This account shall be closed to the Revenue and Expense Summary account.

Personnel Benefit Contributions

14.196. **Retirement and Life Insurance Premiums (5-01-03-010).** This account is used to record the government's share in premium contributions to the Government Service Insurance System and other retirement and life benefit systems. This account shall be closed to the Revenue and Expense Summary account.

14.197. **Pag-IBIG Contributions (5-01-03-020).** This account is used to record the government's share in premium contributions to the Home Development Mutual Fund. This account shall be closed to the Revenue and Expense Summary account.

14.198. **PhilHealth Contributions (5-01-03-030).** This account is used to record the government's share in premium contributions to the Philippine Health Insurance Corporation. This account shall be closed to the Revenue and Expense Summary account.

14.199. **Employees Compensation Insurance Premiums (5-01-03-040).** This account is used to record the government's share in premium contributions to the Employees' Compensation Commission (ECC). This account shall be closed to the Revenue and Expense Summary account.

Other Personnel Benefits

14.200. **Terminal Leave Benefits (5-01-04-010).** This account is used to record the money value of the accumulated leave

credits of government officials and employees. This account shall be closed to the Revenue and Expense Summary account.

14.201. **Other Personnel Benefits (5-01-04-990).** This account is used to record the amount contributed by the government for the employees' benefits not falling under any of the specific other personnel accounts. This account shall be closed to the Revenue and Expense Summary account.

Maintenance and Other Operating Expenses

Traveling Expenses

14.202. **Traveling Expenses – Local (5-02-01-010).** This account is used to record the costs incurred in the movement/transport of government officers and employees within the country. This includes transportation, travel per diems, ferriage, and all other related expenses. This account shall be closed to the Revenue and Expense Summary account.

14.203. **Traveling Expenses – Foreign (5-02-01-020).** This account is used to record the costs incurred in the movement/transport of government officers and employees outside the country. This includes transportation, travel per diems, passport and visa processing and all other related expenses. This account shall be closed to the Revenue and Expense Summary account.

Training and Scholarship Expenses

14.204. **Training Expenses (5-02-02-010).** This account is used to record the costs incurred for the participation/attendance in and conduct of trainings, conventions and seminars/workshops. It includes training fees, honoraria of lecturers, cost of handouts, supplies, materials, meals, snacks and all other expenses related to training. This account shall be closed to the Revenue and Expense Summary account.

Supplies and Materials Expenses

14.205. **Office Supplies Expenses (5-02-03-010).** This account is used to record the cost or value of office supplies such as bond paper, ink, and small tangible items like staple wire remover, puncher, stapler and other similar items issued to end-users for government operations. This account shall be closed to the Revenue and Expense Summary account.

14.206. **Accountable Forms Expenses (5-02-03-020).** This account is used to record the cost of accountable forms with or without money value such as official receipts, tickets, permit/license plates, and the like, issued to end-users. This account shall be closed to the Revenue and Expense Summary account.

14.207. **Welfare Goods Expenses (5-02-03-030).** This account is used to record the cost of goods issued/distributed to people affected by calamities/disasters/ground conflicts such as canned goods, blankets, mats, kitchen utensils, flashlights and other similar items. This also includes the cost of food served to people affected by calamities/disasters/ground conflicts. This account shall be closed to the Revenue and Expense Summary account.

14.208. **Drugs and Medicines Expenses (5-02-03-040).** This account is used to record the costs of drugs and medicines issued to end-users for government operations. This account shall be closed to the Revenue and Expense Summary account.

14.209. **Fuel, Oil and Lubricant Expenses (5-02-03-050).** This account is used to record the costs of fuel, oil and lubricants issued for use of government vehicles and other equipment in connection with government operations/projects. This account shall be closed to the Revenue and Expense Summary account.

14.210. **Other Supplies and Materials Expenses (5-02-03-990).** This account is used to record the cost of inventories issued to end-users not otherwise classified under the specific inventory expense accounts. This account shall be closed to the Revenue and Expense Summary account.

Utility Expenses

14.211. **Water Expenses (5-02-04-010).** This account is used to record the cost of water consumed in government operations/projects. This account shall be closed to the Revenue and Expense Summary account.

14.212. **Electricity Expenses (5-02-04-020).** This account is used to record the cost of electricity consumed in government operations/projects. This account shall be closed to the Revenue and Expense Summary account.

Communication Expenses

14.213. **Postage and Courier Services (5-02-05-010).** This account is used to record the cost of delivery/transmission of official messages, mails, documents, record and the like. This account shall be closed to the Revenue and Expense Summary account.

14.214. **Telephone Expenses (5-02-05-020).** This account is used to record the cost of transmitting messages thru telephone lines (mobile or landlines), faxes, telex and the like whether prepaid or postpaid. This account shall be closed to the Revenue and Expense Summary account.

14.215. **Internet Subscription Expenses (5-02-05-030).** This account is used to record the cost of using internet services in government operations. This account shall be closed to the Revenue and Expense Summary account.

14.216. **Cable, Satellite, Telegraph and Radio Expenses (5-02-05-040).** This account is used to record the cost of using cable/satellite/telegram/radio services. This account shall be closed to the Revenue and Expense Summary account.

Demolition/Relocation and Desilting/Dredging Expenses

14.217. **Demolition and Relocation Expenses (5-02-06-010).** This account is used to record the costs of demolition of structures and relocation of settlers and structures affected by government projects. This account shall be closed to the Revenue and Expense Summary account.

14.218. **Desilting and Dredging Expenses (5-02-06-020).** This account is used to record the costs incurred in removing large accumulation of decomposed litters and other organic debris in and deepening of canals, sewerage, rivers, creeks, and the like. This account shall be closed to the Revenue and Expense Summary account.

Professional Services

14.219. **Auditing Services (5-02-07-010).** This account is used to record the cost of operating expenses provided by auditees for auditing services rendered by the Commission on Audit. This account shall be closed to the Revenue and Expense Summary account.

14.220. **Consultancy Services (5-02-07-020).** This account is used to record the cost of services rendered by consultants contracted to perform particular outputs or services primarily advisory in nature and requiring highly specialized or technical expertise which cannot be provided by the regular staff of the agency. This account shall be closed to the Revenue and Expense Summary account.

14.221. **Other Professional Services (5-02-07-990).** This account is used to record the cost of other professional services contracted by the agency not otherwise classified under any of the specific professional services accounts. This account shall be closed to the Revenue and Expense Summary account.

General Services

14.222. **Environment/Sanitary Services (5-02-08-010).** This account is used to record the cost of services contracted for the upkeep and sanitation of the public places. This includes the cost of garbage and hospital waste collection and disposal. This account shall be closed to the Revenue and Expense Summary account.

14.223. **Janitorial Services (5-02-08-020).** This account is used to record the cost of **janitorial** services contracted by the government. This account shall be closed to the Revenue and Expense Summary account.

14.224. **Security Services (5-02-08-030).** This account is used to record the cost of security services contracted by the government. This account shall be closed to the Revenue and Expense Summary account.

14.225. **Other General Services (5-02-08-990).** This account is used to record the cost of other general services contracted by the agency not otherwise classified under any of the specific general services accounts. This account shall be closed to the Revenue and Expense Summary account.

Repairs and Maintenance

14.227. **Repairs and Maintenance - Land Improvements (5-02-09-010).** This account is used to record the cost of repairs and maintenance on land improvements constructed/acquired/developed for public use. This account shall be closed to the Revenue and Expense Summary account.

14.228. **Repairs and Maintenance - Infrastructure Assets (5-02-09-020).** This account is used to record the cost of repairs and maintenance on road networks; flood control systems; sewer systems; water supply systems; parks, plazas, monuments; and other infrastructure assets. This account shall be closed to the Revenue and Expense Summary account.

Subsidiary Ledgers:
01 – Road Networks
02 – Flood Control Systems
03 – Sewer Systems
04 – Water Supply Systems
09 – Parks, Plazas, Monuments
99 – Other Infrastructure Assets

14.229. **Repairs and Maintenance - Buildings and Other Structures (5-02-09-030).** This account is used to record the cost of repairs and maintenance on office buildings; school buildings; hospital and health centers; markets; and other structures. This account shall be closed to the Revenue and Expense Summary account.

14.230. **Repairs and Maintenance - Machinery and Equipment**

(5-02-09-040). This account is used to record the cost of repairs and maintenance on machinery; office equipment; information and communication technology (ICT) equipment; communication equipment; construction and heavy equipment; disaster response and rescue equipment; military, police and security equipment; sports equipment; technical and scientific equipment; and other machinery and equipment. This account shall be closed to the Revenue and Expense Summary account.

Subsidiary Ledgers:
01 – Machinery
02 – Office Equipment
03 – ICT Equipment
07 – Communication Equipment
08 – Construction and Heavy Equipment
09 – Disaster Response and Rescue Equipment
10 – Military, Police and Security Equipment
13 – Sports Equipment
14 – Technical and Scientific Equipment
99 – Other Machinery and Equipment

14.231. **Repairs and Maintenance - Transportation Equipment (5-02-09-050).** This account is used to record the cost of repairs and maintenance on motor vehicles; watercrafts; and other transportation equipment. This account shall be closed to the Revenue and Expense Summary account.

Subsidiary Ledgers:
01 – Motor Vehicles
04 – Watercrafts
99 – Other Transportation Equipment

14.232. **Repairs and Maintenance - Furniture and Fixtures (5-02-09-060).** This account is used to record the cost of repairs and maintenance on furniture and fixtures. This account shall be closed to the Revenue and Expense Summary account.

14.233. **Repairs and Maintenance - Leased Assets (5-02-09-070).** This account is used to record the cost of repairs and maintenance of buildings; and other leased assets acquired by a lessee under a finance lease contract/agreement. This account shall be closed to the Revenue and Expense

Summary account.

Subsidiary Ledgers:
01 – Buildings and Other Structures
02 – Machinery and Equipment
03 – Transportation Equipment
99 – Other Leased Assets

14.234. **Repairs and Maintenance - Leased Assets Improvements (5-02-09-080).** This account is used to record the cost of repairs and maintenance of improvements on land, buildings and other assets occupied by a lessee under an operating lease. This account shall be closed to the Revenue and Expense Summary account.

Subsidiary Ledgers:
01 – Land
02 – Buildings
99 – Other Leased Assets Improvements

14.235. **Repairs and Maintenance - Other Property, Plant and Equipment (5-02-13-990).** This account is used to record the cost of repairs and maintenance of other property, plant and equipment not falling under any of the specific property, plant and equipment account. This account shall be closed to the Revenue and Expense Summary account.

Financial Assistance/Subsidy

14.236. **LGU Equity on Other LGU/National/Foreign Funded Projects (5-02-10-010).** This account is used to record funds transferred to the STF as the LGU's counterpart for national/foreign funded projects. This account shall be closed to the Revenue and Expense Summary account.

14.237. **Transfer to TF unutilized current year allocation for LDRRMF (5-02-10-020).** This account is used to record the transfer of unspent CY LDRRMF to the STF. This account shall be closed to the Revenue and Expense Summary account.

14.238. **Transfer of SK allocation (5-02-10-030).** This account is used to record the transfer of the SK allocation. This

account shall be closed to the Revenue and Expense Summary account.

14.239. **Subsidies – Others (5-02-10-990).** This account is used to record the financial assistance given other government agencies. This account shall be closed to the Revenue and Expense Summary account.

Taxes, Insurance Premiums and Other Fees

14.240. **Fidelity Bond Premiums (5-02-11-010).** This account is used to record the amount of premiums paid by the agency for the fidelity bonds of accountable officers. This account shall be closed to the Revenue and Expense Summary account.

14.241. **Insurance Expenses (5-02-11-020).** This account is used to record the amount of premiums paid by the agency for the insurable risks of government properties. This account shall be closed to the Revenue and Expense Summary account.

Extraordinary and Miscellaneous Expenses

14.242. **Extraordinary and Miscellaneous Expenses (5-02-12-010).** This account is used to record the amount paid for expenses incidental to the performance of official functions, such as: meetings and conference, public relations, educational, cultural and athletic activities, membership fees in government organizations, etc.

Other Maintenance and Operating Expenses

14.244. **Advertising Expense (5-02-99-010).** This account is used to record the costs incurred for advertisement, such as expenses to (a) promote and market products and services; and (b) publish invitations to bid and other authorized government advertisements. This account shall be closed to the Revenue and Expense Summary account.

14.245. **Representation Expenses (5-02-99-020).** This account is used to record the expenses incurred for official meetings/conferences/entertainments. This account shall be closed to the Revenue and Expense Summary account.

14.246. **Transportation and Delivery Expenses (5-02-99-030).** This account is used to record the cost of transporting goods/merchandise sold in the course of business operations. This includes the cost of moving agency's own people and properties from one station to another. This account shall be closed to the Revenue and Expense Summary account.

14.247. **Rent/Lease Expenses (5-02-99-040).** This account is used to record rental/lease of land, buildings, facilities, equipment, vehicles, machineries, and the like. This account shall be closed to the Revenue and Expense Summary account.

14.248. **Membership Dues and Contributions to Organizations (5-02-99-050).** This account is used to record membership fees/dues/contributions to recognized/authorized professional organizations. This account shall be closed to the Revenue and Expense Summary account.

14.249. **Subscription Expenses (5-02-99-060).** This account is used to record the cost of subscriptions to library and other reading materials. This account shall be closed to the Revenue and Expense Summary account.

14.250. **Donations (5-02-99-070).** This account is used to record the amount of donations to individuals and institutions. This account shall be closed to the Revenue and Expense Summary account.

14.251. **Other Maintenance and Operating Expenses (5-02-99-990).** This account is used to record other operating expenses not falling under any of the specific maintenance and other operating expense accounts. This account shall be closed to the Revenue and Expense Summary account.

Financial Expenses

14.252. **Interest Expenses (5-03-01-010).** This account is used to record interest charges paid for the use of borrowed money. This account shall be closed to the Revenue and Expense Summary account.

14.253. **Bank Charges (5-03-01-020).** This account is used to record the charges imposed by the bank for various

services rendered excluding interest charges. This also includes cost of checkbooks, penalties and surcharges on overdrafts. This account shall be closed to the Revenue and Expense Summary account.

14.254. **Other Financial Charges (5-03-01-990).** This account is used to record the charges not falling under any of the specific financial expense accounts. This account shall be closed to the Revenue and Expense Summary account.

Non-Cash Expenses

Depreciation

14.255. **Depreciation - Land Improvements (5-04-01-010).** This account is used to record the periodic allocation of cost for the wear and tear of land improvements constructed/acquired/developed for public use in accordance with the prescribed policy on depreciation. This account shall be closed to the Revenue and Expense Summary account.

14.256. **Depreciation - Infrastructure Assets (5-04-01-020).** This account is used to record the periodic allocation of cost for the wear and tear of road networks; flood control systems; sewer systems; water supply systems; parks, plazas, monuments; and other infrastructure assets in accordance with the prescribed policy on depreciation. This account shall be closed to the Revenue and Expense Summary account.

Subsidiary Ledgers:
01 – Road Networks
02 – Flood Control Systems
03 – Sewer Systems
04 – Water Supply Systems
09 – Parks, Plazas and Monuments
99 – Other Infrastructure Assets

14.257. **Depreciation - Buildings and Other Structures (5-04-01-030).** This account is used to record the periodic allocation of cost for the wear and tear of office buildings; school buildings; hospitals and health centers; markets; and other structures in accordance with the prescribed

policy on depreciation. This account shall be closed to the Revenue and Expense Summary account.

Subsidiary Ledgers:
01 – Buildings
02 – School Buildings
03 – Hospitals and Health Centers
04 – Markets
99 – Other Structures

14.258. **Depreciation - Machinery and Equipment (5-04-01-040).** This account is used to record the periodic allocation of cost for the wear and tear of machinery; office equipment; ICT equipment; communication equipment; construction and heavy equipment; disaster response and rescue equipment; military, police and security equipment; sports equipment; technical and scientific equipment; and other machinery and equipment. This account shall be closed to the Revenue and Expense Summary account.

Subsidiary Ledgers:
01 – Machinery
02 – Office Equipment
03 – ICT Equipment
07 – Communication Equipment
08 – Construction and Heavy Equipment
09 – Disaster Response and Rescue Equipment
10 – Military, Police and Security Equipment
13 – Sports Equipment
14 – Technical and Scientific Equipment
99 – Other Machinery and Equipment

14.259. **Depreciation - Transportation Equipment (5-04-01-050).** This account is used to record the periodic allocation of cost for the wear and tear of motor vehicles; watercrafts; and other transportation equipment in accordance with the prescribed policy on depreciation by COA. This account shall be closed to the Revenue and Expense Summary account.

Subsidiary Ledgers:
01 – Motor Vehicles
04 – Watercrafts

99 – Other Transportation Equipment

14.260. **Depreciation - Furniture, Fixtures and Books (5-04-01-060).** This account is used to record the periodic allocation of cost for the wear and tear of furniture and fixtures, and books in accordance with the prescribed policy on depreciation by COA. This account shall be closed to the Revenue and Expense Summary account.

Subsidiary Ledgers:
01 – Furniture and Fixtures
02 – Books

14.261. **Depreciation - Leased Assets (5-04-01-070).** This account is used to record the periodic allocation of cost for the wear and tear of buildings, and other assets under finance lease contract/agreement in accordance with the prescribed policy on depreciation by COA. This account shall be closed to the Revenue and Expense Summary account.

Subsidiary Ledgers:
01 – Buildings and Other Structures
02 – Machinery and Equipment
03 – Transportation Equipment
99 – Other Leased Assets

14.262. **Depreciation - Leased Assets Improvements (5-04-01-080).** This account is used to record the periodic allocation of cost for the wear and tear of improvements on land, buildings, and other leased assets used in operations under operating lease contract in accordance with the prescribed policy on depreciation by COA. This account shall be closed to the Revenue and Expense Summary account.

Subsidiary Ledgers:
01 – Land
02 – Buildings
99 – Other Leased Assets Improvements

14.263. **Depreciation - Other Property, Plant and Equipment (5-04-01-990).** This account is used to record the periodic allocation of cost for the wear and tear of other property, plant and equipment not falling under any of the specific

Property, Plant and Equipment account in accordance with the prescribed policy on depreciation by COA. This account shall be closed to the Revenue and Expense Summary account.

Impairment

14.264. **Impairment Loss - Land (5-04-02-010).** This account is used to record the loss in the future economic benefits or service potential of land, over and above the systematic recognition of the loss of the asset's future economic benefits or service potential through depreciation. This account shall be closed to the Revenue and Expense Summary account.

14.265. **Impairment Loss - Land Improvements (5-04-02-020).** This account is used to record the loss in the future economic benefits or service potential of land improvements constructed/acquired/developed for public use, over and above the systematic recognition of the loss of the asset's future economic benefits or service potential through depreciation. This account shall be closed to the Revenue and Expense Summary account.

14.266. **Impairment Loss- Infrastructure Assets (5-04-02-030).** This account is used to record the loss in the future economic benefits or service potential of road networks; flood control systems; sewer systems; water supply systems; parks, plazas, monuments; and other infrastructure assets, over and above the systematic recognition of the loss of the asset's future economic benefits or service potential through depreciation. This account shall be closed to the Revenue and Expense Summary account.

Subsidiary Ledgers:
01 – Road Networks
02 – Flood Control Systems
03 – Sewer Systems
04 – Water Supply Systems
09 – Parks, Plazas and Monuments
99 – Other Infrastructure Assets

14.267. **Impairment Loss- Buildings and Other Structures (5-04-02-040).** This account is used to record the loss in the future economic benefits or service potential of office buildings; school buildings; hospitals and health centers; markets; and other structures, over and above the systematic recognition of the loss of the asset's future economic benefits or service potential through depreciation. This account shall be closed to the Revenue and Expense Summary account.

Subsidiary Ledgers:
01 – Buildings
02 – School Buildings
03 – Hospitals and Health Centers
04 – Markets
99 – Other Structures

14.268. **Impairment Loss- Machinery and Equipment (5-04-02-050).** This account is used to record the loss in the future economic benefits or service potential of machinery; office equipment; ICT equipment; communication equipment; construction and heavy equipment; disaster response and rescue equipment; military, police and security equipment; sports equipment; technical and scientific equipment; and other machinery and equipment, over and above the systematic recognition of the loss of the asset's future economic benefits or service potential through depreciation. This account shall be closed to the Revenue and Expense Summary account.

Subsidiary Ledgers:
01 – Machinery
02 – Office Equipment
03 – ICT Equipment
07 – Communication Equipment
08 – Construction and Heavy Equipment
09 – Disaster Response and Rescue Equipment
10 – Military, Police and Security Equipment
13 – Sports Equipment
14 – Technical and Scientific Equipment
99 – Other Machinery and Equipment

14.269. **Impairment Loss- Transportation Equipment (5-04-02-060).** This account is used to record the loss in the

future economic benefits or service potential of motor vehicles; watercrafts; and other transportation equipment, over and above the systematic recognition of the loss of the asset's future economic benefits or service potential through depreciation. This account shall be closed to the Revenue and Expense Summary account.

Subsidiary Ledgers:
01 – Motor Vehicles
04 – Watercrafts
99 – Other Transportation Equipment

14.270. **Impairment Loss- Furniture, Fixtures and Books (5-04-02-070).** This account is used to record the loss in the future economic benefits or service potential of furniture and fixtures, and books, over and above the systematic recognition of the loss of the asset's future economic benefits or service potential through depreciation. This account shall be closed to the Revenue and Expense Summary account.

Subsidiary Ledgers:
01 – Furniture and Fixtures
02 – Books

14.271. **Impairment Loss- Leased Assets (5-04-02-080).** This account is used to record the loss in the future economic benefits or service potential of land, buildings and other assets under finance lease contract/agreement, over and above the systematic recognition of the loss of the asset's future economic benefits or service potential through depreciation. This account shall be closed to the Revenue and Expense Summary account.

Subsidiary Ledgers:
01 – Land
02 – Buildings and Other Structures
03 – Machinery and Equipment
04 – Transportation Equipment
99 – Other Leased Assets

14.272. **Impairment Loss- Leased Assets Improvements (5-04-02-090).** This account is used to record the loss in the future economic benefits or service potential of

improvements on land, buildings, and other leased assets used in operations under operating lease contract, over and above the systematic recognition of the loss of the asset's future economic benefits or service potential through depreciation. This account shall be closed to the Revenue and Expense Summary account.

Subsidiary Ledgers:
01 – Land
02 – Buildings
99 – Other Leased Assets Improvements

14.273. **Impairment Loss- Other Property, Plant and Equipment (5-04-02-990).** This account is used to record the loss in the future economic benefits or service potential of other property, plant and equipment not falling under any of the specific Property, Plant and Equipment account, over and above the systematic recognition of the loss of the asset's future economic benefits or service potential through depreciation. This account shall be closed to the Revenue and Expense Summary account.

Losses

14.274. **Loss on Sale of Property, Plant and Equipment (5-04-03-010).** This account is used to record the amount of loss on sale of property, plant and equipment. This account shall be closed to the Revenue and Expense Summary account.

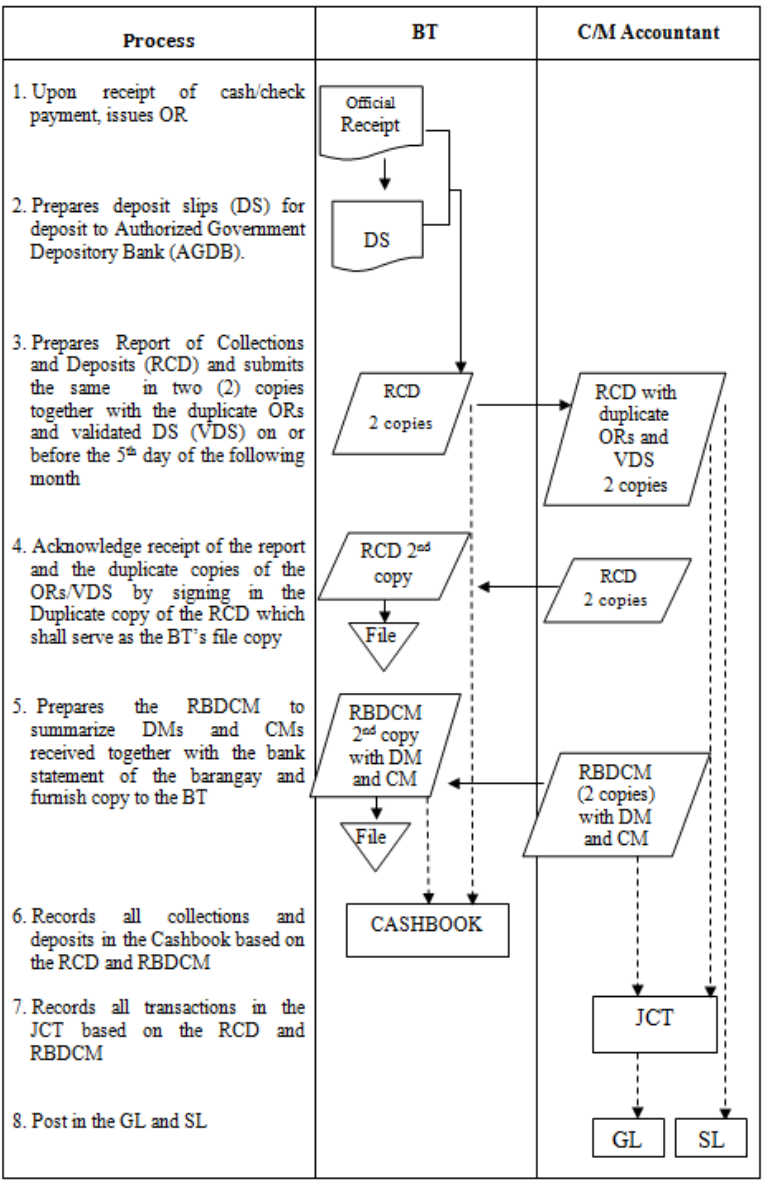
14.275. **Loss on Sale of Assets (5-04-03-020).** This account is used to record the amount of loss on sale of assets. This account shall be closed to the Revenue and Expense Summary account.

14.276. **Loss of Assets (5-04-03-030).** This account is used to record amount of loss suffered by government due to theft/fortuitous events/calamities/civil unrest and events of same nature. This account shall be closed to the Revenue and Expense Summary account.

14.277. **Loss on Revaluation of Biological Assets (5-04-03-040).** This account is used to record the decrease in the fair value of biological assets due to physical/price change.

COLLECTION AND DEPOSIT/REMITTANCE FLOWCHART

- **Through the BT and Direct Deposit to the AGDB (for Income/Other Receipts accruing to the Barangay)**



Appendix A

Legend:



Movement of documents

Recording

Decision

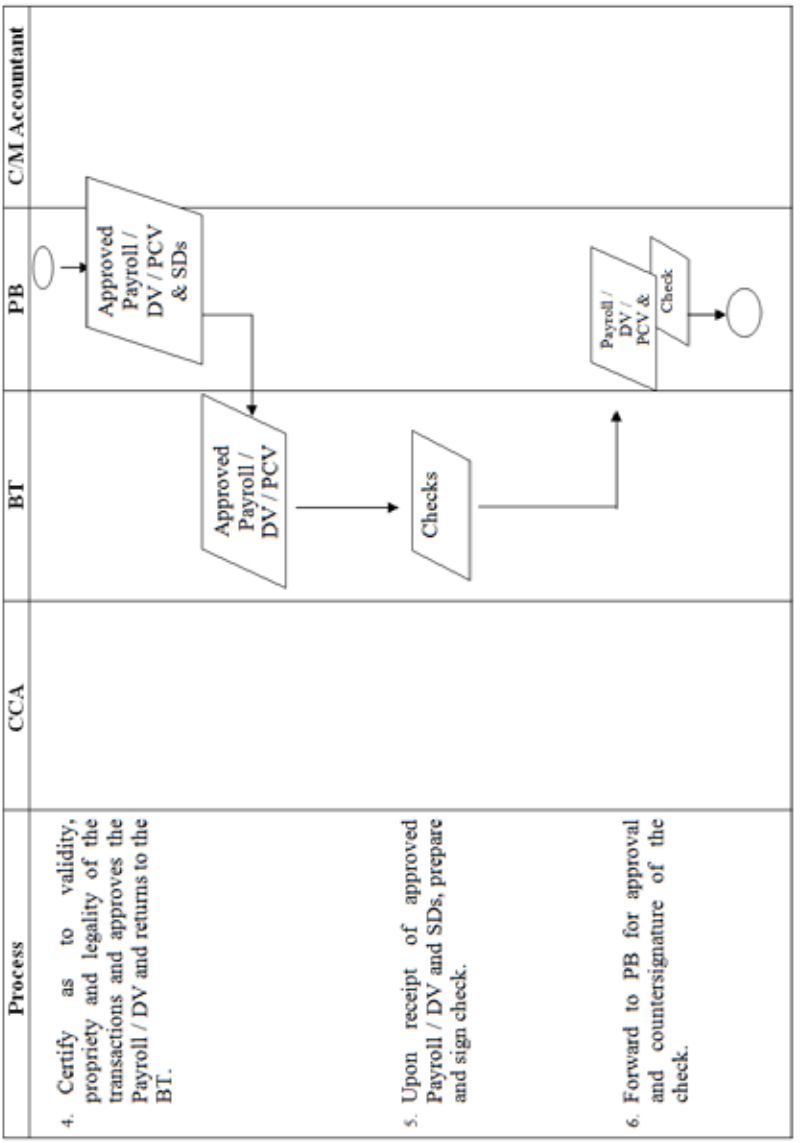
Page Connector

CM	- Credit Memo
DS	- Deposit Slip
GL	- General Ledger
JCT	- Journal of Cash Transactions
ND	- Notice of Deposits
OR	- Official Receipts
RBDCM	- Report of Bank Debit and Credit Memos
RCD	- Report of Collections and Deposits
SL	- Subsidiary Ledger
VDS	- Validated Deposit Slip

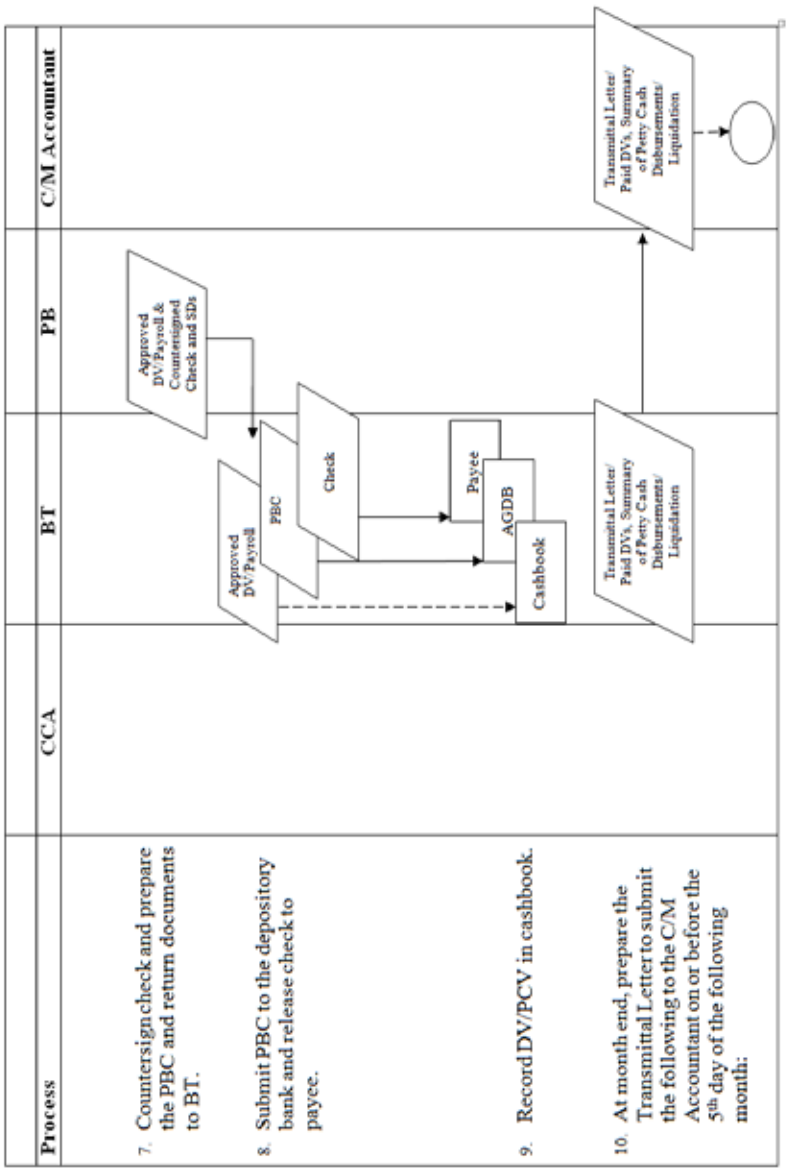
APPROPRIATIONS, OBLIGATIONS AND DISBURSEMENTS
- **Cash Advance and Petty Cash**

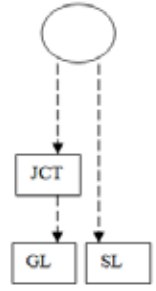
Process	CCA	BT	PB	C/M Accountant
1. Prepare payroll or DV/PCV and forwards to CCA together with the supporting documents.		Payroll / DV / PCV & SDs		
2. Verifiy existence of appropriation, certifies availability of appropriation for the purpose in the DV/Payroll; records in the RAO then returns to the BT.	Payroll / DV/ PCV & SDs			
3. Certify as to availability of funds; verifies and reviews the completeness and propriety of the supporting documents (SDs), then forwards to PB.	RAOs	Payroll / DV / PCV & SDs	Payroll / DV / PCV & SDs	

Appendix B


Process
CCA
BT
PB
C/M Accountant
4. Certify as to validity, propriety and legality of the transactions and approves the Payroll / DV and returns to the BT.
Approved Payroll / DV / PCV & SDs
Approved Payroll / DV / PCV
5. Upon receipt of approved Payroll / DV and SDs, prepare and sign check.
Checks
6. Forward to PB for approval and countersignature of the check.
Payroll / DV / PCV & Check

Appendix B


Process
CCA
BT
PB
C/M Accountant
7. Countersign check and prepare the PBC and return documents to BT.
8. Submit PBC to the depository bank and release check to payee.
9. Record DV/PCV in cashbook.
10. At month end, prepare the Transmittal Letter to submit the following to the C/M Accountant on or before the 5th day of the following month:
Approved DV/Payroll & Countersigned Check and SDs
Approved DV/Payroll
PBC
Check
Payee
AGDB
Cashbook
Transmittal Letter/ Paid DVs, Summary of Petty Cash Disbursements/ Liquidation
Transmittal Letter/ Paid DVs, Summary of Petty Cash Disbursements/ Liquidation

• Paid DVs • Summary of Petty Cash Disbursements with Paid PCVs • Liquidation Reports 11. Record the disbursement transaction in the JCT and post to GL and SLs.				

Legend:

Movement of documents	**PBC** - Punong Barangay Certification
Recording	**AGDB** - Authorized Government Depository Bank
Decision	**CCA** - Chairman of the Committee on Appropriations
Page Connector	**DV** - Disbursement Voucher
	GL - General Ledger
	JCT - Journal of Cash Transactions
	PCV - Petty Cash Voucher
	RAO - Record of Appropriations and Obligations
	SD - Supporting Documents
	SL - Subsidiary Ledger
	VDS - Validated Deposit Slip

Appendix B

BARANGAY'S FINANCIAL MANAGEMENT
MATRIX OF REPORTS AND FORMS

No.	Title	Submitted/ Accomplished by	Submitted to	No. of Copies	Distribution	Frequency/ Due Date	Remarks/ Purpose
A. Records/Reports							
1	**Report of Collections and Deposits** (income and other receipts for the barangay)	BT	C/M Accountant	3	Original - COA thru the Acctg. Unit with duplicate copy of the ORs 2nd copy -C/M Accountant's file 3rd copy - BT file	Monthly; 5th day of the following month	To report collections and deposit of income and other receipts that accrues to the barangay.
2	**Report of Collections and Deposits** (income for the city/municipality)	BT	C/M Treasurer	3	Original - COA thru the Acctg. Unit with duplicate copy of the ORs 2nd copy -C/M Treasurer 3rd copy - BT file	Daily	To report collections for the city/municipality by the BT as Deputized Collecting Officer
3	**Report of Collections and Remittances** (for collections made by the Deputized Barangay Collectors)	Deputized Barangay Collectors	BT	3	Original - COA thru the Acctg. Unit with duplicate copy of the ORs 2nd copy -C/M Accountant 3rd copy - BT file	Daily	To report all remittances to the Bt as Deputized Barangay Collectors

Appendix C

No.	Title	Submitted/ Accomplished by	Submitted to	No. of Copies	Distribution	Frequency/ Due Date	Remarks/ Purpose
4	**Report of Bank Debit and Credit Memos**	C/M Accountant	BT	3	Original - COA Auditor, attachment to JV 2nd copy - BT 3rd copy - C/M Accountant's file	Monthly	To report all Bank Debit Memos and Credit Memos and basis for recording in the cashbook
5	**Bank Reconciliation Statement**	C/M Accountant	COA Auditor	3	Original - COA Auditor 2nd copy - C/M Accountant 3rd copy - PB/BT	Monthly; 20th day of the following month	To reconcile the cash balance per books and per bank.
6	**Liquidation Report**	Accountable Officers with cash advances from Barangay Treasurer	BT	3	Original - COA Auditor thru the Acctg. Unit with Supporting Documents 2 - Accounting Unit 3 - Accountable Officer's file	30 days - Local travel* 60 days - Foreign travel** after return to official station	To report all expenses paid through cash advances.
7	**Summary of Petty Cash Disbursements**	BT/Petty Cash Custodian	C/M Accountant as supporting document to the replenishment voucher	2	Original - COA Auditor thru C/M Accountant attached to DV for replenishment 2 - BT file	Monthly; 5th day of the following month	To summarize all paid petty cash voucher for replenishment.

Appendix C

No.	Title	Submitted/ Accomplished by	Submitted to	No. of Copies	Distribution	Frequency/ Due Date	Remarks/ Purpose
8	**Report of Accountability for Accountable Forms**	DBC/BT	C/M Accountant	3	Original - COA Auditor thru the Accounting Unit 2 - Accounting Unit 3 - BT's file	Monthly; 5th day of the following month	To report the accountable forms utilized and the corresponding balances.
9	**Acceptance and Inspection Report**	BT as Property Officer	C/M Accountant	3	Original - C/M Accountant to be attached to the duplicate of PO and PR 2 - to be attached to the DV together with the originals of the PO and PR 3 - BT's file	As the need arises	To report inventory of supplies, property and equipment received.
10	**Inventory, Inspection and Appraisal Report**	BT	C/M Accountant	3	Original - to the C/M Accountant as basis for drawing a JV and shall serve as its supporting document 2 - BT 3 - C/M Accountant's file	As the need arises	To report all property subject to disposal.
11	**Report on Inventory of Property and Equipment**	Barangay Inventory Team	BT and C/M Accountant	3	Original - COA Auditor thru C/M Accountant 2 - C/M Accountant 3 - BT	Once a year	To report result of inventory taking and reconciliation of the PPE account with the accounting records

Appendix C

No.	Title	Submitted/ Accomplished by	Submitted to	No. of Copies	Distribution	Frequency/ Due Date	Remarks/ Purpose
12	**Report on Inventory of Supplies and Materials**	Barangay Inventory Team	BT and C/M Accountant	3	Original - COA Auditor thru C/M Accountant 2 - C/M Accountant 3 - BT	Once a year	To report result of inventory taking and reconciliation of the supplies and materials with the accounting records
13	**Summary of Supplies and Materials Issued**	BT	C/M Accountant	3	Original - C/M Accountant 2 - COA thru C/M Accountant 3 - BT file	At the end of the month	To summarize all the RIS
B. Forms							
1	**Journal Voucher**	C/M Accountant	COA	2	Original - COA together with the supporting documents 2 - Accounting file	As needed	All non-cash transactions are reflected in this form for recording in the General Journal.
2	**Disbursement Voucher**	Claimant	BT	3	Original - COA thru the Accountant 2 - BT 3 - Payee	As needed	Basic document used by barangay for all money claims where transactions to be paid are recorded, approved and accounting entries are presented.

Appendix C

No.	Title	Submitted/ Accomplished by	Submitted to	No. of Copies	Distribution	Frequency/ Due Date	Remarks/ Purpose
3	**Petty Cash Voucher**	Petty Cash Custodian/ Barangay Treasurer	C/M Accountant	2	1 - COA thru the Accountant (attached to SPCD as supporting document to replenishment voucher) 2 -copy of BT/PCC	As needed	Document used for disbursements out of petty cash
4	**Payroll**	Claimant	BT	3	Original - COA thru the Accountant 2 - BT 3 - Payee	As needed	To be used for claims for salaries, honorarium and allowances of government employees.
5	**Transmittal Letter**	BT	C/M Accountant	3	Original - CM Accountant 2 - to the COA Auditor 3 - BT file	Monthly basis or maybe as the need arises	A letter format used to transmit financial documents of the barangay such as RCDs, ORs, DVs, Liquidation Reports with supporting documents , RAAFs, etc.
6	**Acknowledgement Receipt for Donated Property, Equipment, Supplies and Materials**	BT	C/M Accountant	3	Original - Donor 2 - C/M Accountant 3 - BT file	As needed	Used to report on the receipt of supplies and materials by the barangay from Donors.
7	**Requisition and Issue Slip**	Requesting Person	BT	3	Original - BT 2 - Requesting person 3 - C/M Accountant	As needed	Used when requesting and issuing supplies and other inventory items.

Appendix C

No.	Title	Submitted/ Accomplished by	Submitted to	No. of Copies	Distribution	Frequency/ Due Date	Remarks/ Purpose
8	**Inventory Custodian Slip**	Requesting Person	BT	2	Original - BT 2 - Requesting person	As needed	Used to monitor and control issuance of small items with life of more than one year.
9	**Purchase Request**	Requesting Person	BT	3	Original - shall be attached to the PO 2 - Requesting Officer 3 - BT	As needed	Prepared to request supplies and materials not carried in stock based on the APP. Basis for procurement.
10	**Purchase Order**	BT	CM Accountant	3	Original - to the supplier for delivery of goods and attachment to the DV upon request for payment 2 - BT file 3 - COA for review and appropriate action	As needed	Used to place order of supplies, materials and equipment based on the results of the procurement process.
11	**Property Acknowledgement Receipt**	BT	Accountable Personnel	3	1 - BT 2 - Recipient or user of the property 3 - C/M Accountant	Upon issuance of an item of property	Used to monitor and pinpoint accountability of property and equipment issued to accountable officers.

Appendix C

Appendix C

No.	Title	Submitted/ Accomplished by	Submitted to	No. of Copies	Distribution	Frequency/ Due Date	Remarks/ Purpose
12	**Statement of Appropriations, Obligations and Balances**	Chairman on Committee on Appropriations (CCA)	Punong Barangay (PB) and Sangguniang Barangay (SB) C/M Accountant	3 2	1 – PB 2 - SB 3 – CCA's file 1 – C/M Accountant 2 – CCA's file	Monthly Annually	Used as basis for the evaluation of the barangay's status of finances Used as basis for the preparation of the Statement of Comparison of Budget and Actual Amount
13	**Record of Estimated and Actual Income (REAI)**	BT	C/M Accountant	2	1 – C/M Accountant 2 – BT's file	Annually	Used as basis for the preparation of the Statement of Comparison of Budget and Actual Amount

Annex 1

Journal of Cash Transaction
For the Month of _____

Barangay: _____

City/Municipality: _____ Sheet No: _____

Province: _____

Date	Particular	Reference (RCD, DV,JEV)	Cash – In Local Treasury		Cash in Bank-LCCA		Income					Expenses					Sundry Column			
			Debit	Credit	Debit	Credit											Account Title	Account Code	Debit	Credit

Certified Correct:

_____ Barangay Bookkeeper

_____ Chief Accountant

_____ Date

Annex 1

JOURNAL OF CASH TRANSACTIONS (JCT)
(For Barangay Books of Accounts)

INSTRUCTIONS

A. This journal shall be accomplished as follows:
   1. ***For the Month of –*** month of the transactions
   2. ***Barangay –*** name of the barangay
   3. ***City/Municipality –*** name of city where the barangay is situated
   4. ***Province –*** name of the province where the barangay/city/municipality is situated
   5. ***Sheet No.*** – sheet number of the JCT which shall be one series for each year
   6. ***Date*** – date of the transaction
   7. ***Particular –*** the nature of transactions and the period covered
   8. ***Reference –*** the number of the Report of Collections and Deposits, DV No., Validated Deposit Slip (date), Liquidation Report No., etc.
   9. ***Cash in Treasury –***
      a. ***Debit –*** amount of collections of the BT per RCD
      b. ***Credit –*** amount of deposits made by the BT per RCD
   10. ***Cash in Bank-LCCA –***
      a. ***Debit –*** amount of deposits made by the BT per RCD
      b. ***Credit –*** amount of the check issued per DV
   11. ***Income –*** indicate the income accounts recurring to the barangay
   12. ***Expenses –*** indicate the expense accounts recurring to the barangay
   13. ***Sundry Column –*** for transactions not provided with specific debit or credit columns
      a. ***Account Title*** – title of the account per Chart of Accounts for barangay
      b. ***Account Code*** – the corresponding account code per chart of account
      c. ***Debit –*** amount to be debited
      d. ***Credit –*** amount to be credited

B. This journal shall be maintained by the City/Municipal (C/M) Accounting Unit for each barangay.

C. At the end of the month, total all debit and credit columns.

D. Prepare a recapitulation of the Sundry Columns as follows:

Account Title	Account Code	Amount	
		Debit	Credit

The journal shall be signed certified correct by the City/Municipal Accountant on every page.

E. All cash transactions of the barangay (collections and deposits, and expenses paid in cash) shall be recorded in the JCT.

Annex 2

GENERAL JOURNAL

_____

Barangay, City/Municipality, Province

_____

For the month of

Sheet No._____

Date	JEV No.	Particulars	Account Title	Account Code	P	Amount	
						Debit	Credit

CERTIFIED CORRECT:

_____

Signature over Printed Name

_____

Designation

Annex 2

GENERAL JOURNAL (GJ)

INSTRUCTIONS

A. This journal shall be accomplished as follows:

1. ***Barangay, City/Municipality, Province*** – names of the barangay and the city/municipality and province where the barangay is situated
2. ***Month –*** month covered by the journal
3. ***Sheet No. –*** sheet number of the General Journal, which shall be one series for each year
4. ***Date –*** date of the Journal Entry Voucher (JEV)
5. ***JEV No. –*** assigned JEV number
6. ***Particulars*** – brief description of the transaction
7. ***Account Code –*** account code used to record the transaction
8. ***P (Posting Reference) –*** put a check "Ö' mark to indicate completion of posting in the –appropriate GL account
9. ***Amount Debit –*** amount debited corresponding to the account
10. ***Amount Credit –*** amount credited corresponding to the account

B. All non-cash transactions of the barangay shall be recorded in the GJ.

C. Entries to the journal shall be made only on the bases of duly approved JEVs. Said entries shall be posted individually to the General Ledger.

D. A new sheet shall be started at the beginning of each month.

E. Each sheet shall be footed and the totals carried forward to the next sheet.

F. Succeeding sheet shall start with the total brought forward.

G. At the end of the month, it shall be footed, balanced and ruled.

H. The totals of the debit and credit columns must be equal.

I. Every page shall be certified correct by City/Municipal Accountant/Head of the Accounting Unit as follows:

Annex 2

"CERTIFIED CORRECT:

_____

Signature

_____

Designation"

Annex 3

GENERAL LEDGER

Sheet No. _____

Account Title:_____
Account Code:_____

Barangay:_____
City/Municipality:_____
Province:_____

Date	Particulars	Reference	Amount		
			Debit	Credit	Balance

Annex 3

GENERAL LEDGER (GL)

INSTRUCTIONS

A. The ledger shall be accomplished as follows:

1. ***Account Title*** – account title used in accordance with the prescribed Chart of Accounts
2. ***Account Code –*** account code used in accordance with the prescribed Chart of Accounts
3. ***Barangay –*** name of barangay
4. ***City/Municipality/Province –*** name of city/municipality/province where the barangay is situated
5. ***Sheet No. –***sheet number of the General Ledger which shall be one series for each year for each account
6. ***Date –***date of the source document
7. ***Particulars –***information or details pertaining to the transaction
8. ***Reference –***the source reference such as Journal Entry Voucher number
9. ***Debit Column –*** amount debited
10. ***Credit Column –*** amount credited
11. ***Balance –***the difference between the Debit and Credit columns. Place parenthesis in the amount with a negative balance

B. The ledger sheets shall be arranged in the same order or sequence of the accounts appearing in the Chart of Accounts.

C. Postings to this ledger shall come directly from the JBT and the General Journal.

D. Every sheet shall be footed and totaled. The difference of the totals of Debit and Credit columns should tie-up with the running balance column.

E. At the end of each month, after the two journals have been posted, the debit and credit columns of each account shall be footed in pencil and the balance indicated in ink.

F. At the end of the calendar year, each account shall be ruled and closed. All totals shall be written legibly in ink and the balance of the account carried forward as the opening balance of the new General Ledger for the next calendar year.

G. Controlling accounts in the General Ledger shall be supported by details in the subsidiary ledgers.

Annex 4

SUBSIDIARY LEDGER

Sheet No. _____

Account Title: _____ Barangay: _____

Account Code: _____

Description: _____

Creditor/Debtor: _____ City/Municipality: _____

Address: _____

Contact No.: _____ Province: _____

Date	Particulars	Reference	Amount		
			Debit	Credit	Balance

Annex 4

SUBSIDIARY LEDGER (SL)

INSTRUCTIONS

A. The ledger shall be accomplished as follows:

1. ***Sheet No.***– sheets of all accounts shall be numbered starting with one for the whole year
2. ***Account Title* –** account title used in accordance with the prescribed Chart of Accounts (CA)
3. ***Account Code* –** *a*ccount code used in accordance with the prescribed CA
4. ***Description* –** description of item subject of SL
5. ***Creditor/Debtor* –** name of creditor/debtor in case the SL is for receivable or payable.
6. ***Address* –** address of the creditor/debtor
7. ***Contact No.* –** telephone number of creditor/debtor
8. ***Barangay* –** name of the barangay
9. ***City/Municipality* –** name of the city/municipality
10. ***Province* –** name of the province
11. ***Date* –** date of the source document
12. ***Particulars* –** other information or details pertaining to the account
13. ***Reference* –** reference documents used as a basis in the recording of transactions
14. ***Debit Column* –** amount being debited to the account
15. ***Credit Column* –** amount being credited to the account
16. ***Balance* –** the difference between the Debit and Credit columns

B. Subsidiary Ledgers shall be kept for each control account in the General Ledger. At the end of each month, the Subsidiary Ledger balance shall be reconciled with the corresponding control account.

C. Every sheet shall be footed and totalled. The difference of the totals of Debit and Credit columns should tie-up with the running balance column. This total shall be carried forward to the next sheet. Succeeding sheets start with the totals brought forward.

Annex 5

JOURNAL VOUCHER

_____

Barangay, City/Municipality, Province

No. _____

Date:_____

ACCOUNTING ENTRIES

Accounts and Explanation	Account Title	Account Code	Ref.	Amount	
				Debit	Credit
	Total				

Prepared by:

_____

Barangay Bookkeeper

Date:_____

Approved by:

_____

City/Municipal Accountant

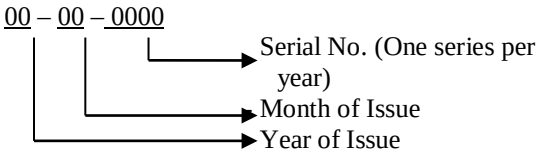
Date: _____

JOURNAL VOUCHER (JV)
(For Barangay Books of Accounts)

INSTRUCTIONS

A. This form shall be accomplished as follows:

1. ***Barangay, City/Municipality, Province*** – name of the barangay and the city/municipal, province where the barangay is situated
2. ***No. –*** assigned JV number which is as follows:



3. ***Date –*** date the JV was prepared
4. ***Accounts and Explanation –*** account titles and brief explanations of the transactions
5. ***Account Code –*** account code used in accordance with the Chart of Accounts for barangays
6. ***Ref. –*** reference documents used as basis for the preparation of the JV like IAR, unpaid DV, other reports, etc.
7. ***Debit –*** amount debited
8. ***Credit –*** amount credited
9. ***Total –*** total amount debited and credited
10. ***Prepared by –*** name and signature of the Barangay Bookkeeper, and date of preparation
11. ***Approved by –*** name and signature of the City/Municipal Accountant and date of approval

B. It shall be prepared by the Accounting Unit to record all non-cash financial transactions of the barangay including journal and closing entries.

C. It shall be prepared in two copies based on the transaction documents presented and distributed as follows:

Original - Submitted to the COA Auditor together with the supporting documents

2nd copy - Retained by the Accounting Unit for file by nature of transaction

D. Accounting journal entries shall be reflected therein and it shall serve as the basis for recording the transaction in the General Journal.

RECORD OF APPROPRIATIONS AND OBLIGATIONS

Barangay:	City/Municipality:	Page No.:
Chairman on Committee on Appropriations:	Province:	
Fund Source:		

Reference		Total	Personnel Services				Maintenance & Other Operating Expenses					Financial Expenses		Capital Outlay	
Date	No.														
A. Appropriations															
B. Obligations															

Annex 6

Annex 6

RECORD OF APPROPRIATIONS AND OBLIGATIONS (RAO)

INSTRUCTIONS

A. The Record of Appropriations and Obligations (RAO) shall be maintained by the Chairman on Committee on Appropriations (CCA) to record the annual and supplemental appropriations for the expenditures stated in the Appropriation Ordinance made by the Committee on Appropriations of the Sangguniang Barangay (SB). Each obligation incurred shall be recorded as a deduction to the annual appropriation of the corresponding expenditures. This form shall be accomplished as follows:

1. ***Barangay –*** name of the barangay
2. ***Chairman on Committee on Appropriations –*** name of the CCA of the SB
3. ***City/Municipality –*** the city or municipality of the barangay
4. ***Province*** – the province of the barangay
5. ***Page No. –*** page number
6. ***Fund Source*** – indicate whether appropriation is for regular appropriations, 10% Sangguniang Kabataan fund, 5% Local Disaster Risk Reduction Management Fund, 20% Development Fund or continuing appropriations
7. ***Reference –***
   a. ***Date –*** date indicated in the Appropriation Ordinance
   b. ***No. –*** reference and number of the document supporting the transaction
8. ***A. Appropriations –*** records all appropriations and supplemental appropriations
9. ***B. Obligations –*** records all obligations
10. ***Total –*** amounts of the annual/supplemental appropriations and obligations based on the gross amount of the DV and Payroll
11. ***Personnel Services –*** amounts for the specific accounts under the PS as obligated
12. ***Maintenance & Other Operating Expenses –*** amounts for the specific accounts under the MOOE as obligated
13. ***Financial Expenses –*** amounts for the specific accounts under FE as obligated
14. ***Capital Outlay –*** amounts for the specific accounts under CO as obligated

B. Each part shall be totalled monthly to facilitate the preparations of the Statement of Appropriations, Obligations and Balances (SAOB).

C. This record shall be the basis for the preparation of the SAOB which is submitted to the Punong Barangay (PB) and the SB as basis for the evaluation of the barangay's status of finances.

Barangay _____
City/Municipality, Province
Statement of Appropriations, Obligations and Balances
As of _____
(In Philippine Peso)

Code	Function/Program/Project	Appropriations			Obligations	Balances
		Original	Supplemental	Final		
I. Current Year Appropriations						
Personnel Services						
Maintenance and Other Operating Expenses						
Financial Expenses						
Capital Outlay						
20% Development Fund						
10% Sangguniang Kabataan Fund						
5% Local Disaster Risk Reduction and Management Fund						
II. Continuing Appropriations						
Capital Outlay						
20% Development Fund						

Certified Correct:

_____
Chairman, Committee on Appropriations

_____
Date

Noted By:

_____
Punong Barangay

_____
Date

Annex 7

STATEMENT OF APPROPRIATIONS, OBLIGATIONS AND BALANCES (SAOB)

INSTRUCTIONS

A. The Statement of Appropriations, Obligations and Balances (SAOB) shall be prepared by the Chairman of the Committee on Appropriations (CCA) monthly based on the Records of Appropriations and Obligations (RAO). This form shall be accomplished as follows:

1. ***Barangay –*** name of the barangay
2. ***As of _____ –*** month/year on which the SAOB is being prepared for
3. ***Appropriations –*** the amount of appropriations per each category of expense
    a. ***Original –*** the amount of appropriation in the Annual Budget
    b. ***Supplemental –*** the amount of appropriation in the Supplemental Budget
    c. ***Final –*** the total amount of the Original and Supplemental columns
4. ***Obligations –*** the amount of obligations per each category of expense
5. ***Balances*** – the difference between the amounts of appropriations and obligations

B. The SAOB shall be certified correct by the CCA and duly noted by the PB.

C. The year-end SAOB shall be submitted to the C/M Accountant.

CASHBOOK

Barangay: _____

Barangay Treasurer: _____

Calendar Year: _____

Date	Particulars	Reference	Cash in Local Treasury			Cash in Bank			Cash Advance			Petty Cash		
			Collection	Deposit	Balance	Deposit	Check Issued	Balance	Receipt	Disburse-ments	Balance	Receipt/ Replenish ment	Payments	Balance
2012														
Feb. 1	Bal. Beginning							100,000			20,000	1,000		1,000
1	Collections and Deposits	RCD No. 2016-02-001	200	200	0	200		100,200						
9	Credit Memos	RBDMCM No. 2016-02-001				10,000		110,200						
10	Cash Adv.- Training	Check No. 2016-02-111					5,000	105,200	5,000		25,000			
15	Payments-Training Expenses	Liquidation Report No. 2016-02-002							(4,500)		20,500			
15	Refund of PC	OR No. 002	500		500				(500)		20,000			
15	Deposit	RCD No. 2016-02-002		500	0	500		105,700						
11	Payment of Supplies	PCV No. 2016-02-002										(237)		763
11	Payment of Repairs	PCV No. 2016-02-003										(540)		223
	PC Replenishment	Check No. 2012-02-112					777	104,923				777		1,000
28	Honorarium for Trainer	Check No. 2012-02-113					5,000	99,923						
Feb 28	Totals		700	700		10,700	10,777							
Feb 28	Bal Ending				0			99,923			20,000			1,000

CERTIFICATION:

I hereby certify that the foregoing is a correct and complete record of all my collections, deposits/remittances and balances of my accounts in the Cash – In Local Treasury, Cash in Bank, Cash Advances, and Petty Cash as of February 28, 2012.

_____
Name and Signature

_____
Date

Annex 8

Annex 8

CASHBOOK

INSTRUCTIONS

A. The Cashbook shall be shall be maintained by the Barangay Treasurer (BT) to record daily collections and deposits, cash advance for payroll of the barangay, cash advances granted for specific and time bound undertakings of the barangay and to monitor the balance of Cash in Bank account and the Petty Cash under the accountability of the BT.

B. It shall be accomplished as follows:

1. ***Heading –***
   a. ***Barangay*** – name of the Barangay
   b. ***Barangay Treasurer –*** name of the Barangay Treasurer
   c. ***Calendar Year*** – indicate the calendar year as in January - ___, 20__
2. ***Date –*** date of the source documents
3. ***Particulars –*** nature and details of the transactions
4. ***Reference –*** the number of the documents as in RCD No., Check No., etc.
5. ***Cash in Local Treasury –***
   a. ***Collections –***amount of collections per RCD
   b. ***Deposits –*** amount of deposits with AGDB per validated DS
   c. ***Balance–*** daily balance of undeposited collections
6. ***Cash in Bank–***
   a. ***Deposit –*** amount deposited out of collections from regular income of the barangay, amount of collections thru banks based on credit memos received from the bank for direct deposit (IRA, share from national wealth, RPT) and share of the barangay from collections as deputized collecting officer
   a. ***Checks Issued –*** amounts of checks issued by the BT and charges based on Debit Memos issued by the bank
   b. ***Balance –*** daily balance of Cash in Bank

7. Cash Advance–

- ***a. Receipt –*** amount of cash advance received by the BT for the payment of payroll or for specific and time bounded activities of the barangay.
- ***b. Disbursements –*** payments made out of the cash advance/liquidation or refund of excess cash based on Liquidation Report or OR issued, respectively.
- ***a. Balance-*** remaining balance of the cash advance

8. Petty Cash–

- ***a. Receipt/Replenishment –*** amount for the establishment or replenishment of petty cash
- ***b. Payments –*** amount for the payments of expenses based on duly accomplished and approved PCV
- ***c. Balances –*** remaining balance of petty cash

C. The BT shall record all transactions immediately and daily update the balance of all the accounts.

D. At the end of the month, the BT shall certify correct the balances appearing in the cashbook by affixing his signature and the date of the signing.

Annex 8.1

CASHBOOK

(for Disbursing Officer)

_____

Barangay, City/Municipality

Disbursing Officer: _____ **Fund:** _____

Date	Particulars	Reference	CASH ADVANCES		
			Debit	Credit	Balance

Annex 8.1

CASHBOOK
(Disbursing Officers)

INSTRUCTIONS

A. The report shall be accomplished by designated Disbursing Officer other than the Barangay Treasurer as follows:

1. ***Barangay, City/Municipality*** – the name of the barangay and the city/municipality it is located
2. ***Disbursing Officer –***name of Disbursing Officer
3. ***Fund –*** the fund from which cash advance was made
4. ***Date –***date of the source documents
5. ***Particulars –***details or nature of transactions
6. ***Reference –*** the number of the Voucher/Payroll
7. ***Debit –*** the amount advanced by the Disbursing Officer based on the Voucher
8. ***Credit –***the amount disbursed out of the cash advances
9. ***Balance –***the difference between the Debit and Credit columns which shall be equal to the amount of cash in hand of Disbursing Officer

B. The Disbursing Officer shall maintain this record to monitor the cash advances balance as of specific date. All transactions for the day shall be recorded immediately.

C. At the end of each day, the debit and credit shall be ruled and closed. All totals shall be written legibly in ink and the balances shall be carried forward as opening balances of the Cash Book for the next day.

D. The difference of the totals of Debit and Credit columns should reconcile with the cash on hand.

REPORT OF COLLECTIONS AND DEPOSITS

Name of Barangay Treasurer: _____ Date: _____
Barangay: _____ RCD No.: _____

A. COLLECTIONS

Official Receipt/RCR		Payor/DBC	Nature of Collection	Amounts
Date	Number			
TOTAL				

B. DEPOSITS

Bank/Branch	Reference	Amount
TOTAL		

C. ACCOUNTABILITY FOR ACCOUNTABLE FORMS

Name of Form and No.	Beginning Balance			Receipt			Issued			Ending Balance		
	Qty	Inclusive Serial No.		Qty	Inclusive Serial No.		Qty	Inclusive Serial No.		Qty		
		From	To		From	To		From	To		From	To
With Money Value:												
Cash Tickets												
Without Money Value:												
Official Receipts												

D. CERTIFICATION:

I hereby certify that this Report of Collections and Deposits; and Accountable Forms including supporting documents are true and correct

_____ _____
Barangay Treasurer *Date*

E. ACCOUNTING ENTRIES

Account Title	Account Code	Debit	Credit

Prepared by: _____ Approved by: _____

REPORT OF COLLECTIONS AND DEPOSITS (RCD)

INSTRUCTIONS

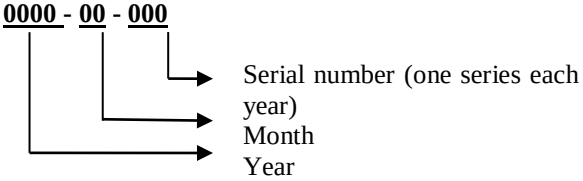
A. The report shall be accomplished as follows:

1. ***Name of Barangay Treasurer*** – the name of the barangay treasurer

2. ***Barangay –*** name of the barangay

3. ***Date –*** date of the report

4. ***RCD No. –*** the report number assigned by the BT. The RCD shall be numbered as follows:



5. ***COLLECTIONS***

a. ***Official Receipt/RCR***

- ***Date*** – date of OR and RCR
- ***Number*** – serial number of the OR issued by the Treasurer/Accountable Officer including the cancelled ones in chronological and numerical sequence; and number of the attached RCR for collections by the DBC

b. ***Payor/DBC –*** the name of the individual/entity who gave the amount or the DBC who remitted the collections

c. ***Nature of Collections –*** type of collections such as business tax, donations, fees, etc. as indicated on the face of the OR

d. ***Amount –*** amount of collection received

6. ***DEPOSITS***

a. ***Name of Bank/Branch –*** the name of the bank and its branch where the amount was deposited

b. ***Reference –*** reference documents used as basis in the remittance/deposit of the collections like the RCD number/validated deposit slip.

c. ***Amount –*** amount of deposits/remittances

7. ***ACCOUNTABILITY FOR ACCOUNTABLE FORMS***

a. ***Name of Forms and No. –*** the name(s) of the form(s) whether with money value (cash tickets) or without

money value (official receipts/etc.) for which this report is being made shall be written in the boxes provided.

b. Qty. and Serial no. – the quantity and the corresponding serial numbers of the forms on hand at the start of the period, those received, and those issued or transferred during the period covered; and the balance at the end of the period shall be entered in these columns

8. CERTIFICATION – shall be signed by the BT preparing the report

9. ACCOUNTING ENTRIES – shall be prepared by the Barangay Bookkeeper and approved by the C/M Accountant.

B. This report shall be prepared in three copies to be distributed as follows:

1. If the BT submits the RCD to the Accounting Division for the income and other receipts for the barangay –

Original	–	COA thru the Accounting Division together with the duplicate copy of the ORs
2nd copy	–	C/M Accountant's file
3rd copy	–	C/M Treasurer's file

2. If the BT, as a Deputized Collecting Officer submits the RCD and supporting documents to the C/M Treasurer –

Original	–	COA thru the Accounting Division together with the duplicate copy of the ORs
2nd copy	–	C/M Treasurer's file
3rd copy	–	Barangay Treasurer's file

C. Collections for the day should be deposited intact daily. Collections beyond the bank's cut-off should be deposited the next working day.

Annex 9.1

REPORT OF COLLECTIONS AND REMITTANCES

Name of Collecting Officer: _____ Date: _____
Barangay: _____ RCR No.: _____
City/Municipality: _____
Province: _____

A. COLLECTIONS

Official Receipt		Payor	Nature of Collection	Amounts
Date	Number			
TOTAL				

B. SUMMARY OF COLLECTIONS

Beginning Balance _____ 20 ___ P Add: Collections			List of Checks		
			Check No.	Payee	Amount
Cash					
Checks					
Total					

C. ACCOUNTABILITY FOR ACCOUNTABLE FORMS

Name of Form and No.	Beginning Balance			Receipt			Issued			Ending Balance		
	Qty	Inclusive Serial No.		Qty	Inclusive Serial No.		Qty	Inclusive Serial No.		Qty		
		From	To		From	To		From	To		From	To
With Money Value:												
Cash Tickets												
Without Money Value:												
Official Receipts												

D. CERTIFICATION:

I hereby certify that this Report of Collections and Remittances; and Accountable Forms including supporting documents are true and correct

_____ _____
Deputized Barangay Collector *Date*

E. ACKNOWLEDGMENT:

I hereby certify that the foregoing Report of Collections and Remittances and Accountable Forms including cash and supporting documents have been received.

_____
Barangay Treasurer
Date _____

Annex 9.1

REPORT OF COLLECTIONS AND REMITTANCES (RCR)

INSTRUCTIONS

A. The report shall be accomplished as follows:

1. ***Name of Collecting Officer***– the name of the collecting officer

2. ***Barangay –*** name of the barangay

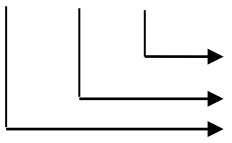
3. ***City/Municipality –*** name of the city/municipality where the barangay is located

4. ***Province*** – name of the province where the city/municipality is located

5. ***Date –*** date of the report

6. ***RCR No. –*** the report number assigned by the Collecting Officer. The RCR shall be numbered as follows:

0000 - 00 - 000



7. ***COLLECTIONS*** –

a. ***Official Receipts (OR)***

- ***Date***– date of OR
- ***Number*** –serial number of the OR issued by the Treasurer/Accountable Officer including the cancelled ones in chronological and numerical sequence

b. ***Payor –*** the name of the individual/entity who gave the amount

c. ***Nature of Collections –*** type of collections such as business tax, donations, fees, etc. as indicated on the face of the OR

d. ***Amount*** – amount of collection received

8. ***SUMMARY OF COLLECTIONS –*** A summary shall be prepared as shown in the report.

9. ***ACCOUNTABILITY FOR ACCOUNTABLE FORMS***

a. ***Name of Forms and No. –*** the name(s) of the form(s) whether with money value (cash tickets) or without money value (official receipts/etc.) for which this report is being made shall be written in the boxes provided

b. Qty. and Serial no. – the quantity and the corresponding serial numbers of the forms on hand at the start of the period, those received, and those issued or transferred during the period covered; and the balance at the end of the period shall be entered in these columns

10. CERTIFICATION – shall be signed by the Collecting Officer preparing the report

11. ACKNOWLEDGEMENT – shall be signed by the BT receiving the RCR. The validated deposit slips/official receipts shall be attached to the report.

B. This report shall be prepared in three copies to be distributed as follows:

Original	–	COA thru the Accounting Division together with the duplicate copy of the ORs
2nd copy	–	C/M Treasurer's file
3rd copy	–	Barangay Treasurer's file

C. Collections for the day should be deposited intact daily. Collections beyond the bank's cut-off should be deposited the next working day.

REPORT OF THE BANK DEBIT/CREDIT MEMOS
For the month of _____

Barangay: _____ City/Municipality: _____ RBDCM No.:_____
Barangay Treasurer: _____ Province: _____ Bank: _____

Date	Reference	Particular	Debit Memo Amount	Credit Memo Amount

Accounting Entries			
Account	*Account Code*	*Debit*	*Credit*

Prepared by:

_____
Name and Signature
Barangay Bookkeeper

Certified Correct:

_____
Name and Signature
City/ Municipal Accountant

Annex 10

Annex 10

REPORT OF BANK DEBIT/CREDIT MEMOS (RBDCM)

INSTRUCTIONS

A. This Report shall be accomplished as follows:

1. ***Barangay*** – name of the barangay

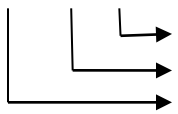
2. ***Barangay Treasurer –*** name of the barangay treasurer

3. ***City/Municipality –*** name of city/municipality

4. ***Province –*** name of province

5. ***RBDCM No. –*** report number assigned by BT. The RBDCM shall be numbered one series for each year:

0000- 00 – 000



Serial number (one series for each year)
Month
Year

6. ***Date –*** date appearing in Debit/Credit Memo

7. ***Reference –*** control number appearing in Debit/Credit Memo

8. ***Particular –*** information or details pertaining to the transaction

9. ***Amount –*** amount appearing in the Debit/Credit Memo shall be written in the corresponding column

B. This report shall be prepared monthly by the C/M Accountant in three copies to be distributed as follows:

Original	–	C/M Accountant basis for recording in the JCT and for submission to the COA Auditor
2nd Copy	–	Barangay Treasurer
3rd Copy	–	C/M Accountant

C. Accounting entries shall be prepared by the Barangay Bookkeeper and duly certified correct by the C/M Accountant.

D. The accounting entries shall be recorded in the JCT.

Annex 11

BANK RECONCILIATION STATEMENT
For the Period _____
(Date)

Barangay: _____ City/Municipality:_____
Tel. No. : _____ Province: _____
Bank Name: _____ Current Account No._____
Branch: _____

Particular	Book	Bank	Explanatory Comment
Unadjusted Balances	xxx	xxx	
Reconciling Items:			
Check Issued not taken up:			
By the Barangay	(xx)		
By the Bank		(xx)	
Check Issued Overstated:			
By the Barangay	xx		
By the Bank		xx	
Check Issued Understated			
By the Barangay	(xx)		
By the Bank		(xx)	
Deposits not taken up:			
By the Barangay	xx		
By the Bank		xx	
Deposits Overstated:			
By the Barangay	(xx)		
By the Bank		(xx)	
Deposit Understated:			
By the Barangay	xx		
By the Bank		xx	
Bank Debit/Credit Memos, Not take up by the Barangay:			
Debit Memo	(xx)		
Credit Memo	xx		
Other Reconciling Items			
Adjusted Balances	xx	xx	

Prepared by:

_____
City/Municipal Accountant

Annex 11

BANK RECONCILIATION STATEMENT (BRS)

INSTRUCTIONS

A. This statement shall be prepared by the Barangay Bookkeeper and shall be accomplished as follows:

1. ***Date*** – indicate the date covered by the statement
2. ***Barangay –*** name of the barangay
3. ***Tel. No. –*** the telephone number of the barangay
4. ***Bank Name –*** the bank where the account is maintained
5. ***Branch –*** the branch of the bank where the account is maintained
6. ***City/Municipality –*** name of the city/municipality where the barangay is located
7. ***Province –*** the province where the city/municipality is located
8. ***Current Account No. –*** is the depository account number for which the BRS is prepared
9. ***Particulars –*** details of reconciling items of the balances of the current account per barangay books and balance per bank statement to arrive at the adjusted balances
10. ***Book –*** unadjusted balance of cash per books, amount of reconciling items per books and the adjusted cash balance reconciled with bank
11. ***Bank –*** unadjusted balance of cash per bank statement, amount of reconciling items per bank and the adjusted cash balance reconciled with book
12. ***Explanatory Comment –*** brief comments on the reconciling items noted

B. The BRS shall be prepared to reconcile the cash balance per books and per bank. It shall be submitted to COA Auditor on or before the 20th of the following month.

C. The BRS shall be prepared based on the paid Disbursement Vouchers and Bank Statement supported by paid/negotiated/returned checks, DMs and CMs.

D. The BRS shall be certified correct by the City/Municipal Accountant.

E. The BRS shall be prepared in three copies to be distributed as follows:

Original	–	COA Auditor
2nd copy	–	City/Municipal Accountant file
3rd copy	–	PB/BT

Annex 12

Disbursement Voucher		DV No. :
Barangay:	City/Municipality:	Date :
Payee:	Province:	Fund:
Address:	TIN :	
Particulars		**Amount**

A. Certified as to existence of appropriation for obligation	**B. Certified** As to availability of funds for the purpose, and completeness and propriety of supporting documents	**C. Certified** as to validity, propriety, and legality of claim and approved for payment:
_____ (Signature Over Printed Name) Chairman, Committee on Appropriation Date : _____	_____ (Signature Over Printed Name) Barangay Treasurer Date : _____	_____ (Signature Over Printed Name) Punong Barangay Date : _____

D. Received Payment:

_____
Signature Over Printed Name

Check No.: _____
Bank Name:_____ Date: _____
OR No.: _____

E. Accounting Entries

Account	**Account Code**	**Debit**	**Credit**	

Prepared By:

_____ _____
Barangay Bookkeeper Date

Approved By:

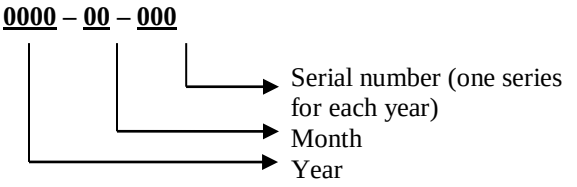
_____ _____
City/Municipal Accountant Date

DISBURSEMENT VOUCHER (DV)

INSTRUCTIONS

A. This form shall be accomplished as follows:

1. ***DV No. –*** number assigned to the disbursement voucher. It shall be numbered as follows:



2. ***Date –*** the date the DV is prepared
3. ***Barangay –*** name of the barangay
4. ***Payee –*** name of payee
5. ***City/Municipality –*** the city/municipality of the barangay
6. ***Province –*** province of the barangay
7. ***TIN –*** Tax Identification Number (TIN) of the claimant
8. ***Fund –*** fund against which the claim shall be charged (GF, STF, SKF)
9. ***Particulars –*** brief description of the expenses/expenditures for payment.
10. ***Amount –*** amount of the claim***.***
11. ***Box A –*** Certification of the Chairman of the Committee on Appropriations (CCA) as to existence of appropriations for obligations.
12. ***Box B –*** Certification of the BT as to availability of funds for the purpose and as to completeness and propriety of supporting documents.
13. ***Box C –*** Certification of the PB as to the validity, propriety and legality of the claim and approval of the PB on the payment covered by the DV***.***
14. ***Box D –*** acknowledgement by the claimant or his duly authorized representative on the receipt of the check and the date of receipt. The claimant/payee shall indicate the number and date of check, bank's name and branch, and number and date of OR/other relevant documents issued to acknowledge receipt of payment.
15. ***Box E Accounting Entries –*** the Barangay Bookkeeper shall prepare the necessary accounting entries for the particular transaction. Columns for account title, account code and the debited and credited amounts shall be filled up by the Barangay Bookkeeper and approved by the C/M Accountant.

B. DV shall be prepared in three copies to be distributed as follows:

Original	- COA auditor concerned thru the C/M Accountant
2nd copy	- BT file
3rd copy	- Payee

PETTY CASH VOUCHER	No. : _____
	Date : _____

Barangay:_____ City/Municipality:_____
Payee : _____ Province:_____

I. To be filled up upon request

Particulars	Amount	II. To be filled up upon liquidation Total Amount Granted - Total Amount Paid - Amount Refunded/ (Reimbursed) -
A. Requested by : _____ Name of Requestor		**C.** ☐ Received Refund ☐ Reimbursement Paid
Approved by : _____ Punong Barangay		_____ Barangay Treasurer
B. Paid by : _____ Barangay Treasurer **Cash Received by :** _____ Signature over Printed Name of Payee Date:_____		**D.** ☐ Liquidation Submitted by: ☐ Reimbursement Received by: _____ Signature over Printed Name of Payee Date:_____

Annex 13

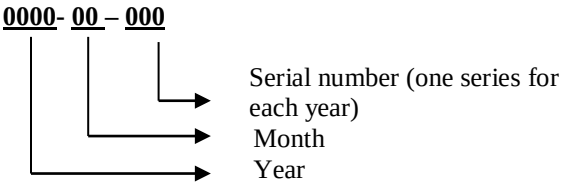
Annex 13

PETTY CASH VOUCHER (PCV)

INSTRUCTIONS

A. The PCV shall be accomplished as follows:

1. ***No.***– control number assigned by the BT and it shall be numbered as follows:



2. ***Date –*** date of the preparation of PCV

3. ***Barangay –*** name of the barangay

4. ***Payee –*** name of the payee requesting for petty cash advance.

5. ***City/Municipality –*** name of city or municipality of the barangay

6. ***Province –*** name of the province of the barangay

7. ***I. To be filled up upon request***

a. ***Particulars***– purpose of the petty cash advance request.

b. ***Amount*** – amount of petty cash requested.

c. ***Box A Requested by*** – shall be signed by the requestor.
Approved by – shall be signed by the PB

d. ***Box B Paid by*** – shall be signed by the BT
Cash Received by – shall be signed by the recipient of cash

8. ***II. To be filled up upon liquidation***

a. ***Total Amount Granted –*** amount of cash received by the requestor

b. ***Total Amount Paid Per OR No. ___ –*** total amount paid per invoice

c. ***Amount Refunded/Reimbursed –*** the difference between the total amount granted less amount paid

d. ***Box C –*** the BT shall check the appropriate box and affix his signature and place the date of the transaction

e. ***Box D –*** the payee shall check the appropriate box and affix his signature and place date of the transaction

B. The PCV shall be prepared in two copies to be distributed as follows:

Original	–	COA Auditor thru the C/M Accountant together with the supporting documents
2nd copy	–	BT file

Annex 13.1

PETTY CASH RECORD

Barangay, City/Municipality

Petty Cash Custodian: _____ Fund: _____

Date	Particulars	Reference	Debit	Credit	Balance

Annex 13.1

PETTY CASH RECORD

INSTRUCTIONS

A. The report shall be accomplished as follows:

1. ***Barangay, City/Municipality*** – the name of the barangay and the city/municipality it is located
2. ***Petty Cash Custodian –***name of Petty Cash Custodian
3. ***Fund –*** the fund from which petty cash originated
4. ***Date –***date of the source documents
5. ***Particulars –***details or nature of transactions
6. ***Reference –*** the number of the Petty Cash Voucher
7. ***Debit –*** the amount advanced by the Petty Cash Custodian or requestor based on the Petty Cash Voucher
8. ***Credit –***the amount disbursed out of the petty cash
9. ***Balance –***the difference between the Debit and Credit columns which shall be equal to the amount of cash in hand of Petty Cash Custodian

B. The designated Petty Cash Custodian shall maintain this record to monitor the cash advances balance as of specific date. All transactions for the day shall be recorded immediately.

C. At the end of each day, the debit and credit shall be ruled and closed. All totals shall be written legibly in ink and the balances shall be carried forward as opening balances of the Petty Cash Record for the next day.

D. The difference of the totals of Debit and Credit columns should reconcile with the running balance column.

Payroll

Period Covered: _____

Barangay: _____ City/Municipality: _____ Payroll No. _____

Barangay Treasurer: _____ Province: _____

No.	Name	Position	Compensation				Deductions			Net Amount Due	Signature of Recipient
			Salaries & Wages	Honoraria	Other Benefits	Total	BIR Witholding Tax		Total		

A. Certified as to availability of appropriation for obligation in the amount of _____.

Signature: _____

Printed Name: _____

Position: Chairman, Com. On Appropriations

Date: _____

B. Certified as to availability of funds, and completeness and propriety of supporting documents.

Signature: _____

Printed Name: _____

Position: Barangay Treasurer

Date: _____

C. Certified as to validity, propriety, and legality of claim and approved for payment.

Signature: _____

Printed Name: _____

Position: Punong Barangay

Date: _____

D. Certified that each official/employee whose name appears on the above roll has been paid the amount stated opposite his name

Signature: _____

Printed Name: _____

Position: Barangay Treasurer

Date: _____

E. Accounting Entries

Account Title	*Account Code*	*Debit*	*Credit*

Prepared By:

_____ _____

Barangay Bookkeeper Date

Approved by:

_____ _____

City/Municipal Accountant Date

Annex 14

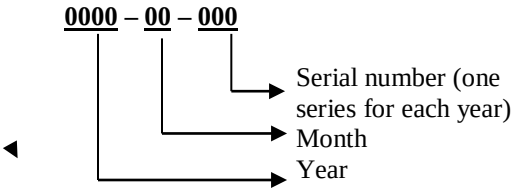
PAYROLL

INSTRUCTIONS

A. This form shall be accomplished as follows:

1. ***Heading–***

- ***a.*** ***Period Covered –*** period covered by the payroll
- ***b.*** ***Barangay –*** name of the barangay
- ***c.*** ***Barangay Treasurer –*** name of the Barangay Treasurer
- ***d.*** ***City/Municipality –*** the city or municipality of the barangay
- ***e.*** ***Province –*** province of the barangay
- ***f.*** ***Payroll No. –*** Number assigned to the payroll. This shall be numbered as follows:



2. ***No. –*** entry number of personnel covered in the payroll

3. ***Name –*** complete name of the officials/employees covered by the payroll

4. ***Position –*** position of the officials/employees

5. ***Compensation:***

- ***a.*** ***Salaries and Wages –*** amount of salaries and wages due the regular employees
- ***b.*** ***Honoraria –*** amount of honoraria due the barangay officials
- ***c.*** ***Other Benefits –*** other benefits and allowances due the officials and employees and/or wages of laborers for projects of barangay
- ***d.*** ***Total –*** total amount of salaries and wages, honoraria and other benefits due for the period

6. ***Deductions –*** amount of deductions from the salaries/honoraria of the officials and employees such as BIR withholding tax, etc.

- ***a.*** ***Total –*** total amount of deductions

7. ***Net Amount Due –*** gross income less total deductions

8. ***Signature of Recipient –*** signature of officials and employees receiving the net amount due

- ***Box A –*** Certification by the CCA as to availability of appropriation.

- ***Box B –*** Certification by the BT as to completeness and validity of supporting documents
- ***Box C –*** Certification by the PB as to validity, propriety and legality of the claim and approval for payment.
- ***Box D –*** Certification by the BT that the amount opposite the names has been paid to the officials and employees.
- ***Box E –*** Accounting entries to be prepared by the Barangay Bookkeeper and approved by the C/M Accountant. The date of preparation and approval shall be indicated.

B. The payroll shall be prepared in three copies to be distributed as follows:

Original Copy – COA auditor concerned, through the C/M Accountant
2nd copy – C/M Accountant's copy
3rd copy – BT's copy

LIQUIDATION REPORT _____ *Barangay, City/Municipality, Province*	No.:_____ Date:_____
PARTICULARS	**AMOUNT**
TOTAL AMOUNT SPENT ➡	
AMOUNT OF CASH ADVANCE PER DV NO._____DTD._____ ➡	
AMOUNT REFUNDED PER O.R. NO._____DTD_____ ➡	
AMOUNT TO BE REIMBURSED ➡	

Submitted by:	**Received by:**
_____ Accountable Officer _____ Date	_____ Accounting Unit _____ Date

ACCOUNTING ENTRIES

Account Titles	Account Code	Debit	Credit

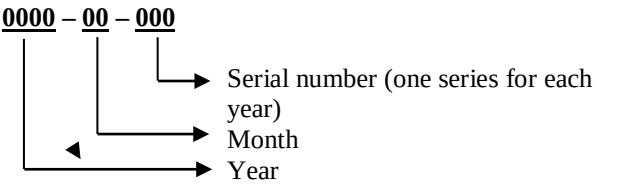
Prepared by: _____ Barangay Bookkeeper _____ Date	**Approved by:** _____ City/Municipal Accountant _____ Date

LIQUIDATION REPORT (LR)

INSTRUCTIONS

A. This report shall be accomplished as follows:

1. ***Barangay, City/Municipal, Province*** – name of the barangay and city/municipal and province of the barangay
2. ***LR No.*** **–** assigned number of the liquidation report. The LR shall be numbered as follows:



3. ***Date*** **–** date of report
4. ***Particulars*** **–** brief description of the cash advance being liquidated and the details of the expenses covered by the report
5. ***Amount*** **–** the corresponding amount of expenses/payments made out of the cash advance
6. ***Total Amount Spent*** **–** total payments/amount spent
7. ***Amount of Cash Advance*** **–** amount of cash received (indicate the date and the number of the check/DV)
8. ***Amount Refunded*** **–** is the excess amount of the cash advance (amount of cash advance less the total amount spent). Indicate the OR No. and date of the refund.
9. ***Amount to be Reimbursed*** **–** is the excess of the total amount spent over the cash advance received. A new DV shall be prepared for the reimbursement.
10. ***Submitted by*** **–** to be signed by the accountable officer submitting the LR and the date of submission
11. ***Received by*** **–** to be signed by Accounting Unit acknowledging the receipt of the LR.
12. ***Accounting Entries*** **–** to be prepared by the Barangay Bookkeeper and approved by the C/M Accountant. The date of preparation and approval shall be indicated.

B. It shall be prepared in three copies to be distributed as follows:

Original Copy – COA auditor concerned, thru the C/M Accountant
2nd copy – C/M Accountant's file
3rd copy – Accountable Officer's file

C. Supporting documents shall be attached like invoices, ORs, and other pertinent documents.

D. In case of cash advance for travel, supporting documents shall include plane/bus/boat tickets or equivalent, boarding pass, certificate of appearance.

Annex 16

Barangay _____
City/ Municipal _____
Province _____

Transmittal Letter

Date _____

To: The City/Municipal Accountant
City/ Municipality_____

Sir/Madam:

We submit herewith the following documents: a) certified copy of the cashbook; b) copy of PBCs issued; and c) original of the Disbursement Voucher/payroll issued for the (month and year) duly acknowledged by the payees:

A.DV/Payroll		Check		Payee	Amount	PB Certification	
Date	No.	Date	No.			Date	No.
B. RCDs and Supporting Documents (RCRs, ORs and VDS)							
Date				No.		Amount	
C. Other Reports							
Date				Type of Report			

Please acknowledge receipt hereof.

Very truly yours,

_____
Barangay Treasurer

Noted by:

_____
Punong Barangay

Received by:

_____
Signature, Name and Designation

Annex 16

TRANSMITTAL LETTER (TL)

INSTRUCTIONS

A. This form in letter format shall be accomplished by the Barangay Treasurer to submit the documents pertaining to paid obligations of the Barangay, as follows:

1. ***Barangay*** – name of the barangay
2. ***City/Municipality –*** city/municipality where the barangay is located
3. ***Province –*** the province where the barangay is situated
4. ***Date –*** the date of preparation of the TL
5. ***To: –*** the addressee of the TL who is the City/Municipal Accountant
6. ***A. DV/Payroll –*** the dates and numbers of the PAID DVs/Payrolls and the following columns to be filled up:
    a. Check Date and No.
    b. Payee
    c. Amount of the Check paid
    d. PB Certification – Date and No.

    B. RCDs and Supporting Documents (RCRs, ORs and VDS) – the dates, numbers and amounts of the RCDs and RCRs

    C. Other Reports – the date and type of other report/s to be transmitted
7. ***Noted by:–*** to be signed by the Punong Barangay
8. ***Very truly yours, –*** to be signed by the Barangay Treasurer
9. ***Received by:–*** to be signed by the receiving staff of the City/Municipal Accountant

B. It shall be prepared in three copies distributed as follows:

Original	–	to the C/M Accountant
2nd copy	–	to the Auditor
3rd copy	–	BT file

Annex 17

Summary of Petty Cash Disbursements

For the period _____

Barangay: _____ City/Municipality: _____

Barangay Treasurer: _____ Province: _____

Date	OR No./Ref	PCV No.	Payee	Particulars	Amount

Certification:

I hereby certify that the foregoing is the complete list of all payments from the Petty Cash for the period _____. The original copies of all paid Petty Cash Vouchers and supporting documents are hereto attached.

_____
Barangay Treasurer/Petty Cash Custodian

_____
Date

SUMMARY OF PETTY CASH DISBURSEMENTS (SPCD)

INSTRUCTIONS

A. This form shall be prepared to summarize the payments made out of petty cash. It shall be attached to the DV for the replenishment and to the LR for the liquidation of the petty cash together with supporting documents. This form shall be accomplished as follows:

1. ***For the period –*** period covering the report/Summary
2. ***Barangay –*** name of the barangay
3. ***Barangay Treasurer –*** name of the Barangay Treasurer
4. ***City/Municipality –*** the city or municipality of the barangay
5. ***Province –*** province of the barangay
6. ***Date –*** date indicated in the OR/Ref.
7. ***OR No./Ref*** – indicate the OR No./Ref.
8. ***PCV No. –*** indicate the PCV No. or any other reference evidencing payments
9. ***Payee –*** name of the payee
10. ***Particulars –*** brief description of the nature of payments
11. ***Amount –*** amount paid
12. ***Certification –*** to be signed by the BT

B. It shall be prepared in two copies to be distributed as follows:

Original	–	to the local auditor concerned, through the C/M Accountant (attached to DV for replenishment)
2nd copy	–	to the BT

REPORT OF ACCOUNTABILITY FOR ACCOUNTABLE FORMS

For the Month of _____, 20____

Barangay: _____ City/Municipality: _____ RAAF No. _____

Barangay Treasurer: _____ Province: _____

Name of Form	Beginning Balance			Receipt			Issued			Ending Balance		
	QTY	Inclusive Serial Nos.		QTY	Inclusive Serial Nos.		QTY	Inclusive Serial Nos.		QTY	Inclusive Serial Nos.	
		From	To		From	To		From	To		From	To
A. With Money Value												
Cash Tickets												
B. Without Money Value												
Official Receipts												
Checks												

CERTIFICATION:

I hereby certify that the foregoing is a true statement of all accountable forms received, issued and transferred by me during the above-stated period and the correctness of the beginning balances.

_____ _____

(Name and Signature) Date

Barangay Treasurer

Annex 18

Annex 18

REPORT OF ACCOUNTABILITY FOR ACCOUNTABLE FORMS (RAAF)

INSTRUCTIONS

A. This shall be accomplished as follows:

1. ***For the Month of __, 20__*** – the month and year covered by the report

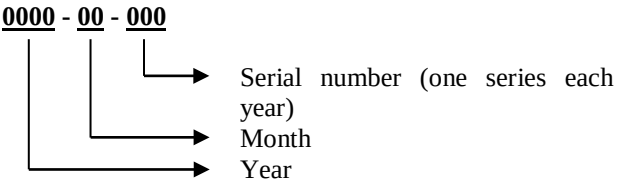
2. ***Barangay –*** name of the barangay

3. ***Barangay Treasurer –*** name of the barangay treasurer

4. ***City/Municipality –*** name of city/municipality

5. ***Province –*** name of province

6. ***RAAF No. –*** number of the report assigned by BT. The RAAF shall be numbered by one series per year



7. ***Name of Form*** – name of accountable forms under the custody of BT

8. ***Beginning Balance*** – quantity accountable forms available at the beginning of the month

9. ***Receipt*** – quantity of accountable forms received during the month

10. ***Issuance*** – quantity of accountable forms issued during the month

11. ***Ending Balance*** – quantity of accountable form still in the custody of BT at the end of the month.

B. The BT shall certify the correctness of RAAF.

C. This report shall be prepared monthly by the BT in three copies to be distributed as follows:

Original	–	COA Auditor
2nd Copy	–	C/M Accountant
3rd Copy	–	Barangay Treasurer

D. The barangay shall prepare one RAAF for all accountable forms (official receipts, cash tickets, and checks) received and issued during the month.

Annex 19

ACKNOWLEDGEMENT RECEIPT FOR DONATED PROPERTY, EQUIPMENT, SUPPLIES AND MATERIALS

Barangay : _____ Date : _____

Province/City/Municipality : _____ ARDPESM No.: _____

Donor's Name : _____

Authorized Representative : _____

Address: _____

Quantity	Unit	Description	Value
Total			

Purpose of Donation:

_____

_____

Received the donated articles for the purpose stated above.

_____

Printed Name and Signature of the Punong Barangay/
Authorized Representative

Conforme:

_____

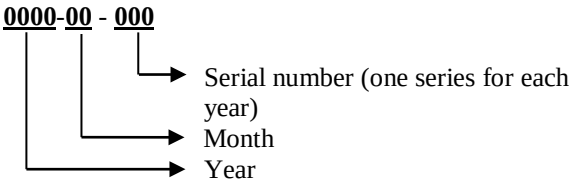
Printed Name and Signature of the Donor/
Authorized Representative

ACKNOWLEDGEMENT RECEIPT FOR DONATED PROPERTY, EQUIPMENT, SUPPLIES AND MATERIALS (ARDPESM)

INSTRUCTIONS

A. This shall be prepared by the Barangay Treasurer upon receipt of donated supplies and materials. This form shall be accomplished as follows:

1. ***Barangay –*** name of the barangay
2. ***Province/City/Municipality –*** province/city/municipality where the barangay is located
3. ***Date –*** date of the ARDPESM
4. ***ARDPESM No. –*** the ARDPESM shall be numbered as follows:



5. ***Donor's Name –*** name of the donor
6. ***Authorized Representative –*** the name of donor's authorized representative
7. ***Address –*** address of donor
8. ***Quantity –***quantity of items received
9. ***Unit –*** unit of measure such as pieces, box of 24, kg, liter/ml
10. ***Description –*** brief description or details of the items received
11. ***Value –*** cost/value of the supplies and materials received
12. ***Total –***total value of the donated items
13. ***Purpose of Donation –*** the purpose of donation as stated/specified by the donor
14. ***Acknowledgment Portion –***signature over printed name of the Punong Barangay/authorized representative
15. ***Conforme –*** signature over printed name of the donor or authorized representative

B. The ARDPESM shall be prepared in three copies and distributed as follows:

Original	–	Donor
2nd copy	–	C/M Accountant
3rd copy	–	BT file

Annex 20

REQUISITION AND ISSUE SLIP					
Barangay: Tel. No.:		City/Municipality: Province:		RIS No.: Date:	
Requisition				Issuance	
Unit	Particulars		Quantity	Qty.	Remarks
Purpose:					
	Requested by:	***Approved by:***	***Issued by:***		***Received by:***
Signature					
Printed Name					
Designation					
Date					

Annex 20

REQUISITION AND ISSUE SLIP (RIS)

INSTRUCTIONS

A. This shall be prepared by the requesting person to request for supplies, property and equipment. This form shall be accomplished as follows:

1. ***Barangay –*** name of the barangay
2. ***Tel. No.*** – contact number of the barangay
3. ***City/Municipality –***city/municipality where the barangay is located
4. ***Province –*** province where the barangay is located
5. ***RIS. No. –*** the RIS shall be numbered as follows:

0000-00-000

Serial number (one series for each year)
Month
Year

6. ***Date –*** date of the preparation of the RIS
7. ***Requisition:***
- ***a.*** ***Unit –*** unit of measurement of the supplies or property being requisitioned
- ***b.*** ***Particulars –*** description of the supplies or property being requested
- ***c.*** ***Quantity –*** number/quantity of supplies or property requested

8. ***Issuance*:**
- ***a.*** ***Quantity –*** actual quantity issued
- ***b.*** ***Remarks***– comments

9. ***Purpose***– brief explanation of the purpose of the requisition
10. ***Requested by***– signature, name and designation of the person who requested the item and date of request
11. ***Approved by***– signature, name and designation of the person who approved the issuance and date of approval by the Punong Barangay.
12. ***Received by*** – signature, name and designation of the person who received the item and date of receipt
13. ***Issued by***– signature, name and designation of the person who issued the item requisitioned and date of issue

B. The RIS shall be distributed as follows:

Original – Barangay Treasurer
2nd copy – Requesting person
3rd copy – C/M Accountant

INVENTORY CUSTODIAN SLIP

Barangay:_____ City/Municipality:_____ ICS No.:__
Tel. No.:_____ Province:_____

Quantity	Unit	Description	Estimated Useful Life

Received by:	Issued by:
_____ (Signature over Printed Name) Recipient _____ Date	_____ (Signature over Printed Name) Barangay Treasurer _____ Date

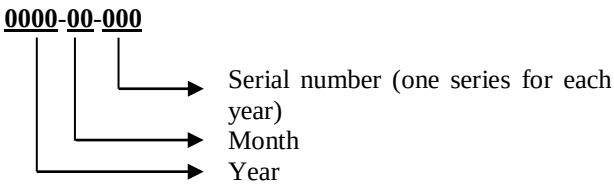
Annex 21

INVENTORY CUSTODIAN SLIP

INSTRUCTIONS

A. This form shall be prepared by the Barangay Treasurer for the issuance of supplies. This form shall be accomplished as follows:

1. ***Barangay –*** name of the barangay
2. ***Tel. No. –*** contact number of the barangay
3. ***City/Municipality –*** city/municipality where the barangay is located
4. ***Province –*** province where the barangay is located
5. ***ICS. No. –*** the ICS shall be numbered as follows:



6. ***Quantity –*** number of units given to the employee or user of the supplies
7. ***Unit –*** Unit of measurement
8. ***Description –*** brief description or details of the items issued to the employee/user
9. ***Estimated Useful Life –*** estimated useful life of the item issued

B. The ICS shall be prepared in two copies to be distributed as follows:

Original–	Barangay Treasurer
2nd copy–	Requesting person

C. The recipient of the supplies shall sign the Received by portion and indicate the date of receipt. The official issuing the supplies shall sign the *Issued by* portion.

Annex 22

STOCK CARD

Supplies: _____ Supplies Number: _____

Description: _____

Date	Reference	Quantity Received	Issuance		Balance
			Quantity	Received by	

Annex 22

STOCK CARD

INSTRUCTIONS

A. This form shall be used to record all receipts and issuances of supplies. It shall be maintained by the Barangay Treasurer for each item of supply. This form shall be accomplished as follows:

1. ***Supplies –*** name of the supply
2. ***Description –*** brief description of the supply
3. ***Supplies Number –*** number code of the supply
4. ***Date –*** date of entry
5. ***Reference –*** document used as a basis in recording the receipt or issuance of supplies
6. ***Quantity Received –*** actual quantity received
7. ***Issuance:***
  a. ***Quantity –*** actual quantity issued
  b. ***Received by –*** signature, name and designation of the person who received the supplies and date of receipt
8. ***Balance –*** running balance of the quantity of supplies in stock

Annex 23

PURCHASE REQUEST

Barangay: _____
City/Municipality: _____
Province: _____

P.R. No.: _____
Date: _____

REQUISITION

Item Number	Qty	Unit of Measurement	Item description	Estimated Unit Cost	Estimated Amount
Total Estimated Amount					

Purpose:

Requested by:

_____
Signature over Printed Name
Requesting Officer

_____
Date

Approved:

_____
Signature over Printed Name
Punong Barangay

_____
Date

Annex 23

PURCHASE REQUEST

INSTRUCTIONS

A. This form shall be prepared by the requesting person for the procurement of supplies, property and equipment. It shall be the basis in preparing the PO. This form shall be accomplished as follows:

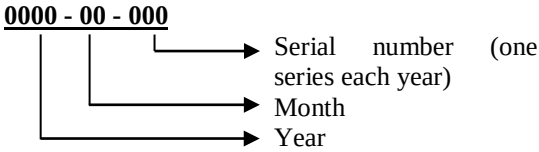
1. ***Heading –***

a. ***Barangay –*** name of barangay

b. ***City/Municipality –*** name of city/municipality of the barangay

c. ***Province –*** name of province of the barangay

d. ***P.R. No. –*** the PR shall be numbered as follows:



e. ***Date –*** date of PR preparation

2. ***Item Number –*** code of the requested goods

3. ***Qty. –*** quantity of the goods requested

4. ***Unit of Measurement –*** unit of measure of the goods requested

5. ***Item Description –*** brief description of the goods

6. ***Estimated Unit Cost –*** estimated cost per unit of the goods being requested

7. ***Estimated Amount –*** estimated total amount of the goods requested

8. ***Total Estimated Amount –*** total estimated amount of all the goods specified in the request

9. ***Purpose –*** a brief explanation on the purpose of the request

10. ***Requested by –*** name and signature of the person requesting the purchase of goods

11. ***Date –*** date of requisition

12. ***Approved by –*** signature of the Punong Barangay

13. ***Date –*** date of approval

B. The PR shall be distributed as follows:

Original–	attachment to the Purchase Order
2nd copy–	to the requesting officer
3rd copy–	to the Barangay Treasurer

PURCHASE ORDER

Barangay: _____ Tel. No.: _____	City/Municipality: _____ Province: _____
Supplier: _____ Address: _____ TIN: _____	PO No.: _____ Date: _____ Mode of Procurement: ☐ Bidding ☐ Negotiated ☐ Over the Counter

Gentlemen:

Please deliver to this office the following articles subject to the terms and conditions contained herein

Place of Delivery: Date of Delivery:	Delivery Term: Payment Term:

Unit	Particulars	Quantity	Unit Cost	Amount

(Total Amount in words)

In case of failure to make full delivery within the time specified above, a penalty of one-tenth (1/10) of one percent for everyday of delay shall be imposed.

Very truly yours,

_____

Punong Barangay

Conforme: _____ (Signature over Printed Name) Supplier _____ Date	Existence of Available Appropriations of _____ (Signature over Printed Name) Chairman, Committee on Appropriations _____ Date

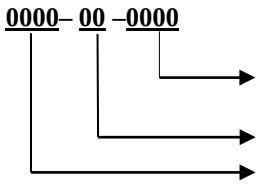
Annex 24

PURCHASE ORDER (PO)

INSTRUCTIONS

A. This form in a letter format shall be accomplished as follows:

1. ***Barangay –*** name of the barangay
2. ***City/Municipality –*** name of the city/municipality of the barangay
3. ***Province –*** name of province of the barangay
4. ***Supplier/Address/TIN*** - name and address and TIN of the supplier
5. ***P.O. No. –*** the number assigned to the PO which shall be as follows:



6. ***Date –*** date of the preparation of the PO
7. ***Mode of Procurement –*** mode of procurement such as public bidding, Procurement Service, negotiated purchase, etc.
8. ***Place/Date of Delivery –*** place of delivery and definite date/s of delivery, if not stated shall mean seven (7) days after the receipt of the PO by the supplier
9. ***Delivery Term –*** delivery term i.e. FOB destination, FOB shipping point.
10. ***Payment Term –*** specified period required when the delivered goods shall be paid and discounts allowed such as 2/10, n/30
11. ***Unit –*** unit of measurement of the supplies and property (i.e. box, bottle, piece, etc.)
12. ***Particular –*** brief description of the supplies/goods ordered
13. ***Quantity –*** quantity of goods ordered
14. ***Unit Cost –*** cost per unit of the supplies/goods ordered
15. ***Amount*** – total amount of the goods ordered
16. ***Penalty Clause –*** penalty imposed by the agency in case of non-compliance with the term
17. ***Conforme –*** signature over printed name of supplier or his representative signifying his approval to the term set by the agency

18. Existence of Available Appropriations of: **–** shall be signed by the Chairman, Committee on Appropriations with the amount specified

B. It shall be prepared in three copies distributed as follows:

Original–	to the Supplier for conforme to the terms of the PO and attachment to the DV upon request for payment
2nd Copy–	BT file
3rd Copy –	COA Auditor

Annex 25

PROPERTY ACKNOWLEDGEMENT RECEIPT

Barangay: City/Municipality: PAR No.:
Tel. No.: Province:

Quantity	Unit	Description	Property No.	Date Acquired	Cost

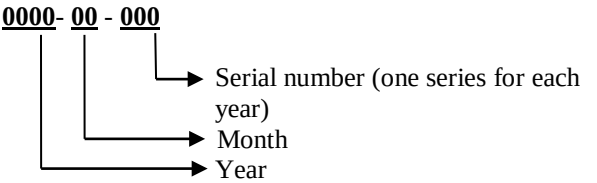
Received by:	Issued by:
_____ *Signature over Printed Name* Recipient/User _____ Date	_____ *Signature over Printed Name* Barangay Treasurer _____ Date

PROPERTY ACKNOWLEDGEMENT RECEIPT

INSTRUCTIONS

A. This shall be prepared by the Barangay Treasurer upon issuance of property and equipment. This form shall be accomplished as follows:

1. ***Barangay –*** name of the barangay
2. ***City/Municipality –*** city/municipality of the barangay
3. ***Province –*** province of the barangay
4. ***PAR. No. –*** the PAR shall be numbered as follows:



5. ***Quantity –*** number of units given to the employee or user of the property
6. ***Unit –*** Unit of measurement
7. ***Description –*** brief description or details of the items issued to the employee/user
8. ***Property No. –*** assigned property number of the property issued
9. ***Date Acquired –*** acquisition date of the property
10. ***Cost –*** cost/value of the property received

B. The PAR shall be prepared in two copies and distributed as follows:

Original– Barangay Treasurer
2nd copy – End-user
3rd copy – C/M Accountant

C. The recipient who is accountable for the property or equipment shall sign in the "receive by" portion of the form and indicate the date of receipt.

D. The Barangay Treasurer shall sign in the *Issued by* portion and indicate the date.

E. The PAR shall be renewed every three years or every time there is a change custodianship/user of the property.

PROPERTY/EQUIPMENT CARD

_____
Barangay, City/Municipality, Province

Property No.

Property/Equipment:
Location:

Description: Classification:

Date of Acquisition (Purchase/Donation)	Particulars	Cost	Improvement/Repairs	Transfers/etc.	Total

Annex 26

Annex 26

PROPERTY/EQUIPMENT CARD

INSTRUCTION

A. This ledger card shall be used by the BT to record the acquisition, disposal and other information about the property/equipment owned by the barangay. This ledger shall be accomplished as follows:

1. ***Barangay, City/Municipality, Province –*** name of the barangay which owned the property/equipment, name of city/municipality and province where the barangay is situated

2. ***Property No. –*** the assigned number of the property

3. ***Property/Equipment –*** name of the property/equipment

4. ***Location –*** location of the property/equipment

5. ***Description –*** brief description of the property/equipment

6. ***Classification –*** the category of the property/equipment

7. ***Date of Acquisition (Purchase/Donation) –*** date the equipment is purchased/donated

8. ***Particulars –*** brief description of the property/equipment

9. ***Cost –*** the cost/amount of the acquired property/equipment

10. ***Improvements/Repairs –*** amount of improvements made on the property/ equipment

11. ***Transfers/etc –*** amount of transfers

12. ***Total –*** the total amount/running balance of the property/equipment

Annex 26.1

Property/Equipment Ledger Card

Barangay _____ City/Municipality, Province _____

Property/Equipment:

Description:

Account Code:

Est. Useful Life:

Rate of Depreciation:

Date	Reference	Receipt			Accumulated Depreciation	Transfer/ Adjustment	Balance
		Qty.	Unit Cost	Total Cost			

Annex 26.1

PROPERTY/EQUIPMENT LEDGER CARD

INSTRUCTION

A. This ledger card shall be used by the C/M Accountant as subsidiary ledgers for all property and equipment of the barangay. This ledger shall be accomplished as follows:

1. ***Barangay, City/Municipality, Province –*** name of the barangay which owned the property/equipment, name of city/municipality and province where the barangay is situated
2. ***Property/Equipment***– name of the property/equipment
3. ***Description –*** brief description of the property/equipment
4. ***Account Code –*** account code as provided in the Chart of Accounts
5. ***Est. Useful Life***– estimated useful life of property/equipment as determined by COA
6. ***Rate of Depreciation***– rate of depreciation per month to be recorded in the books of accounts
7. ***Date***– date of the source document
8. ***Reference*** – reference documents used as the basis in the recording the transactions such as JV
9. ***Receipt-Qty./Unit Cost/Total Cost –*** the number of quantity received, the unit cost and the total cost of the property/equipment
10. ***Accumulated Depreciation –*** the amount of depreciation charged to the property/equipment
11. ***Transfer/Adjustment –*** the cost of property/equipment transferred to other agency or disposed, and adjustments made to the account
12. ***Balance –*** the difference between the total cost of the property/equipment less the accumulated depreciation and transfers/adjustments, if any

B. The P/ELC shall be kept for each class of property/equipment to record the acquisition, description, custody, estimated life, depreciation, disposal and other information about the property/equipment.

C. Transactions shall be posted promptly from source documents.

Annex 27

ACCEPTANCE AND INSPECTION REPORT

Barangay: Tel. No.:		City/Municipality: Province:	
Supplier PO No.: Date:	Invoice No.: Date:	AIR No.: Date:	RIS No.: Date:

Unit	Description	Quantity

ACCEPTANCE	INSPECTION
Date Received:	Date Inspected:
☐ Complete	☐ Inspected, verified as to quantity and specifications
☐ Partial (Pls. specify quantity received	
Signature over Printed Name Barangay Treasurer	Signature over Printed Name Authorized Inspector

ACCEPTANCE AND INSPECTION REPORT (AIR)

INSTRUCTIONS

A. This report shall be accomplished as follows:

1. ***Barangay –*** name of the barangay
2. ***City/Municipality –*** city/municipality of the barangay
3. ***Province –*** province of the barangay
4. ***Supplier –*** name of the supplier
5. ***PO No. –*** number of the Purchase Order
6. ***Date –*** date of the Purchase Order
7. ***Invoice No. –*** number of the Invoice
8. ***Date –*** date of the Invoice
9. ***AIR No. –*** number of the report
10. ***Date –*** date of the AIR
11. ***RIS No. –*** number of the report
12. ***Date –*** date of the RIS
13. ***Unit –*** unit of measurement such as ream, boxes, rolls, etc.
14. ***Description –*** brief description or details of the items purchased
15. ***Quantity –*** number of units purchased such as 20, 10, etc.

B. The AIR shall be prepared in three copies distributed as follows:

Original	–	to the C/M Accountant to be attached to the duplicate of PO and PR
2nd copy	–	to be attached to the DV together with the originals of the PO and PR
3rd copy	–	BT file

C. The Property Officer shall acknowledge receipt of the items by indicating his name and signature thereon, with check " b " mark whether a complete or partial (specify quantity received) delivery was made. Indicate the date of receipt.

D. This report shall be signed by the authorized Inspection Officer who conducted the inspection and verification of the items to determine if the items conform with the given specifications. Indicate the date of inspection.

Return and Receipt of Property/Equipment

Date: _____

This is to acknowledge receipt of the Property/Equipment

Property/Equipment Description	Qty	Property No.	End user/Office	Remarks

Returned by:

_____

Signature over Printed Name

Received by:

_____

Signature over Printed Name

Annex 28

Annex 28

RETURN AND RECEIPT OF PROPERTY/EQUIPMENT (RRPE)

INSTRUCTIONS

A. This form shall be prepared by the BT who is the recipient of the returned obsolete/unserviceable property. This form shall be accomplished as follows:

1. ***Date –*** date of the preparation of Returned and Receipt of Property/Equipment
2. ***Property/Equipment Description –*** brief description of the returned property
3. ***Qty. –*** number of units of returned property
4. ***Property No. –*** assigned property number of the returned property
5. ***End user/Office –*** name of person and office returning the unserviceable/obsolete property
6. ***Remarks –*** comments
7. ***Returned by –*** name and signature of the person returning the unserviceable property
8. ***Received by –*** name and signature of the recipient of the returned unserviceable property

B. The Returned and Receipt of Property/Equipment shall be prepared in three (3) copies and distributed as follows:

Original– Accountable Person
2nd copy– Barangay Treasurer
3rd copy– C/M Accountant

Inventory, Inspection and Appraisal Report

Barangay:
Tel. No.:

City/Municipality:
Province:

IAR No.:
Page:

INVENTORY								INSPECTION			SALE	
Date Acquired	Particulars	Property No.	Qty.	Unit Cost	Total Cost	Accumulated Depreciation	Net Book Value	Appraised Value	Mode of Disposition	Remarks	OR No.	Amount

Prepared By:

Signature over Printed Name
Barangay Treasurer

Date: _____

Certified Correct as to Cost and Depreciation:

Signature over Printed Name
City/Municipal Accountant

Date: _____

I certify to have inspected each and every article enumerated in this report.

Signature over Printed Name
Authorized Inspector

Date: _____

I certify to have witnessed the disposal of the articles enumerated in this report.

Signature over Printed Name
Authorized Witness

Date: _____

Approved by:

Signature over Printed Name
Punong Barangay

Date

Annex 29

INVENTORY, INSPECTION AND APPRAISAL REPORT

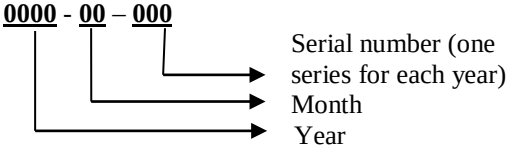
INSTRUCTIONS

A. This report shall be rendered by the Barangay Treasurer to report all property of the barangay subject to disposal. This form shall be accomplished as follows:

To be accomplished by the BT:

1. Heading –

- ***a. Barangay–*** name of the barangay
- ***b. Tel. No. –***telephone number of the barangay
- ***c. City/Municipality –***name of the city/municipality of the barangay
- ***d. Province –***name of the province of the barangay
- ***e. IIAR No. –*** the IIAR shall be numbered as follows:



- ***f. Page -***number assigned to the sheet

2. Date Acquired – date of acquisition of property

3. Particulars – a brief description of the PPE

4. Property No. – assigned property number by the BT

5. Qty. – quantity of PPE

6. Prepared by/Date – name and signature of the BT

7. Sale

- ***a. OR No. –*** number of the issued OR
- ***b. Amount –*** amount in peso on the sale of asset

To be filled out by the City/Municipality Accountant/Bookkeeper

8. Unit Cost – unit cost of the property and equipment

9. Total Cost – quantity multiplied by the unit cost of the property and equipment

10. Accumulated Depreciation – total amount of depreciation charged to the property and equipment

11. Net Book Value – the difference between the total cost of the property and equipment PPE less the accumulated depreciation

12. Certified Correct by/Date – Name and signature of the City/Municipality Accountant

To be filled out by the Authorized Inspector

13. ***Appraised Value –*** appraised value of the unserviceable property and equipment

14. ***Mode of Disposition –*** modes of disposing the PPE such as sale, donation, destruction, etc.

15. ***Remarks –*** additional information on the condition of the property inspected

16. ***Certification by/Date –*** name and signature of the authorized inspector and the date of inspection

To be filled out by the witness

17. ***Certification by/Date –*** name and signature of the witness/date when witnessed in the actual disposal

By the Punong Barangay

18. ***Approved by –*** name and signature of the Punong Barangay

B. The Inventory, Inspection and Appraisal Report (IIAR) shall be distributed as follows:

Original– C/M Accountant as basis for drawing a JV and shall serve as its supporting document

2nd copy– Barangay Treasurer

3rd copy– file copy of C/M Accountant

Report on Inventory of Property and Equipment

As of _____

Barangay: _____ City/Municipality: _____

Tel. No.: _____ Province: _____

For which _____ is accountable

(Name of Accountable Officer)(Official Designation)

Article	Description	Property /ICS Number	Unit of Measure	Unit Value	Balance PEC (Quantity)	On Hand per count (Quantity)	Shortage/Overage		Remarks
							Quantity	Value	
Part A – Property and equipment covered by PAR									
Part B – Property and equipment covered by ICS									

Prepared by:

_____
Signature over Printed Name
Barangay Treasurer
Member, Inventory Committee

_____
Signature over Printed Name
Punong Barangay or Representative
Chairman, Inventory Committee

_____
Date

Approved by:

_____
Signature over Printed Name
Punong Barangay

_____
Date

Annex 30

Annex 30

REPORT ON INVENTORY OF PROPERTY AND EQUIPMENT (RIPE)

INSTRUCTIONS

A. This shall be prepared by the Inventory Committee and approved by the Punong Barangay. This report gives information on the physical existence and condition of the property and equipment, including those unrecorded. This form shall be accomplished as follows:

- Part A – Property and equipment covered by PAR
- Part B – Property and equipment covered by ICS

1. ***As of –*** date the count was conducted
2. ***Article –*** type of supplies, property and equipment being counted
3. ***Description –*** brief description of the items
4. ***Property/ICS No. –*** assigned property number in case of property and equipment, and ICS No. in case of items considered as inventory
5. ***Unit of Measure –*** unit of measurement used
6. ***Unit value –*** cost per unit of the items
7. ***Balance per PEC –*** number of items as appearing in the Stock Card and PEC
8. ***On Hand per Count –*** number of items per physical count
9. ***Shortage/Overage –*** excess/deficiency of the quantity and total value of items per Stock Card/PEC over that of the physical count
10. ***Remarks –*** conditions and other information related to supplies, property and equipment

B. The RIPE shall be submitted at year-end and distributed as follows:

Original – COA Auditor
2nd copy – to the C/M Accountant for reconciliation with the recorded of property and equipment
3rd copy – to the BT for reconciliation with the recorded property and equipment in the Property/Equipment Card

C. The first six columns shall be filled out by the Barangay Treasurer while the last four columns shall be filled out by the Inventory Committee.

REPORT ON INVENTORY OF SUPPLIES AND MATERIALS

As of _____

Barangay : _____ City/Municipal: _____

Tel. No. : _____ Province: _____

For which _____ is accountable, having assumed accountability on _____

(Name of Accountable Officer) *(Official Designation)* *(Date of Assumption)*

ARTICLE	DESCRIPTION	STOCK NUBMER	UNIT OF MEASURE	UNIT VALUE	BALANCE PER CARD (Quantity)	ON HAND PER COUNT (Quantity)	SHORTAGE/ OVERAGE		REMARKS
							Quantity	Value	

Prepared by:

Approved by:

_____
Signature over Printed Name
Barangay Treasurer
Member, Inventory Committee

_____
Date

_____
Signature over Printed Name
Punong Barangay or Representative
Chairman, Inventory Committee

_____
Date

_____
Signature over Printed Name
Punong Barangay

_____
Date

Annex 31

REPORT ON INVENTORY OF SUPPLIES AND MATERIALS (RISM)

INSTRUCTIONS

A. This shall be prepared by the Inventory Committee and approved by the Punong Barangay. This report gives information on the physical count of inventory items by type, including those unrecorded such as Office Supplies, Accountable Forms, Drugs and Medicines, Food/Non-food Inventory, etc. which are owned by the Barangay. This form shall be accomplished as follows:

1. ***As of*** – date the count was conducted
2. ***Barangay –*** name of the barangay
3. ***City/Municipality –*** name of the city/municipality of the barangay
4. ***Province –*** name of the province of the barangay
5. ***Article –*** brief description of item or article (e.g. folder, bond paper, ball pen)
6. ***Description –*** brief description of the article/item (e.g. file tagboard for legal size, 210mm x 297mm (A4) min. of 70 gms, fine point black)
7. ***Stock Number –*** assigned stock number by the BT
8. ***Unit of measure –*** piece, ream, box
9. ***Unit value –*** cost per quantity of the item
10. ***Balance per Card –*** quantity of items or articles appearing in the Supplies Ledger Card
11. ***On Hand per Count –*** quantity of items or articles per physical count
12. ***Shortage/Overage –*** excess/deficiency of the quantity and value of items or articles per Supplies Ledger Card
13. ***Remarks –*** whereabouts, conditions and other relevant information relative to inventories

B. The RISM shall be submitted at year-end and distributed as follows:

Original	–	COA Auditor
2nd copy	–	to the C/M Accountant for reconciliation with the recorded of inventory
3rd copy	–	to the BT for reconciliation with the recorded inventory in the Supplies Ledger Card

C. The first six columns shall be filled out by the Barangay Treasurer while the last four columns shall be filled out by the Inventory Committee.

SUMMARY OF SUPPLIES AND MATERIALS ISSUED

_____

Barangay, City/Municipality, Province

For the Period _____ to _____, 20__

No.: _____

ITEM		Unit of Measurement	Requisition and Issue Slip Numbers Quantity Issued											Total Quantity Issued	Unit Cost	Total Cost
No.	Description		(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)			

Prepared by:	Certified by:	Posted in the SLC by/date:
_____	_____	_____
Clerk	Supply Officer	Accounting Clerk

Annex 32

SUMMARY OF SUPPLIES AND MATERIALS ISSUED (SSMI)

INSTRUCTIONS

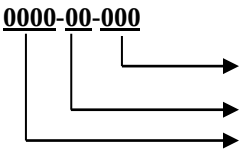
A. This form shall be prepared by designated personnel in the Supply and Property Unit (SPU) on a weekly basis.

B. This shall be accomplished as follows:

1. ***Barangay, City/Municipality, Province –*** name of the barangay and the city/municipality and province it is located

2. ***Date –***period covered by the report

3. ***No. –*** the form shall be numbered in the following manner:



4. ***Item No. –*** the stock number of supplies and materials issued for the day.

5. ***Description –***brief description of the item (i.e. ballpen)

6. ***Unit of Measurement–***the unit of measurement of the stock issued corresponding to the quantity (i.e. rolls, piece)

7. ***Requisition and Issue Slip (RIS) No./Quantity Issued –*** place on top of each columns the RIS No. Below the RIS No., post the quantity issued corresponding to the stock no.

8. ***Total Quantity Issued –***total quantity issued per RIS (add columns 1- 11)

C. This SSMI shall be prepared in three copies to be distributed as follows:

Original – C/M Accountant
Duplicate – COA thru the C/M Accountant
Triplicate – File

D. The SPU shall sign in the "Prepared by" portion of the SSMI.

E. The Division Chief of the SPU shall sign in "Certified by" portion of the SSMI.

F. Upon receipt of this report, the designated accounting personnel shall fill up the following columns as follows:

1. ***Unit Cost*** **–**post in this column the unit cost of every supplies and materials issued by the agency computed using the moving average method.
2. ***Total Cost*** **–**the product of the Quantity Issued and the Unit Cost per stock shall be entered in the Amount column. This column shall be totalled for preparation of the Journal Voucher (JV).
3. ***Posted by/date*** **–**after costing, sign in the space provided.

G. The designated accounting personnel shall check/post RIS to the individual supplies ledger cards.

H. A summary of the amount of requisitioned stock shall be prepared as basis in preparing the JV by the Accounting Division.

REGISTRY OF SPECIAL TRUST FUND

Barangay: _____ City/Municipality: _____ Page No.: _____

Chairman on Committee on Appropriations: _____ Province: _____

Purpose: _____

Details of Appropriations					Details of Charges					
Date	Particulars	Ref.	Amount	Year						
(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)

Annex 33

REGISTRY OF SPECIAL TRUST FUND

INSTRUCTIONS

A. The report shall be accomplished as follows:

1. ***Barangay*** – name of the barangay
2. ***Chairman on Committee on Appropriations –*** name of the CCA
3. ***Purpose –*** indicate the purpose of the special trust fund
4. ***City/Municipality –*** name of the city/municipality where the barangay is located
5. ***Province –*** name of the province where the city/municipality is located
6. ***Page No. –*** indicate the page number
7. ***Details of Appropriations -***
   - ***Date –*** date indicated in the reference documents
   - ***Particulars –*** description of the special trust fund
   - ***Ref. –*** indicate the reference number
   - ***Amount –*** amount of funds for the specific purpose
   - ***Year –*** indicate the year when the special trust fund is granted
8. ***Details of Charges –*** indicate the nature and amount of charges to the fund

B. This registry shall be maintained for each STF until the STF is fully utilized.

C. Any unspent balance from the appropriation for current year appropriation for LDRRMF shall at the end of the year be transferred to the STF.

D. The CCA shall regularly update the RSTFs by posting all certified obligations to determine available balance of the funds.

E. At the end of the year, the obligations shall be totalled and deducted from the total sources. The balance shall be double ruled.

Annex 34

Republic of Philippines

_____

(Barangay, City/Municipality, Province)

STATEMENT OF MANAGEMENT'S RESPONSIBILITY FOR FINANCIAL STATEMENTS

The management of _____ is
(Barangay/ City/ Municipality)
responsible for all information and representations contained in the accompanying Statement of Financial Position, Statement of Cash Flows, Statement of Comparison of Budget and Actual Amounts, Statement of Changes in Net Assets/Equity and Notes to Financial Statements as of _____ and the related Statement of
(Date)
Financial Performance for the year then ended.

In this regard, management complies with the financial transaction and report submission requirements to the City/Municipal Accountant and ensures that transactions are properly authorized, liabilities are reported and assets are safeguarded against unauthorized use or disposition.

_____ _____

Punong Barangay Barangay Treasurer

I hereby certify that all financial transactions and reports submitted are properly recognized in the books of accounts of the barangay and the financial statements are prepared in accordance with the accounting standards and policies.

_____

City/Municipal Accountant

Republic of the Philippines

_____

(*Barangay, City/Municipality, Province)*

Statement of Financial Performance
For the Year ended December 31, 20xx

	Note	20xx	20xx
Revenue			
Tax Revenue	3	xxx	xxx
Share from Internal Revenue Collection	4	xxx	xxx
Share from National Wealth	5	xxx	xxx
Service and Business Revenue	6	xxx	xxx
Grants and Donations	7	xxx	xxx
Gains	8	xxx	xxx
Total Revenue		**xxx**	**xxx**
Less: Current Operating Expenses			
Personnel Services	9	xxx	xxx
Maintenance and Other Operating Expenses	10	xxx	xxx
Non-cash Expenses	11	xxx	xxx
Financial Expenses	12	xxx	xxx
Current Operating Expenses		**xxx**	**xxx**
Surplus (Deficit) from Current Operation		**xxx**	**xxx**
Add (Deduct):			
Transfers, Assistance and Subsidy From	13	xxx	xxx
Transfers, Assistance and Subsidy To	14	(xxx)	(xxx)
Surplus (Deficit) for the period		**xxx**	**xxx**

Republic of the Philippines

(Barangay, City/Municipality, Province)

Statement of Financial Position
As at December 31, 20xx

	Note	20xx	20xx
Assets			
Current Assets			
Cash and Cash Equivalents	15	xxx	xxx
Investments	16	xxx	xxx
Receivables	17	xxx	xxx
Inventories	18	xxx	xxx
Prepayments and Deferred Charges	19	xxx	xxx
Total Current Assets		**xxx**	**xxx**
Non-Current Assets			
Investments	16	xxx	xxx
Receivables	17	xxx	xxx
Investment Property	20	xxx	xxx
Property, Plant and Equipment	21	xxx	xxx
Biological Assets	22	xxx	xxx
Total Non-Current Assets		**xxx**	**xxx**
Total Assets			
Liabilities			
Current Liabilities			
Financial Liabilities	23	xxx	xxx
Inter-Agency Payables	24	xxx	xxx
Trust Liabilities	25	xxx	xxx
Total Current Liabilities		**xxx**	**xxx**
Non-current liabilities			
Financial Liabilities	23	xxx	xxx
Provisions	26	xxx	xxx
Other Payables	27	xxx	xxx
Total Non-Current Liabilities		**xxx**	**xxx**
Total Liabilities		**xxx**	**xxx**
Net Assets/Equity			
Government Equity		xxx	xxx
Total Liabilities and Net Assets/Equity		**xxx**	**xxx**

Republic of the Philippines

_____

(*Barangay, City/Municipality, Province)*

Statement of Changes in Net Assets/Equity
For the Year ended December 31, 20xx

	Accumulated Surpluses/(Deficits)	
	20xx	**20xx**
Balance at January 1, 20xx	xxx	xxx
Add (Deduct)		
Change in Accounting Policy	(xxx)	(xxx)
Prior Years' Adjustments	(xxx)	(xxx)
Restated Balance	**xxx**	**xxx**
Add (Deduct) Changes in net assets/equity during the year		
Adjustments of net Surplus (Deficit) for the period	xxx	xxx
Surplus for the period	xxx	xxx
Balance at December 31, 20xx	**xxx**	**xxx**

Annex 38

Republic of the Philippines

_____

(Barangay, City/Municipality, Province)

Statement of Cash Flows

For the Year Ended December 31, 20xx

	Note	20xx	20xx
Cash Flows from Operating Activities			
Cash Inflows			
Collection from taxpayers		xxx	xxx
Share from Internal Revenue Allotment		xxx	xxx
Receipts from sale of goods or services		xxx	xxx
Interest Income		xxx	xxx
Dividend Income		xxx	xxx
Other Receipts		xxx	xxx
Total Cash Inflows		xxx	xxx
Cash Outflows			
Payment of expenses		xxx	xxx
Payments to suppliers and creditors		xxx	xxx
Payments to employees		xxx	xxx
Interest Expense		xxx	xxx
Other Payments		xxx	xxx
Total Cash Outflows		xxx	xxx
Net Cash Flows from Operating Activities	28	xxx	xxx
Cash Flows from Investing Activities			
Cash Inflows			
Proceeds from Sale of Investment Property		xxx	xxx
Proceeds from Sale/Disposal of Property, Plant and Equipment		xxx	xxx
Proceeds from Sale of Non-Current Investments		xxx	xxx
Collection of Principal on loans to other entities		xxx	xxx
Total Cash Inflows		xxx	xxx
Cash Outflows			
Purchase/Construction of Investment Property		xxx	xxx
Purchase/Construction of Property, Plant and Equipment		xxx	xxx
Investment		xxx	xxx
Purchase of Bearer Biological Assets		xxx	xxx
Grant of Loans		xxx	xxx
Total Cash Outflows		xxx	xxx
Net Cash Flows from Investing Activities		xxx	xxx
Cash Flows from Financing Activities			
Cash Inflows			
Proceeds from Loans		xxx	xxx
Total Cash Inflows		xxx	xxx
Cash Outflows			
Payment of Long-Term Liabilities		xxx	xxx
Payment of loan amortization		xxx	xxx
Total Cash Outflows		xxx	xxx
Net Cash Flows from Financing Activities		xxx	xxx
Total Cash Provided by Operating, Investing and Financing Activities		xxx	xxx
Add: Cash at the Beginning of the year		xxx	xxx
Cash Balance at the End of the Year	15	xxx	xxx

(See Accompanying Notes to Financial Statements)

Republic of the Philippines

(Barangay, City/Municipality, Province)

Statement of Comparison of Budget and Actual Amounts

For the Year Ended December 31, 20__

	Original Budget	Final Budget	Difference Original and Final Budget	Actual Amounts	Difference Final Budget and Actual Amounts
Revenue					
Real Property Tax					
Business Tax					
Share on the tax from sand, gravel and other quarry products					
Fees and Charges on commercial breeding of fighting cocks, cockfights and cockpits					
Fees and Charges on places of recreation which charge admission fees					
Fees and Charges on billboards, signboards, neon signs and outdoor advertisements					
Share from Internal Revenue Collections					
Other Taxes					
Tax Revenue - Fines and Penalties					
Share from National Wealth					
Clearance and Certification Fees					
Other Service Revenue					
Subsidy/Assistance					
Grants and Donations in Cash					
Proceeds from Sale of Property, Plant and Equipment					
Borrowings					
Expenses					
Current Year Appropriations					
Personal Services					
Maintenance and Other Operating Expenses					
Capital Outlay					
20% Development Fund					
10% Sangguniang Kabataan Fund					
5% LDRRMF Fund					
Continuing Appropriations					
Capital Outlay					

The presentation adopted reflects the presentation adopted for budgeting purposes.

Annex 39

Notes to the Financial Statements

1. General Information

The financial statements of Barangay XYZ was issued on date. XYZ is located in geographical location, and the barangay hall is located in address of the barangay. The barangay exercises the functions and responsibilities necessary for the efficient and effective provision of the following basic services: agricultural support services; health and social welfare services; services and facilities related to general hygiene and sanitation, beautification, and solid waste collection; maintenance of katarungan pambarangay; maintenance of barangay roads and bridges and water supply systems; infrastructure facilities; information and reading center; and satellite or public market.

2.1Statement of compliance and basis of preparation

The financial statements have been prepared in accordance with and comply with the Philippine Public Sector Accounting Standards. The financial statements are presented in Pesos and the figures are rounded to the nearest pesos.

The financial statements are prepared on the basis of historical cost. The cash flow statement is prepared using the direct method. The Statement of Comparison of Budget and Actual Amounts is presented according to the classification adopted for budgeting purposes.

2.2 Summary of Significant Accounting Policies

a. Revenue Recognition

Revenues are recorded when received.

Revenue from non-exchange transactions
Taxes, grants and donations are recognized when taxable/event occurs. Transfers of funds from other government agencies without specific purpose for which the fund will be utilized are recognized as non-exchange transactions.

Revenue from exchange transactions

Revenues from fees on issuance of certifications and clearances and other services rendered, sale of goods are recognized as exchange transactions.

b. Expenses

Expenses are recognized and taken up in the accounts when incurred.

c. Inventories

Inventories are initially recognized at cost. The cost comprise all costs of purchase, costs of conversion and other costs incurred in bringing the inventories to their present location and condition. The cost of inventories are assigned following the moving average method and measured at the lower of cost and net realizable value as at every reporting date. Inventories acquired thru non-exchange transactions are recognized at its fair value at the time of transfer.

d. Recognition of Liabilities

Liabilities are recognized at the time goods and services are accepted or rendered.

e. Property, Plant and Equipment

Property, plant and equipment are carried at cost less accumulated depreciation. Major repairs, which extends the life of the asset are capitalized and depreciated together with the asset.

Depreciation is charged on the depreciable value of assets following the straight-line method over the useful life of the asset.

PPEs are derecognized upon disposal. Any gain or loss arising from the derecognition is recognized in the surplus or deficit.

f. Public infrastructure

Public infrastructure assets are recorded in the books at cost. Replacement of parts required at regular intervals is recognized in the carrying amount of the Public Infrastructure when the costs incurred meet the recognition criteria. The carrying amount of those parts replaced is derecognized.

3. Tax Revenue

	20xx	20xx
Tax Revenue – Property	xx	xx
Tax Revenue – Goods and Services	xx	xx
Tax Revenue – Permit Fees	xx	xx
Tax Revenue – Others	xx	xx
Tax Revenue – Fines and Penalties	xx	xx
Total	xx	xx

Tax Revenue – Property represents the 30% share of the barangay from the City's collection of the basic real property tax and its penalties.

Tax Revenue – Goods and Services represents the taxes levied by the barangay on stores or retailers with fixed establishments and the share of the barangay from taxes imposed on quarry resources extracted within the barangay area.

4. Share from Internal Revenue Collections

This represents the share of the barangay from the40% allocation for the local governments from the national internal revenue taxes.

5. Share from National Wealth

This represents the share of the barangay in the proceeds derived from the utilization and development of national wealth within the barangay jurisdiction.

	20xx	20xx
Share from National Wealth	xx	xx

6. Service and Business Revenue

	20xx	20xx
Service Income	xx	xx
Business Income	xx	xx
Total	xx	xx

7. Grants and Donations

	20xx	20xx
Grants and Donations in Cash	xx	xx
Grants and Donations in Kind	xx	xx
Total	xx	xx

8. Gains

	20xx	20xx
Gain on Sale of Property, Plant and Equipment	xx	xx
Gain on Revaluation of Biological Assets	xx	xx
Total	xx	xx

9. Personnel Services

a. This includes the cost of personnel services for employees of the barangay

	20xx	20xx
Salaries and Wages	xx	xx
Other Compensation	xx	xx
Personnel Benefit Contributions	xx	xx
Other Personnel Benefits	xx	xx
Total	xx	xx

b. Remuneration of key management personnel

This represents the honoraria, year-end bonus, cash gift, Other Bonuses and Allowances and Terminal Leave Benefits of the agency's key management personnel.

	20xx	20xx
Punong Barangay	xx	xx
Barangay Kagawads	xx	xx

SK Representative	xx	xx
Barangay Treasurer	xx	xx
Barangay Secretary	xx	xx
Total	xx	xx

10. Maintenance and Other Operating Expenses

	20xx	20xx
Travelling Expenses	xx	xx
Training and Scholarship Expenses	xx	xx
Supplies and Materials Expenses	xx	xx
Utility Expenses	xx	xx
Communication Expenses	xx	xx
Demolition/Relocation and Delisting/ Dredging Expenses	xx	xx
Professional Services	xx	xx
General Services	xx	xx
Repairs and Maintenance	xx	xx
Financial Assistance/Subsidy	xx	xx
Taxes, Insurance Premiums and Other Fees	xx	xx
Other Maintenance and Operating Expenses	xx	xx
Losses	xx	xx
Total	xx	xx

11. Non-Cash Expenses

	20xx	20xx
Depreciation	xx	xx
Impairment Losses	xx	xx
Loss on Revaluation of Biological Assets	xx	xx
Total	xx	xx

12. Financial Expenses

	20xx	20xx
Interest Expenses	xx	xx
Bank Charges	xx	xx
Other Financial Charges	xx	xx
Total	xx	xx

13. Transfers, Assistance and Subsidy From

	20xx	20xx
Subsidy from National Government	xx	xx
Subsidy from Other Local Government Units	xx	xx
Total	xx	xx

14. Transfers, Assistance and Subsidy To

	20xx	20xx
LGU Equity on Other LGU/National/Foreign Funded Projects	xx	xx
Transfer to TF unutilized current year allocation for LDRRMF	xx	xx
Transfer of SK allocation to STF	xx	xx
Subsidies - Others		
Total	xx	xx

15. Cash and Cash Equivalents

Cash and cash equivalents comprise cash in the local treasury, petty cash, cash in bank – local currency current account and investment in time deposits with term of 3 months or less.

	20xx	20xx
Cash – in Local Treasury	xxx	xxx
Petty Cash	xxx	xxx
Cash in Bank - LCCA	xxx	xxx
Investment in Time Deposits	xxx	xxx
Total	xxx	xxx

16. Investments

3 months or less	20xx	20xx
Bank Account Number	xxx	xxx
Bank Account Number	xxx	xxx
Total	xxx	xxx

More than 3 months to 1 year	20xx	20xx
Bank Account Number	xxx	xxx
Bank Account Number	xxx	xxx
Total	xxx	xxx

More than 1 year	20xx	20xx
Bank Account Number	xxx	xxx
Bank Account Number	xxx	xxx
Total	xxx	xxx

Investment in time deposits with term of 3 months or less are presented as part of cash and cash equivalents (see Note 15)

17. Receivables

	20xx	20xx
Accounts Receivable	xx	xx
Due from Local Government Units	xx	xx
Advances for Payroll	xx	xx
Advances to Officers and Employees	xx	xx
Receivables - Disallowances/Charges	xx	xx
Due from Officers and Employees	xx	xx
Due from NGO/POs	xx	xx
Other Receivables	xx	xx
Total	xx	xx

18. Inventories

	20xx	20xx
Inventory Held for Sale	xx	xx
Inventory Held for Distribution	xx	xx
Inventory Held for Consumption	xx	xx
Total	xx	xx

The amount of write-down of inventories recognized as an expense is P_____, which is recognized under the Inventory expense.

19. Prepayments and Deferred Charges

	20xx	20xx
Advances to Contractors	xx	xx
Other Prepayments	xx	xx
Total	xx	xx

20. Investment Property

	20xx	20xx
Investment Property - Land	xx	xx
Investment Property - Buildings	xx	xx
Total	xx	xx

21. Property, Plant and Equipment

See attached sheet

22. Biological Assets

	20xx	20xx
Breeding Stocks	xx	xx
Livestock	xx	xx
Trees, Plant and Crops	xx	xx
Aquaculture	xx	xx
Other Bearer Biological Assets	xx	xx
Total	xx	xx

The above balances are stated in net recoverable value. Write downs were treated as expense in the current year.

23. Financial Liabilities

	20xx	20xx
Accounts Payable	xx	xx
Due to Officers and Employees	xx	xx
Interest Payable	xx	xx
Operating Lease Payable	xx	xx
Finance Lease Payable	xx	xx
Leave Benefits Payable	xx	xx
Other Provisions	xx	xx
Loans Payable - Domestic	xx	xx
Total	xx	xx

24. Inter-Agency Payables

	20xx	20xx
Due to BIR	xx	xx
Due to GSIS	xx	xx
Due to Pag-IBIG	xx	xx
Due to PhilHealth	xx	xx
Due to NGAs	xx	xx
Due to GOCCs	xx	xx
Due to LGUs	xx	xx
Total	xx	xx

25. Trust Liabilities

	20xx	20xx
Trust Liabilities	xx	xx
Guaranty/Security Deposits Payable	xx	xx
Trust Liabilities - Disaster Risk Reduction and Management Fund (DRRMF)	xx	xx
Trust Liabilities - SK Funds	xx	xx
Total	xx	xx

26. Provisions

	20xx	20xx
Other Provisions	xx	xx

27. Other Payables

	20xx	20xx
Other Payables	xx	xx

28. Reconciliation of Net Cash Flows from Operating Activities to Surplus/(Deficit)

	20xx	20xx
Surplus/(Deficit)	xxx	xxx
Non-cash transactions		
Depreciation	xxx	xxx
Impairment Loss	xxx	xxx

	20xx	20xx
Increase in payables	xxx	xxx
(Gains) Losses on Sale of PPE	xxx	xxx
(Gains) Losses on Sale of Investments	xxx	xxx
Increase in current assets	(xxx)	(xxx)
Increase in investments due to revaluation	(xxx)	(xxx)
Increase in receivables	(xxx)	(xxx)
Net Cash from Operating Activities	xxx	xxx

29. Reconciliation of Comparison of Budget and Actual Amounts and the Statement of Financial Performance

See attached sheet

30. Others

Property, Plant and Equipment (from Note 21)

Cost	Land	Land Improve-ments	Infra. Assets	Buildings and Other Structures	Machinery and Equipment	Transpo. Equipment	Furniture, Fixtures and Books	Leased Assets	Leased Assets Improve-ments	Construct-ion in Progress	Other PPE	Total
As at 01/01/xx												
Additions												
Disposals												
Transfers/Adj												
As at 12/31/xx												
Additions												
Disposals												
Transfers/Adj												
As at 12/31/xx												
Depreciation												
As at 01/01/xx												
Depreciation												
As at 12/31/xx												
Depreciation												
Disposals												
Transfers/Adj												
As at 12/31/xx												
Net book values												
As at 12/31/xx												
As at 12/31/xx												

(from Note 29)

Reconciliation of Comparison of Budget and Actual Amounts and the Statement of Financial Performance for the Year Ended December 31, 2015										
	Income		**Personnel Services**		**MOOE**		**Financial Expenses**		**Capital Outlay**
Comparison Statement of Budget and Actual	xxx		xxx		xxx		xxx		xxx
Entity Differences	-		-		-		-		-
Basis Differences:									
Income not considered budgetary items									
Non-cash income	xxx		-		-		-		
Gain on Sale of Assets									
Receipts not considered as income			-		-		-		
Sale of capital assets	(xxx)		-		-		-		
Borrowings	(xxx)		-		-		-		
Non-cash expenses:									
Depreciation	-		-		xxx		-		
Impairment Loss	-		-		xxx		-		
Losses			-		xxx		-		
Debt Service (Loan Amortization)			-				(xxx)		
Interest Expenses capitalized							(xxx)		
Capital Expenditures	-		-		-				(xxx)
Timing Differences:	-		-		-				
Prepayments charged to current appropriations	-		-		(xxx)				
Unconsumed Inventories charged to current appropriations	-		-		(xxx)				
Consumed Inventories and deferred charges charged to prior period appropriations					(xxx)				
	-		-		-				
Per Statement of Financial Performance	xxx		xxx		xxx		xxx		-

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RECORD OF ESTIMATED AND ACTUAL INCOME

Barangay:		City/Municipality:	Page No.:
Barangay Treasurer:		Province:	

Date	Particulars	Reference No.	Total	Income Accounts						
A. Income Estimates										
B. Actual Collections										

RECORD OF ESTIMATED AND ACTUAL INCOME (REAI)

INSTRUCTIONS

A. The Record of Estimated and Actual Income shall be maintained and updated monthly by the BT to record the estimated income shown in the annual and supplemental budgets. The BT shall also record actual collection of income for the barangay. This form shall be accomplished as follows:

1. ***Barangay –*** name of the barangay
2. ***Barangay Treasurer –*** name of the barangay treasurer
3. ***City/Municipality –*** the city or municipality of the barangay
4. ***Province*** – the province of the barangay
5. ***Page No. –*** page number
6. ***Date –*** date indicated in the Appropriation Ordinance for the income estimates (A) or Report of Collections and Deposits (RCD) for the actual collections (B)
7. ***Particulars –*** source document of income estimates (A) e.g. Annual Budget, Supplemental Budget; and actual collections (B)
8. ***Reference No. –*** reference number of the document supporting the transaction
9. ***Total*** – the amount indicated in the Annual Budget/Supplemental Budget/Augmentation/Realignment for the Income Estimates, and in the RCD/RBDCM for the Actual Collections
10. ***A. Income Estimates –*** records all income estimates indicated in the annual and supplemental budgets
11. ***B. Actual Collections –*** records all collections of income accruing to the barangay
12. ***Income Accounts –*** specific income accounts of the barangay. The cells below the income accounts shall indicate the corresponding amount for the income estimates (A) and actual collections (B) as stated in the Appropriation Ordinance (A) and RCDs (B)

B. Income Estimates (A) shall be totaled at year-end to arrive at the Final Budget.

C. Actual Collections (B) shall be totaled monthly. The total amount for the current month shall add the Total to Date of the previous month to arrive at the cumulative Total to Date.

D. This Record shall be submitted to the City/Municipal Accountant at year-end as basis for the preparation of the Statement of Comparison of Budget and Actual Amount.

BIOLOGICAL ASSETS PROPERTY CARD

Barangay: _____ City/Municipality: _____
Accountable Officer: _____ Province: _____

Biological Asset : _____ BAPC No. _____
Description : _____

Date	Reference	Additions			Reductions					Fair Value	Balance		Remarks
		Purchase	Birth		Sale		Transfer	Death					
		Qty.	Qty.	Qty.	Qty.	Selling Price	Qty.	Qty.	Qty.		Qty.	Amount	

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BIOLOGICAL ASSETS PROPERTY CARD (BAPC)

INSTRUCTIONS

A. The BAPC shall be maintained by the officer-in-charge or caretaker of Biological Asset/s for each class or type of biological asset to record promptly the acquisition, description, custody, transfer, disposal and other information about the property.

B. This form shall be accomplished as follows:

1. ***Barangay –*** name of the barangay
2. ***Accountable Officer –*** name of the officer-in-charge or caretaker of biological asset/s
3. ***City/Municipality –*** the city or municipality of the barangay
4. ***Province*** – the province of the barangay
5. ***Biological Asset*** – type of biological asset
6. ***Description*** – brief description of the biological asset
7. ***BAPC No***. – the assigned number for the property card
8. ***Date*** – the date of acquisition/transfer/disposal
9. ***Reference*** – the reference documents used as the bases in recording the transactions
10. ***Fair Value*** – the fair value of the biological asset/s at recording date
11. ***Additions*** – the purchase, birth, or any other addition or increase of the biological asset/s shall be reflected within these columns with their respective fair values reflected in the 'Fair Value' column
12. ***Reductions*** – the quantity and the selling price of the biological asset/s sold, the quantity transferred, died, or in any other means of disposal with their respective fair values reflected in the 'Fair Value' column
13. ***Balance*** – the running balance of the quantity and value of the biological asset/s
14. ***Remarks*** – comments about the condition/status of the biological asset/s

C. Transactions shall be posted from the source documents.

D. The BAPC shall be reconciled with the physical inventory of the biological asset/s and the control accounts annually. Any discrepancies shall be immediately verified and adjusted.

QUARTERLY REPORT OF BIOLOGICAL ASSETS

_____
(Type of Biological Asset)

As at _____

Accountable Officer: _____ Barangay: _____ Province: _____
Official Designation: _____ City/Municipality: _____

BAPC No.	Description	Balance Per Card Per Last Report		Additions								Reductions								Balance Per Card End of the Period		Remarks
				Purchase		Birth				Total		Sale		Death				Total				
		Qty.	Fair Value	Qty.	Cost	Qty.	Fair Value	Qty.	Cost/ Fair Value	Qty.	Cost/ Fair Value	Qty.	Selling Price	Qty.	Fair Value	Qty.	Cost/ Fair Value	Qty.	Cost/ Fair Value	Qty.	Fair Value	

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QUARTERLY REPORT OF BIOLOGICAL ASSETS (QRBA)

INSTRUCTIONS

A. The form is used to report the biological asset/s on a quarterly basis by the Biological Asset/s Caretaker or Officer-in-charge for each type of biological asset.

B. This form shall be accomplished as follows:

1. ***Type of Biological Asset* –** type of biological asset owned by the barangay
2. ***As at* –** the date of report
3. ***Name of Accountable Officer* –** name of the accountable officer or Biological Asset/s officer-in-charge or caretaker
4. ***Official Designation*** – the official designation of the accountable officer
5. ***Barangay* –** name of the barangay
6. ***City/Municipality* –** City/Municipality of the barangay
7. ***Province* –** Province of the barangay
8. ***BAPC No.* –** the number assigned to the BAPC
9. ***Description* –** brief description of the biological asset/s
10. ***Balance Per Card Per Last Report-Quantity* –** the quantity of the biological asset/s per last report
11. ***Balance Per Card Per Last Report-Cost* –** the cost of the biological asset/s per last report
12. ***Additions-Purchase* –** the quantity and the cost of the purchased biological asset /s
13. ***Additions-Birth* –** the quantity and the fair value of the new born biological asset/s
14. ***Additions-Blank Column* –** this column is provided for any additions other than by purchase or by birth of biological asset/s
15. ***Additions-Total* –** the sum of the quantity and the cost/fair value of the biological asset in the Additions columns
16. ***Reductions-Sale* –** the quantity and the selling price of the biological asset/s sold
17. ***Reductions-Death* –** the quantity and the fair value of the biological asset/s diminished due to death
18. ***Reductions-Blank Column* –** this column is provided for any reductions other than by sale or by death of the biological asset/s
19. ***Reductions-Total* –** the sum of the quantity and the cost/fair value of the biological asset in the Reductions columns

20. ***BALANCE PER END OF THE PERIOD-QUANTITY –*** the quantity of the biological asset/s as of the end of the reporting period

21. ***BALANCE PER END OF THE PERIOD-FAIR VALUE –*** the fair value of the biological asset/s as of the end of the reporting period

22. ***REMARKS –*** comments about the condition/status of the biological asset/s

C. This shall be prepared in three (3) copies distributed as follows:

Original – Accounting Division/Unit for submission to the COA Auditor

Copy 2 – Biological Asset/s Caretaker or Accountable Officer's file copy

Copy 3 – Accounting Division/Unit file copy